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NICHE

THE MARKETING CLUB OF IIM AHMEDABAD

MARKETING PREPBOOK



PLACEMENTS 2024

DISCLAIMER

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It's important to note that this book is not intended to be the sole reference for marketing-related preparation. While it serves as a strong foundation, we highly encourage readers to delve deeper into the various topics covered to gain a comprehensive understanding.

INTRODUCTION TO IIMA NICHE PREPBOOK

It gives us great pride to present the 2024-25 edition of the Niche Marketing Prepbook, a resource crafted to help you excel in your pursuit of top marketing roles. This year, we have carefully woven together timeless marketing concepts from the likes of Kotler with the latest industry trends, offering you a comprehensive and up-to-date guide that will serve as a valuable tool throughout your preparation.

Our mission with this Prepbook is to bridge the gap between academic knowledge and its practical, real-world applications. As you gear up for your Summer Internship Placements (SIPs), think of yourself as a Marketing Manager facing dynamic challenges—this Prepbook will guide you on how to use theoretical principles to generate innovative, impactful solutions.

However, this guide is only the starting point. Marketing is an ever-evolving field that demands curiosity, adaptability, and constant learning. We encourage you to explore beyond these pages, seek new insights, and apply your personal creativity to the mix. Your journey to success is defined not by the tools you have but by how you use them—so stay open-minded, stay curious, and trust your instincts.

A heartfelt thanks goes out to the dedicated Niche team, whose hard work and passion made this Prepbook possible. Their commitment reflects what marketing is all about—collaboration, innovation, and the drive to make a difference.

Lastly, we know the path to SIPs can be challenging, but never let the pressure dull your passion for learning. Embrace the process, keep your eyes on your goals, and remember that every step is one toward mastering the art of marketing. You've got this, and we believe in you!

Wishing you all the best in your journey, and may you shine bright in your SIPs!

Muskan Aggarwal
Coordinator, Niche Club, 2024-25

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CONTENTS

1. INTRODUCTION TO MARKETING 7

WHAT IS MARKETING? MARKETING VS SALES 8

NEED, WANTS, DEMAND & DESIRE 11

2. MARKETING FRAMEWORKS 14

STP FRAMEWORK: CRAFTING A STRATEGY 15

5C'S OF MARKETING 24

THE MARKETING MIX (4PS/7PS) 30

3. IN DEPTH FRAMEWORKS & CONCEPTS FOR 5CS 36

SWOT ANALYSIS 37

BCG MATRIX 39

ANSOFF MATRIX 43

ATTACK STRATEGIES 45

PORTER'S 5 FORCES 47

4. PRODUCT MANAGEMENT 50

PRODUCT LEVELS 51

PRODUCT MIX 52

NEW PRODUCT DEVELOPMENT 54

DIFFUSION OF INNOVATION MODEL 55

PRODUCT LIFECYCLE (PLC) 57

ROGER'S FIVE FORCES OF INNOVATION MODEL 60

5. PRICING STRATEGIES 61

TYPES OF PRICING MODEL 62

6. SALES AND DISTRIBUTION 66

BUSINESS MODELS 67

DISTRIBUTION CHANNELS 69

CUSTOMER PURCHASE JOURNEY 71

POS & POP MATERIALS 72

SHELF SPACE MARKETING 74

7. ADVERTISING AND PROMOTIONS 75

COMMUNICATION MIX 76

6M MODEL 78

Marketing is about values. It's a complicated and noisy world, and we're not going to get a chance to get people to remember much about us.
-Steve Jobs

CONTENTS

TYPES OF ADVERTISING 80
ATL & BTL MARKETING 82
DIGITAL MARKETING 85
BRAND CRISIS COMMUNICATION 88

8. CONSUMER BEHAVIOUR 90

UNDERSTANDING CONSUMER BEHAVIOUR 91
MASLOW'S HIERARCHY OF NEEDS 93
CONSUMER BUYING CENTER & PROCESS 94
AIDA MODEL 95
MARKET RESEARCH FOR CONSUMERS 97

9. UNDERSTANDING BRAND 98

PRODUCT VS BRAND 99
ESSENTIAL ELEMENTS OF A BRAND 101
BRAND VS. LINE EXTENSIONS 104
COMPETITIVE ADVANTAGE 105
MARKETING MYOPIA 106

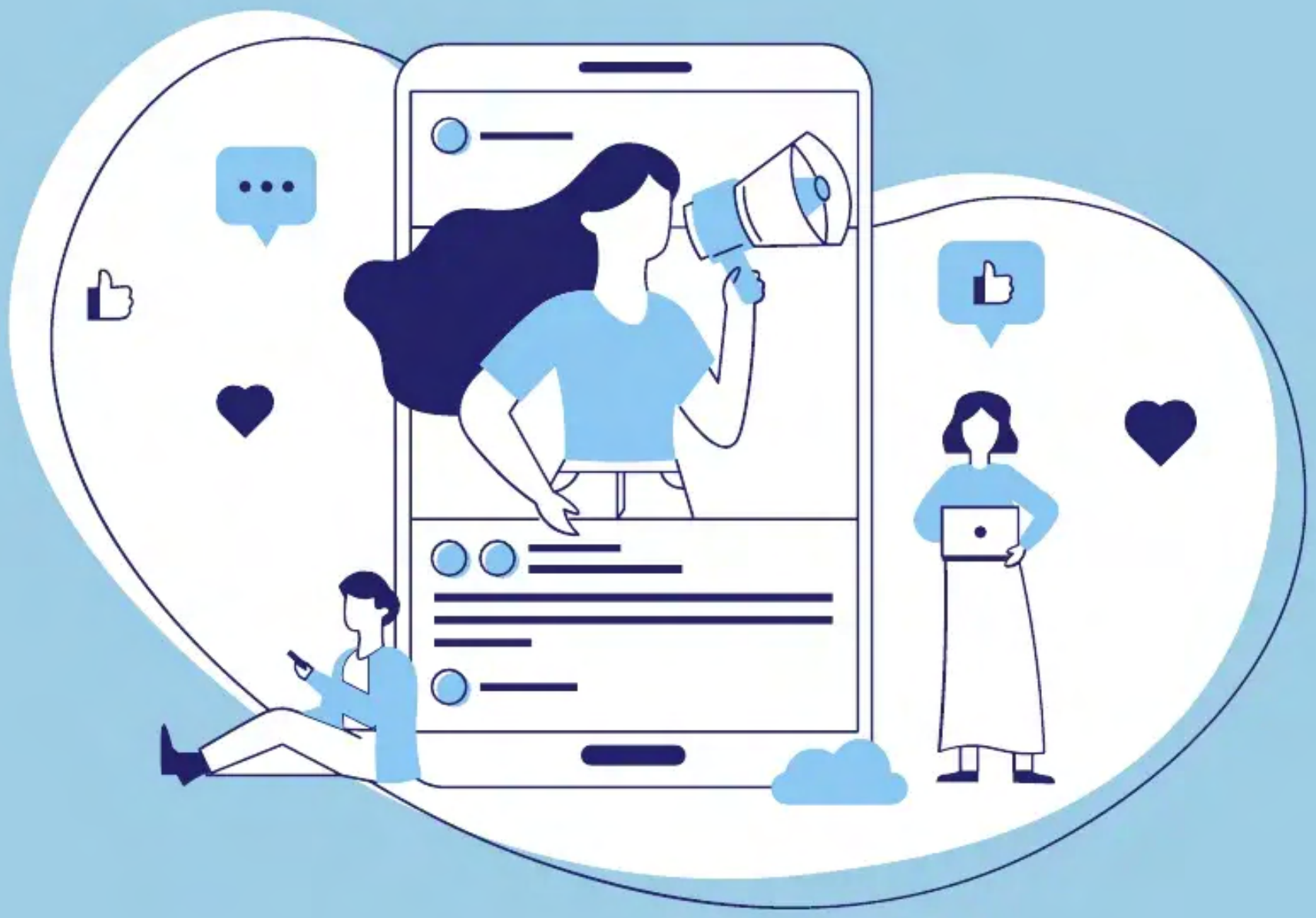
10. EMERGING TRENDS 108

RURAL MARKETING 109
BRAND INTEGRATION 111
INFLUENCER MARKETING 112
MOMENT MARKETING 113
PODCAST MARKETING 114
GAMIFICATION 115
COLOUR PSYCHOLOGY 119
MOBILE OPTIMIZATION 120
EXPERIENTIAL MARKETING 121
OMNICHANNEL MARKETING 123
AI IN MARKETING 124

11. MARKETING CASE STUDIES 126

NEW PRODUCT LAUNCH OR GTM 127
RESOLVING ISSUES IN AN EXISTING BRAND 131

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-Steve Jobs



CHAPTER 1

INTRODUCTION TO MARKETING



INTRODUCTION TO MARKETING

Marketing is all about understanding and meeting consumer needs profitably. The process begins by identifying a gap in the market—where consumer needs or wants are not being fully met. From this insight, marketing works to develop a product or service that addresses those needs. It encompasses a broad range of activities, from selecting the right Target Group (TG) to developing pricing, promotion, and distribution strategies.

A well-executed marketing plan creates demand and attracts customers to your product (this is known as a **Pull Strategy**).

A good example of market gap identification is Spotify's entry into the music industry. Before Spotify, music lovers had to purchase individual songs or albums, or resort to piracy. By offering an affordable subscription model for unlimited music streaming, Spotify addressed a gap in the market and changed how people consumed music.



INTRODUCTION TO SELLING

Selling, on the other hand, is the process of persuading a potential customer to buy your product or service, often referred to as a **Push Strategy**. Selling can occur in various forms, such as a salesperson in a store or an eCommerce platform encouraging you to complete a purchase. A product that has been marketed well usually requires less selling effort because the customer is already familiar with and interested in the product.

For instance, selling a **Coca-Cola** bottle requires less effort compared to selling a lesser-known local cola brand. In a similar way, it's easier to sell a **HDFC savings account** compared to one from a smaller, less-established bank.

You're more likely to receive sales calls from lesser-known banks because they need to actively push their products.

In industries where it's hard to differentiate products or services, companies often rely heavily on selling efforts. For example, in the Indian smartphone market, brands like **Xiaomi** and **Realme** offer similar features at competitive price points. To stand out, these companies emphasize aggressive promotional campaigns, flash sales, and exclusive online deals to attract consumers. Insurance is another example where differentiation is limited, so companies often rely on push strategies to drive sales.

KEY DIFFERENCES BETWEEN SALES AND MARKETING

	SALES	MARKETING
Objective	To directly convert leads into paying customers and generate revenue	To create awareness, interest, and desire among the target audience for the products or services
Processes	Prospecting, contacting leads, conducting product demonstrations, negotiating terms, addressing objections, and closing deals	Market research, identifying target demographics, creating advertising campaigns, content creation, social media management, SEO, and public relations
Orientation	Product-centric	Customer-centric
Activities	Personalized one-on-one interactions with potential customers	Communicates with a broader audience through various channels, including digital and traditional media
Role in Business	Push strategy to persuade customer to buy product. Directly responsible for converting interested prospects into actual customers	Pull strategy to attract consumers towards the brand. Establishes the foundation for sales by creating brand awareness, generating interest, and nurturing potential customers

	SALES	MARKETING
Impact	Sales is crucial for immediate revenue generation and meeting short-term financial goals	Contributes to building long-term brand equity and customer loyalty
Examples	A car salesperson interacting with a potential customer at a dealership, demonstrating various car features, negotiating the price, and ultimately closing the deal by selling a car	A company launching a new smartphone might use marketing to create buzz through online ads, social media posts, influencer partnerships, and blog posts. The goal is to generate interest and awareness about the new product before potential customers even visit a store or website.

The aim of marketing is to know and understand the customer so well the product or service fits him and sells itself.
-Peter Drucker

NEED, WANT, DEMAND, AND DESIRE

NEED

A **need** represents a fundamental gap or deficiency in a consumer's current situation. It's a problem or requirement that they seek to solve. Marketers often focus on identifying and addressing these needs by offering relevant solutions through their products or services. For example, the need for hydration drives the need for water.

WANT

A **want** is how a consumer chooses to satisfy their underlying need. It's influenced by personal preferences, cultural factors, and social trends. For instance, while the need is hydration, the want could be a flavored energy drink because the person prefers a refreshing, tasty beverage over plain water.

DEMAND

Demand is created when there's not only a desire for a product but also the purchasing power to obtain it. This concept represents the willingness and ability of consumers to buy a product at a given price and time. For example, a new smartphone may be in demand if consumers both want its advanced features and can afford to buy it.

DESIRE

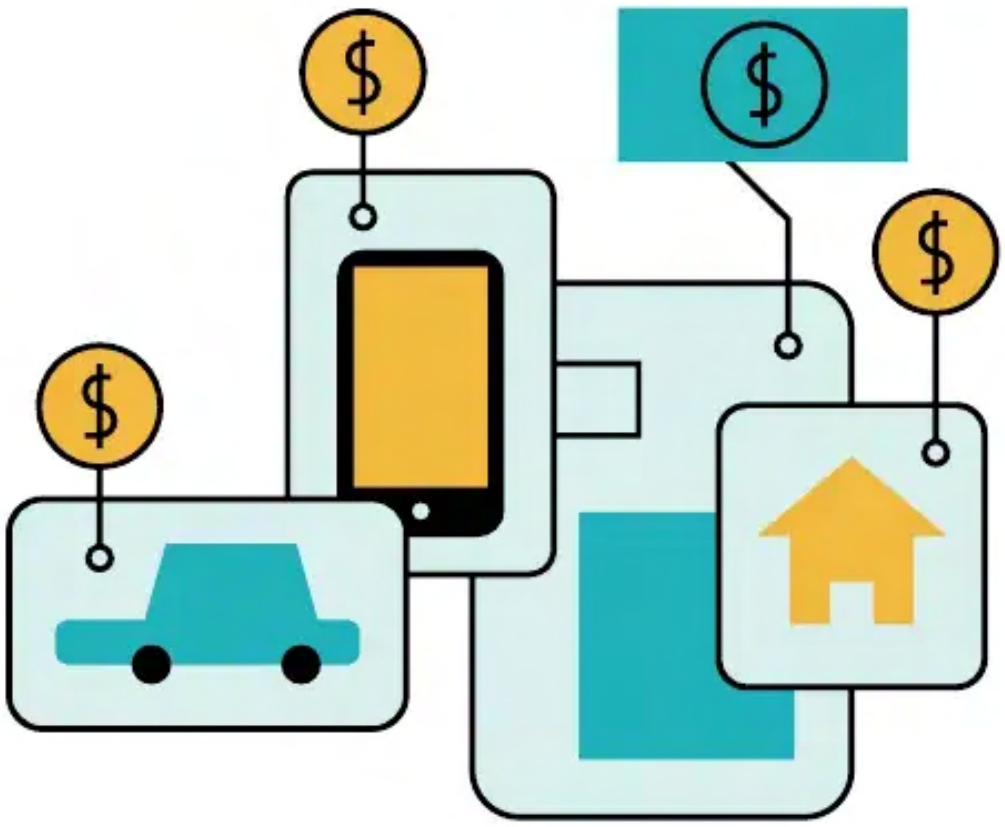
In marketing, **desire** refers to the emotional or psychological longing for a product or service. Marketers work hard to create desire by highlighting a product's benefits, showcasing an aspirational lifestyle, or using persuasive messaging. For instance, a luxury car ad may evoke desires for prestige, comfort, and status.

TRANSITION FROM NEED TO WANT

The journey from a **need** to a **want** happens when a **person recognizes** a basic requirement or deficiency in their life and then develops a specific desire for a particular solution to fulfil it. This shift is influenced by factors like individual preference, cultural norms, and personal aspirations.

For example, hydration is a basic human need. However, once someone becomes aware of various options, they may develop a want for a fruit-flavored energy drink because it's more refreshing, convenient, or perceived as energizing compared to water.

STIMULATING DESIRE AND DEMAND



Creating desire and **increasing demand** are central objectives in marketing. Here's how businesses approach these concepts:

Stimulating Desire:

- **Emotional Appeal:** Marketers use storytelling to evoke emotions like happiness, nostalgia, or aspirations, creating a deep emotional connection. For example, ads that make us feel nostalgic or remind us of a fond memory.

- **Lifestyle Branding:** Products that are tied to a particular lifestyle or identity can create a strong desire to emulate that lifestyle. Luxury brands, for instance, build desire by associating their products with prestige and exclusivity.

- **Social Proof:** Demonstrating that others are using and benefiting from a product can create a desire to be part of a trend or community. Testimonials, user-generated content, and endorsements from influencer can influence this perception.

- **Scarcity & Urgency:** Limited editions or time-sensitive offers create a sense of urgency, encouraging consumers to act quickly for fear of missing out (FOMO).

- **Visual Appeal:** Attractive packaging, design, and presentation can significantly enhance a product's desirability. A well-crafted product display can make a big difference.



Stimulating Demand:

- **Clear Communication:** Effective messaging that highlights the product's unique features, benefits and value proposition can generate interest and demand. Consumers need to know what makes your product stand out.

- **Promotions & Discounts:** Offering promotions, discounts, bundle deals, or introductory pricing can incentivize consumers to make a purchase, especially if they perceive added value.

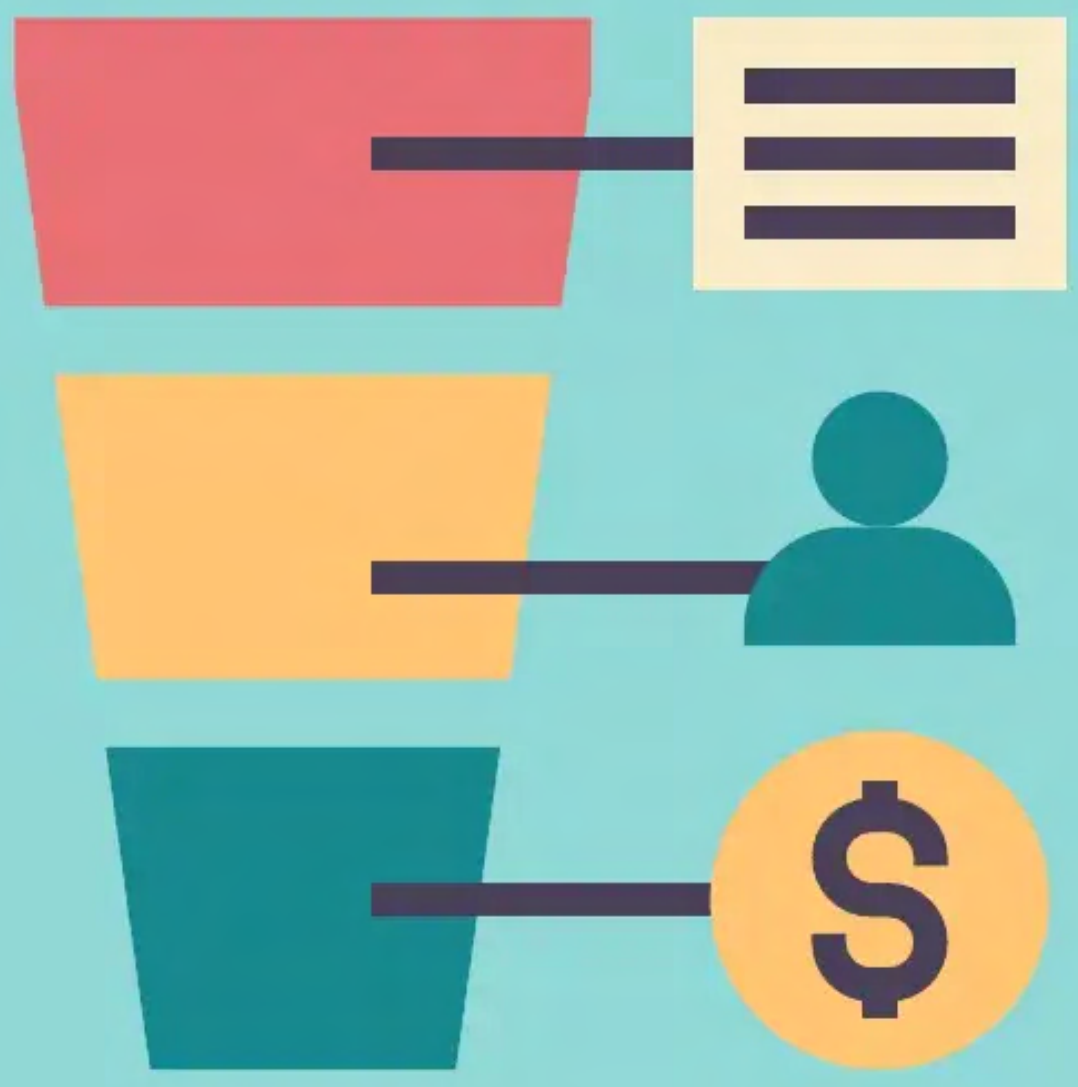
- **Engaging Content:** Informative, entertaining, or educational content keeps potential customers interested. It helps position the brand as an expert, fostering trust over time.

- **Targeted Advertising:** Using data to personalize messages to specific customer segments makes the offer more relevant, increasing the likelihood of a purchase.

- **Word-of-Mouth & Referrals:** Satisfied customers spreading the word can greatly boost demand. Referral programs can help magnify this effect by incentivizing customers to recommend your product.

- **Great User Experience:** A smooth and positive customer experience —from browsing to buying— encourages repeat purchases and positive reviews, which sustain demand over time.

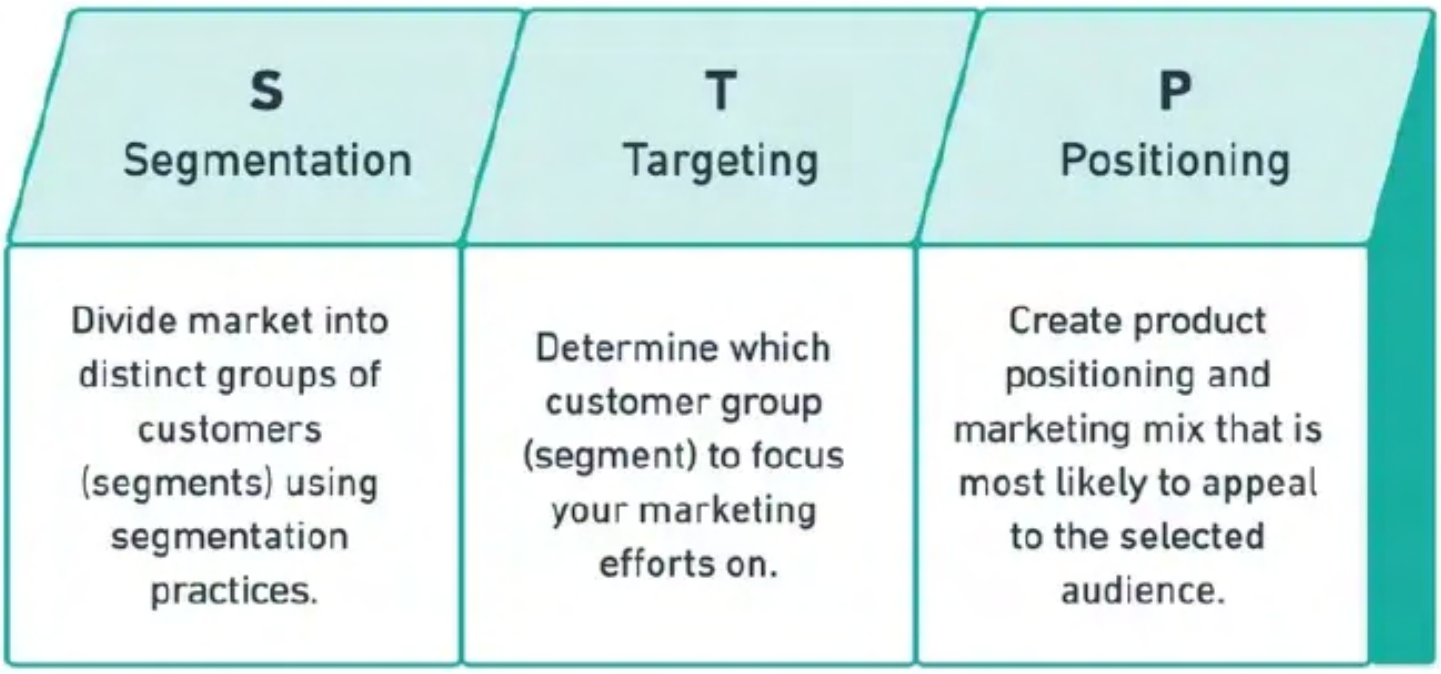
The best marketing doesn't feel like marketing.
-Tom Fishburne



CHAPTER 2

MARKETING FRAMEWORKS

SEGMENTATION, TARGETING, POSITIONING (STP)



SEGMENTATION

Segmentation in marketing refers to the process of dividing a heterogeneous market into distinct groups or segments based on shared characteristics, needs, behaviours, or preferences. Segmentation's purpose is to better understand and target specific groups of consumers, enabling businesses to tailor their marketing strategies and offerings to effectively meet the unique demands of each segment.

Importance of Segmentation:

Segmentation helps businesses to:

- Better target customer groups
- Personalize marketing efforts
- Efficiently allocate resources
- Gain deeper market understanding
- Achieve competitive advantage

Types of Segmentation:

1. **Demographic Segmentation**

This method divides the market based on variables like age, gender, income, education, and occupation. It is one of the most widely used forms of segmentation because demographic data is easy to obtain and analyze.

- **Example**: Nike targets different demographics with its products: for instance, children's shoes, women's activewear, and premium sneakers for higher-income consumers.

2. Geographic Segmentation

Dividing the market based on geographic factors like region, country, city, climate, or rural/urban areas. This is especially useful for businesses offering location-specific products.

- **Example**: Domino's Pizza offers region-specific menu, offering paneer and tandoori chicken in India, and seafood toppings like shrimp and squid in Japan.

3. Psychographic Segmentation

Segmentation based on psychological traits, lifestyle, values, attitudes, and interests. This type of segmentation goes deeper into understanding consumer motivations and behavior.

- **Example:** Harley-Davidson targets adventurous, rebellious consumers, promoting its motorcycles as symbols of freedom, adventure, and a bold, independent lifestyle.

4. Behavioral Segmentation

This segmentation focuses on consumer behaviors, such as buying habits, product usage, loyalty, and benefits sought. Behavioral insights help predict consumer actions and develop targeted strategies.

- **Example:** Netflix analyzes users' viewing habits, binge-watching patterns, and preferences. It tailors content its recommendations to users, suggesting new series and films based on their past behavior.

5. Benefit Segmentation

Consumers are grouped based on the specific benefits they seek from a product or service. This segmentation acknowledges that different customers may buy the same product for different reasons.

Example: Colgate offers a range of toothpastes such as Colgate Total for overall health, Colgate Sensitive for pain relief, and Colgate Whitening for those seeking brighter teeth.

6. Occasion Segmentation

Targeting consumers based on specific events or occasions, such as holidays, seasons, or life events like weddings and birthdays. This segmentation allows marketers to tailor their messages to fit the context.

- **Example**: **Cadbury** markets its chocolates during festive seasons like Diwali in India, with specific packaging and promotions designed to make them ideal gifts for the occasion.

People do not buy goods and services.
They buy relations, stories, and magic.
-Seth Godin

SEGMENTATION CRITERIA IDEAS

 **Geographic**	Geographic	Regions: North, West, South, East
	City or metro size	Urban, Suburban, Rural
	Density	Urban, Suburban, Rural
 **Demographic**	Age	Under 10, 10-18, 18-30, 30-45, 45+
	Family size	1-2, 3-4, 5+
	Family life cycle	Young, Single, Married etc
	Gender	Male, Female, Transgender
	Income	Under 10K, 10-25K, 25K-50K and so on
	Occupation	Professional, Student, Homemaker etc
	Education	Grade school or less, graduate, post-graduate etc.
	Religion	Hindu, Muslim, Christian, Jain etc
	Social class	Lower, Middle, Upper
	Generation	Gen X, Millennials, Gen Z
 **Psychographic**	Lifestyle	Culture-oriented, sports-oriented, outdoor-oriented etc
	Personality	Compulsive, gregarious, authoritarian
 **Behavioural**	Behavioural Occasion	Regular occasion, special occassion
	Benefits	Quality, service, economy, speed
	User status	Nonuser, ex-user, potential user, first time user
	Usage rate	Light user, medium user, heavy user
	Loyalty status	None, strong, medium, absolute
	Readiness stage	Unaware, informed, interested, desirous, intended to buy
	Attitude towards product	Enthusiastic, positive, indifferent, negative, hostile

TARGETING

Targeting in marketing refers to the process of selecting specific segments from the market identified through segmentation and directing marketing efforts towards those segments. It involves choosing the most promising groups of consumers that align with a business's goals, capabilities, and resources. Targeting ensures that marketing messages, products, and campaigns are tailored to resonate with the chosen audience, maximizing the impact of marketing efforts.

Criteria for Targeting:

When deciding which segments to target, businesses consider the following criteria:

1. **Size:** The segment should be large enough to justify dedicated marketing efforts but not so broad that the message becomes diluted.
   - **Example:** Coca-Cola targets the general market but creates sub-brands like Diet Coke and Coca-Cola Zero for smaller segments with specific health-conscious needs.

2. **Profitability:** The segment must have enough potential to generate strong returns and cover marketing costs.
   - **Example: Apple** targets high-income consumers who are willing to pay a premium for innovative, high-tech products like the iPhone.

3. **Accessibility**: It should be possible to reach the chosen segments through appropriate marketing channels effectively.
   - **Example**: Netflix uses digital marketing channels to reach tech-savvy, streaming-inclined customers worldwide.

4. **Compatibility:** The segment must align with the company's capabilities, values, and offerings.
   - **Example**: Tesla targets environmentally conscious consumers, aligning with its mission to accelerate the world's transition to sustainable energy.

5. **Stability**: The segment should be relatively stable over time to ensure consistent sales and customer loyalty.
   - **Example**: Johnson & Johnson's baby care products are targeted at new parents, a segment that remains stable and renews with each generation



Types of Targeting Strategies:

1. Undifferentiated (Mass) Targeting

In this approach, businesses develop a single marketing strategy for the entire market. It assumes that all customers have similar needs, so the same product and message work for everyone. This type of targeting is effective for products with broad appeal and minimal differentiation.

- **Example: Colgate** markets its basic toothpaste to the general population, using mass advertising to reach a wide audience.

2. Differentiated (Segmented) Targeting

Here, businesses divide the market into multiple segments and create separate marketing strategies for each one. This approach recognizes that different groups have different needs and preferences. By addressing each segment individually, companies can increase their overall market share

- **Example: Nike** targets various segments: performance athletes, casual wearers, and fashion-conscious individuals, each with tailored product lines and marketing messages.

3. Concentrated (Niche) Targeting

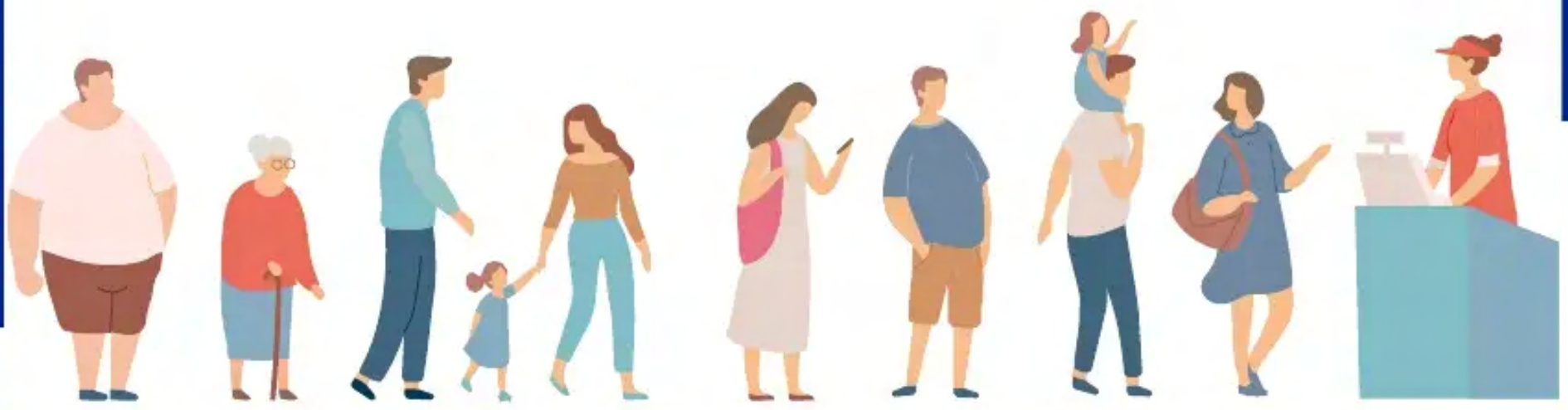
This strategy focuses on one specific, well-defined market segment. It is ideal for companies with limited resources or those serving niche markets with unique needs. The advantage of concentrated targeting is that businesses can dominate a small segment and build strong customer loyalty.

- **Example: GoPro** focuses on a niche market of adventurers and extreme sports enthusiasts who need durable, high-quality cameras to capture their experiences.

4. Micromarketing (Individual) Targeting

Micromarketing goes even further by tailoring marketing efforts to individual customers or very small segments. This approach leverages data analytics and personalization to create highly customized offers. It's often used by companies with advanced tech capabilities.

- **Example: Amazon** uses micromarketing by recommending products to individual customers based on their browsing history and purchase behavior.



POSITIONING

Positioning refers to how a business positions its product or service in the minds of the target audience. It involves crafting a unique and compelling value proposition that differentiates the offering from competitors. Positioning is about creating a specific perception or image of the product in the customer's mind. It answers questions like: "Why should the customer choose our product?" or "What makes our product better or different?" Effective positioning helps the product stand out, addresses customer needs, and resonates with the chosen target segment.

Positioning should clearly communicate the following:

1. POP - Points of Parity

Points of Parity (POP) are the features or attributes that your product must have to fit into its category. These are essential elements that consumers expect from all brands within the same category, meaning your product needs to meet these standards to even compete.



- **Example**: In the case of a skincare brand, like **Nivea**, the POP might be that the product moisturizes skin effectively, which is a basic expectation for all lotions and moisturizers.

2. POD - Points of Difference

Points of Difference (POD) refer to what sets your brand apart from others in the same category. These are the unique features or benefits that make consumers choose your product over the competition.

- **Example**: In the case of **Tesla**, a POD is its long-range electric battery, which distinguishes it from traditional gas-powered vehicles.

Crafting a Clear and Differentiated Positioning

Your positioning must be clear and well-differentiated from other brands so that consumers can easily identify your unique benefits. For example, **Pepsi** positions itself as the youthful, vibrant alternative to **Coca-Cola**, which is seen as more classic and timeless. The clear distinction helps consumers associate Pepsi with excitement and youth, while Coca-Cola is seen as the traditional favorite.

When launching a new brand, marketers conduct extensive analysis of the category and look for an unclaimed spot or gap in the market. One effective way to do this is by creating a **Perceptual Map**.

PERCEPTUAL MAP: A TOOL TO UNDERSTAND MARKET POSITIONING

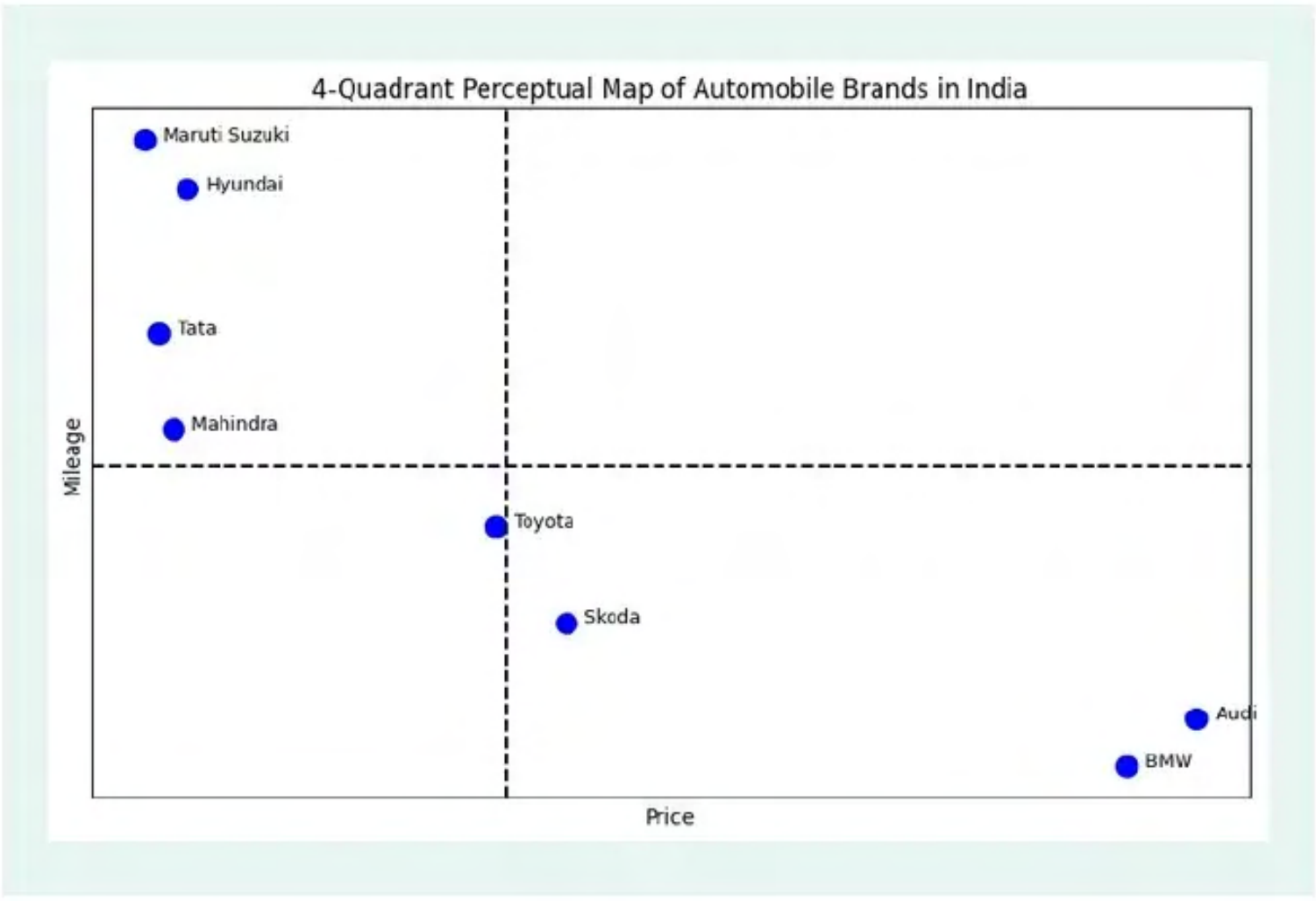
A **Perceptual Map** is a visual representation that shows how consumers perceive different brands or products within a category. This helps you decide how to improve your products, marketing, and overall business strategy to better meet customer preferences and needs.

Perceptual Map Example:

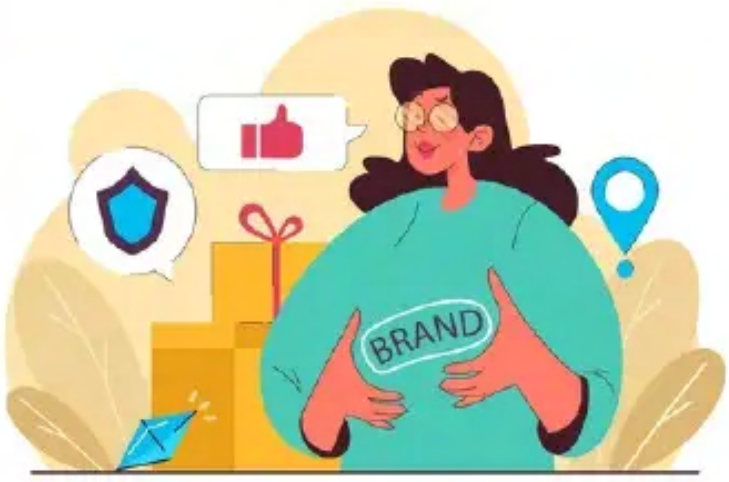
Price (X-axis) and Mileage (Y-axis) are the two dimensions for automobile brands in India. In the top left quadrant, Maruti Suzuki and Hyundai are positioned as affordable options with higher mileage, appealing to budget-conscious consumers seeking economical choices.

Meanwhile, the bottom right quadrant is occupied by Skoda, Audi, and BMW, which are perceived as premium brands offering higher prices and less mileage, appealing to consumers willing to invest in luxury and advanced features. Tata and Mahindra, offer affordably priced vehicles, delivering decent mileage with more features. Around the centre, Toyota is positioned as a brand that may not be the most fuel-efficient, indicating a balance between affordability and performance.

This map helps shows how consumers perceive these brands which then guides their purchasing decisions based on their preferences for price and fuel efficiency.



Note: It's essential to understand that **Perceptual Maps** and **Positioning Maps** are not the same. A Perceptual Map displays how consumers currently perceive brands, based on various attributes, without considering the brand's desired positioning. On the other hand, a Positioning Map shows where the brand wants to be in the market, reflecting the company's intentional positioning strategy regardless of how consumers currently view the product. In most cases, perceptual maps are more often used to build strategy.



2. Launch Effective Campaigns: Perceptual maps help evaluate the effectiveness of marketing campaigns. If a brand's campaign is aimed at being perceived as premium but the map shows it's being seen as low-cost, adjustments are needed.

3. Enhance Brand Identity: Perceptual maps reveal consumer perceptions, allowing businesses to fine-tune their product features, customer satisfaction efforts, and overall brand identity. For example, IKEA could use a perceptual map to see if it is perceived as both affordable and stylish, aligning with its intended brand identity.

4. Understand Market Segments: By identifying where different brands sit in consumer minds, perceptual maps provide insights into market segments. This is useful for identifying competitive positioning, changing customer needs, and spotting opportunities for new products.

Utility of Perceptual Maps

Perceptual maps offer several benefits for businesses, especially during brand launches or repositioning:

1. Identify Market Gaps: Using perceptual maps, product managers can spot gaps where consumer needs are unmet and gain insights for developing new products. For example, there may be no brands in bottled water market offering a combination of luxury and environmentally friendly attributes, opening a potential niche.

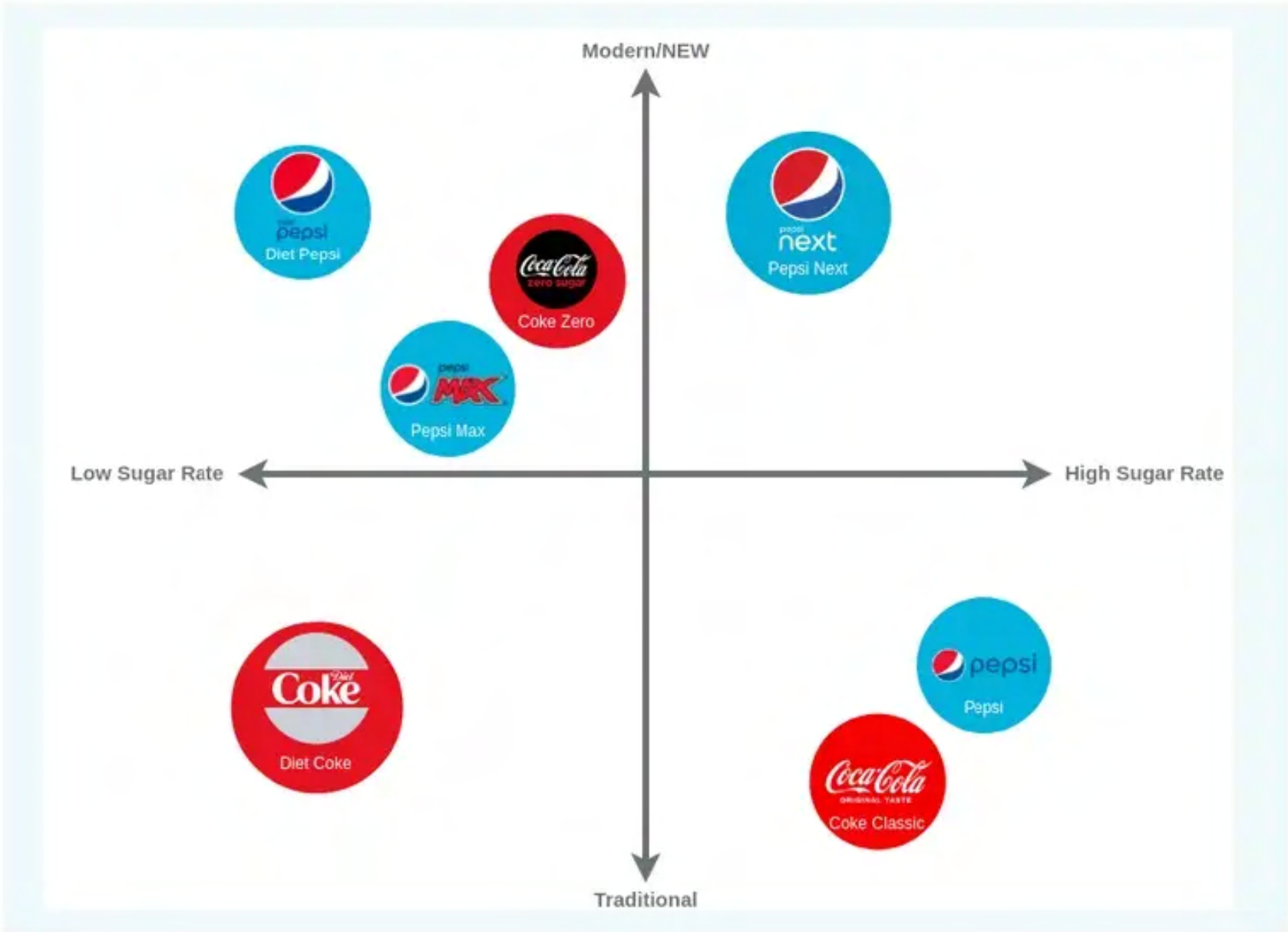


How to Create a Perceptual Map

1. **Pick Attributes:** Choose the key attributes or dimensions that consumers value most in the category. Place the attributes in the x and y axis while defining its spectrum from least to maximum, like in coordinate geometry; we number the x and y axis from – infinity to + infinity. For example, in the sneaker market, you might choose style and comfort as the two most important attributes.

2. **Choose Competitors:** Next, identify the brands or competitors that will be compared on the perceptual map.
    - Example: In the sneaker market, brands like Nike, Adidas, Puma, and Under Armour might be compared.

3. **Gather Data:** Conduct surveys to gather data on how consumers perceive the competitors on the chosen attributes. Based on this, place the brands on the map.

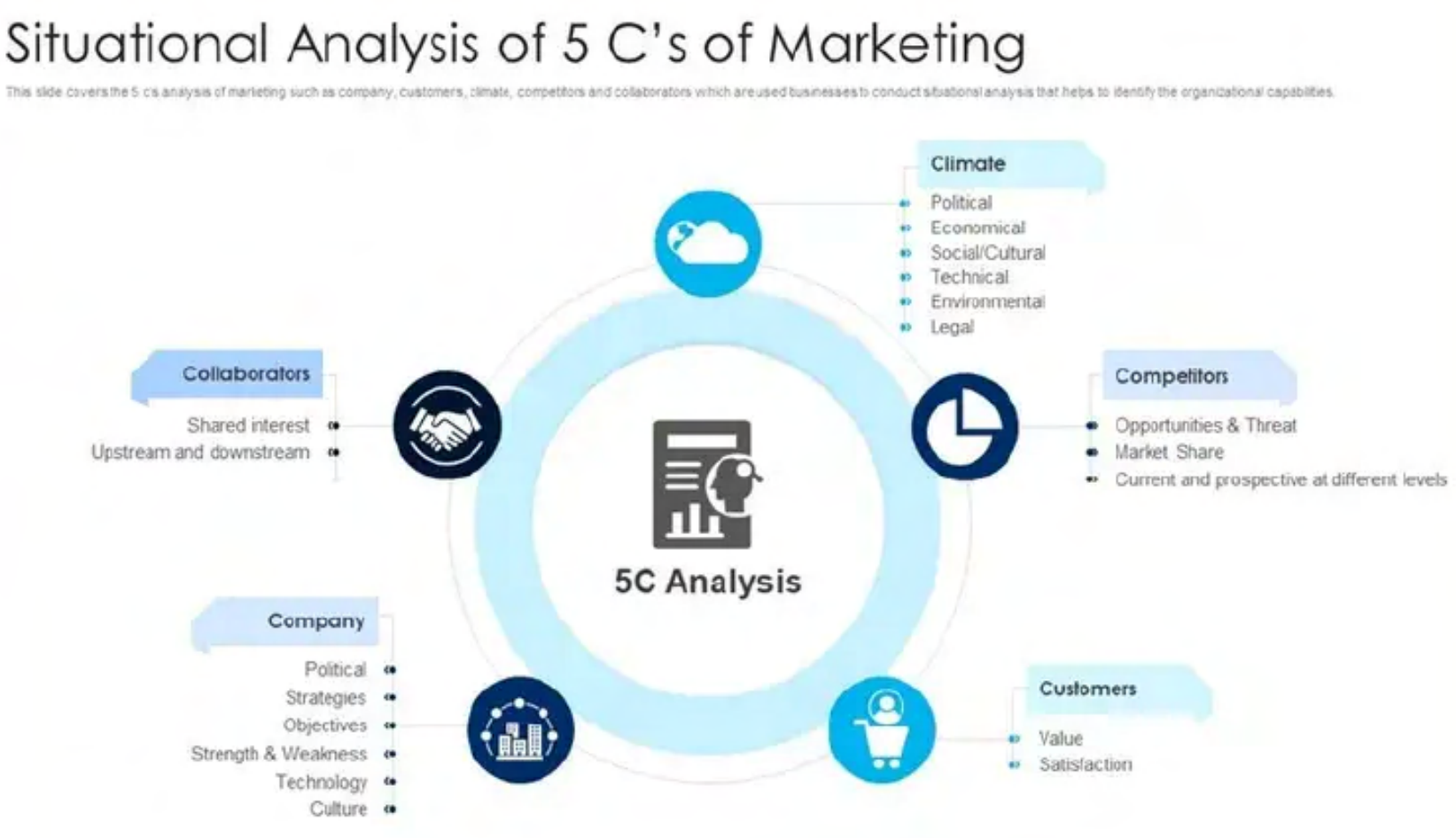


For further understanding please refer to the following link: here
To learn more about Positioning Maps please refer to this and this

5C'S OF MARKETING

How to Use:

The 5Cs framework helps develop a broad understanding of the environment in which a company operates, which is imperative to know before making any strategic or marketing decisions. The 5Cs are Company, Collaborators, Context (sometimes Climate), Competitors and Customers.



COMPANY

The first C in the 5C framework is **Company**, which involves a deep dive into the company's internal environment. This means examining everything from its product line to its culture, values, goals, and technology. The goal is to identify the company's **sustainable competitive advantages**—the things it does better than competitors that give it a lasting edge in the market.

By analyzing the company's internal strengths and weaknesses, we can determine whether it's well-positioned to meet customer needs and how it stacks up against competitors. This analysis helps in creating a strong marketing strategy by understanding how to leverage the company's unique strengths while addressing its weaknesses.

Key Questions to Consider:

- What are the company's **major product lines**?
- How do these products **differ from competitors**?
- What are the **competitive advantages** the company has (e.g., brand reputation, proprietary technology, customer loyalty)?
- What makes the brand **unique** in the market?
- What are the **strengths and weaknesses** of the company compared to its competitors?
- How do **customers perceive** the brand?
- What are the company's **long-term goals** (e.g., 5-year objectives)?

Example:

Take **Apple** as an example:

- **Major product lines:** iPhone, iPad, MacBook, Apple Watch
- **Product Differentiation:** iOS vs. Android for other brands
- **Competitive Advantages:** better brand value, a loyal customer base, reputation for high reliability



CUSTOMER

Customers are the heartbeat of any marketing strategy. Understanding their needs, behaviors, and preferences is key to creating a compelling marketing plan. A business must carefully define its **target audience**, segment them based on various characteristics, and develop personalized strategies to **attract**, **retain**, and **satisfy** these customers.

To truly connect with your customers, you need to answer some essential questions about their preferences, buying behaviors, and how they interact with your brand. Knowing your customer allows you to fine-tune your products, services, and marketing efforts, ensuring you meet their expectations and stay ahead of the competition.

Potential Questions to Analyze Your Target Customers:

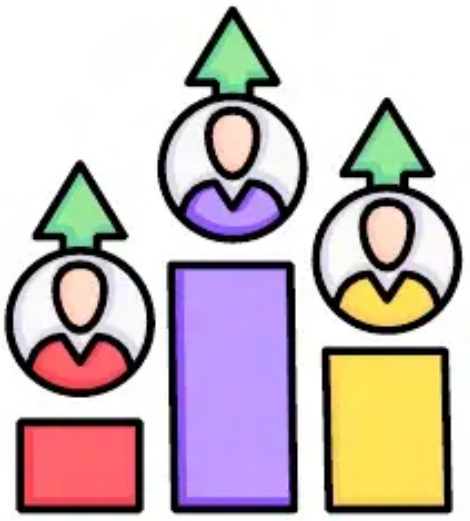
- Who is your **ideal customer**? What do they look for in your products?
- Who is actually buying your products? Is there a difference between your **intended audience and your real buyers**?
- What products are **popular** among your customers, and why?
- What **customer feedback** have you received? Are there common praises or complaints?
- **How do your customers behave** on your website or app? Do they click on certain links or pages more than others?

- **What channels bring customers** to your website? Is it through organic search, social media, paid ads, or something else?
- **Are your customers loyal?** Do you see repeat purchases or high churn rates?
- **What marketing campaigns have worked** well for you in the past? What hasn't worked?
- Are your **customers influenced by seasonality**? Do their buying habits shift based on time of year or events?
- Are your customers **more rational or emotional buyers**? Do they make impulse purchases, or do they carefully consider each decision?
- **What motivates your customers** to buy? Is it convenience, price, quality, or the prestige associated with the product?
- **Where do your customers find information** about your product? Is it from word of mouth, online reviews, or social media?
- **How do you communicate** with your customers? What channels (email, social media, phone, etc.) do they prefer?
- What do your customers **love about your brand**? How can you build on that positive feedback?



Example:

The customers of Spotify premium prioritize convenience and are willing to pay to get that. They are generally fond of customization and sharing their music preferences. The customers primarily belong to the age group of 20-40, in urban areas, in the upper-middle and upper-income categories.



COMPETITORS

Competitors are other organizations that offer similar products or services to your target customers. Analyzing the competitive landscape is essential to gaining insights into how your competitors operate, what their strengths and weaknesses are, and where the opportunities and threats lie. By understanding your competitors, you can strategically position your company to gain a competitive edge in the market.

A thorough competitor analysis enables you to spot gaps in the market, identify trends, and differentiate your brand more effectively. It also helps you understand where you can outperform your competitors and where you may need to improve.

Key Questions to Consider When Analyzing Competitors:

- Who are your **direct competitors?** Are there any emerging or established players in the market?
- What **products or services do your competitors offer** that you don’t?
- What are their **biggest strengths and weaknesses?** What are the things they can do that you currently can't?
- How are they **gaining a competitive advantage**? What strategies are they using?
- What are the **points of parity and differences**?
- Who is the **target audience of your competitors**, and how does it differ from yours?

Example:

In the **two-wheeler market**, **Honda Activa** competes directly with **TVS Jupiter**, **Yamaha Fascino**, and **Suzuki Access**. However, new entrants like **Ola Electric** are disrupting the market with their electric models, bringing new opportunities and threats. Indirect competitors such as ride-hailing services (like Uber and Ola Cabs) may also be considered, as they satisfy the same need (transporting people from one place to another) in a different way.



COLLABORATORS

Collaborators are key partners and stakeholders that help your business achieve its goals by supporting operations, marketing, and product delivery. These can include suppliers, distributors, channel investors, service providers and suppliers among other allies. Maintaining strong relationships with collaborators is crucial for ensuring smooth operations and delivering value to your customers.

This part of the 5C analysis not only brings to light the full extent of how many people it takes to run your business, but it also allows us to pinpoint who is responsible for a particular task, allowing us to hold people accountable for critical areas. We can identify a collaborator who is not collaborating effectively, and this might have an opportunity to replace them to improve the system's efficiency.

Key Questions to Consider When Analyzing Collaborators:

- Who are your **key partners** that help run your company (e.g., shipping providers, investors, or service providers)?
- Who manages **daily operations**, including logistics and supply chain management?
- Who provides **regular shipments** and supplies that you sell?
- Who handles **payment processing** (e.g., credit card transactions or online payments)?

- Who manages your **inventory** and warehouse operations?
- Who manages your advertising and **marketing campaigns**?
- Who handles your **sales and distribution networks**?

Example:

For companies like Amazon or Myntra, delivery partners such as FedEx or Blue Dart are essential collaborators that ensure timely delivery of products to customers.

They collaborate with e-commerce platforms to provide efficient and reliable service, maintaining customer satisfaction. Additionally, suppliers and warehouse managers help keep inventory flowing smoothly, while advertising agencies drive marketing efforts to attract new customers. These collaborations are the backbone of a seamless customer experience.

CONTEXT / CLIMATE

The context in which a business operates plays a critical role in shaping its strategies and decisions. This is often analyzed using the PESTEL framework (Political, Economic, Social, Technological, Environmental, and Legal factors). These are external forces that affect the business environment, often beyond the company's direct control. Understanding these factors is crucial because changes in any of these areas can significantly impact the industry and alter competitive dynamics.

While businesses can adapt to these factors, they cannot control them. Monitoring the external environment allows companies to anticipate changes and adjust their strategies accordingly. Companies that stay ahead of contextual shifts often manage to capitalize on emerging trends, while those that ignore these factors risk falling behind.





Example:

A classic example of a company failing to adapt to the shifting **technological and economic context** is **Blockbuster's** missed opportunity to acquire Netflix in 2000 for $50 million. At the time, **Netflix** was a small DVD rental service, and Blockbuster was the undisputed giant of the home video rental industry.

However, Netflix **capitalized on emerging trends** like streaming technology and shifting consumer preferences, while Blockbuster failed to recognize the long-term potential. Today, Netflix is worth billions, while Blockbuster has become a relic of the past.

4 PS (7 PS EXTENDED VERSION)

How to Use:

The **4 Ps** are designed to create harmony between each element of your marketing mix, ensuring that your product, price, place, and promotion all work together cohesively. For example, the product you offer will dictate the price point, which will influence how and where you distribute and promote it.

Consider a five-rupee chocolate: priced competitively using a coinage pricing strategy, it's distributed in tier 2 and tier 3 cities with minimal promotional effort. This seamless alignment between the 4 Ps ensures the product reaches the right customers at the right price and with the right message.

The concept of the 4 Ps (also known as the **Marketing Mix**) was introduced by E. Jerome McCarthy in the 1960s and remains a cornerstone of marketing strategy today. Many businesses, including global giants, continue to use the 4 Ps to guide their go-to-market (GTM) strategy. Over time, the original 4 Ps have been expanded to 7 Ps to accommodate services and modern business models.





PRODUCT

The first 'P' is Product, referring to the actual offering your business provides to customers. This can be a physical item, a service, or even an idea.

When developing a product, you should ask yourself:

- **What exactly are you selling?** Is it a good, service, or something else?
- **What problem does your product solve?** Does it address a gap in the market or offer a new, innovative experience?
- **Who is your target audience?** Who will benefit the most from your offering?
- **What sets your product apart from the competition?** What makes it unique or better?

Successful products often stand out because they were the first to address a specific customer need. For example, Apple was the first business to market a touchscreen smartphone capable of much more than just making phone.

	GOODS	SERVICES
Tangibility	Tangible products that can be seen, touched & felt.	Intangible experiences that cannot be physically held.
Production	Produced & distributed before customer interaction.	Produced & consumed simultaneously at delivery.
Ownership	Transferred to customers upon purchase.	Not owned by customers; customers pay for access.
Customization	Limited customization options for mass-produced items.	High degree of customization to meet customer needs.
Heterogeneity	Generally consistent in characteristics & quality	Varies due to customer interaction & human involvement.
Marketing Mix	Emphasizes product features, packaging, & branding.	Focuses on customer experience & service delivery.



PRICE

Price is the cost of a product or service. When selling a good or service, it's critical to choose a price that both appeals to the target market and supports the company's objectives. The most sales and the greatest profit are generated for the company at the proper price. The price must also be in line with the actual and perceived worth of the product.

Pricing can have a big impact on a product's overall success. For instance, relatively few people are likely to buy your goods if you price it too expensive for your intended market. Similarly, if you price your goods too low, some people may decide against buying it because they think it might be of worse quality and reduce your prospective profit margins.

Why Pricing Matters:

Perception of Value: Pricing sets expectations. A high price might signal premium quality, while a low price could suggest lower value.

Profit Margins: Pricing directly affects how much money you make from each sale. Set the price too low, and you might not make enough profit.

Competitive Edge: Your price should be competitive, but still reflect your product's unique value.

Key Questions to Ask When Setting a Price:

- What is the price range of your product's competitors?
- What is the range of prices for your intended market?

- What price is too high for your customers? What price is too low?

Example:
Think of a high-end smartphone versus a budget phone. **Apple** prices the iPhone at a premium, reflecting its brand's focus on innovation, quality, and prestige. Meanwhile, a brand like **Xiaomi** offers smartphones at more affordable prices, appealing to budget-conscious customers. Both companies price strategically to match their target market's expectations and brand positioning.



PLACE

Place refers to where you sell your product and how it reaches your customers. Whether it's a physical store, an app, or an e-commerce website, choosing the right location and distribution channels is key to making your product accessible to your target market. The goal is to be where your customers are, ensuring they can easily find and purchase your product.
Finding the best places to sell involves understanding where your target audience shops and what distribution methods will most effectively reach them. A well-thought-out placement strategy can make a huge difference in maximizing sales and customer satisfaction.

Why "Place" Matters:

- **Customer Accessibility:** Being in the right locations ensures your target market can find and buy your products easily.
- **Convenience:** Whether it's online or in-store, convenience plays a big role in how customers choose where to shop.
- **Brand Presence:** Your store's location or your product's availability on certain platforms can enhance brand visibility and build customer trust.

Key Questions to Consider:

- **Where will your product be sold?** Physical stores, websites, or apps?
- **Where does your target market shop?**
- **What distribution channels work best** to get your product to customers—wholesale, direct-to-consumer, or third-party retail?

Example:

Starbucks is a prime example of effective placement. By strategically opening stores in high-traffic areas like malls, airports, and busy street corners, Starbucks ensures maximum visibility and convenience for its coffee-loving customers.

Their focus on placing stores in accessible locations helps the brand stay top-of-mind and within reach for customers on the go.



TYPES OF DISTRIBUTION			
INTENSIVE	Aim to penetrate market with as many outlets as possible	No cap on stores, locations	
SELECTIVE	Eye on target customer	Limited stores/specific locations	
EXCLUSIVE	High end, exclusive brands	Niche outlets in particular locations	

PROMOTION

Promotion encompasses all the activities that increase customer awareness and engagement with your product, from advertising and public relations to digital marketing strategies. Understanding the balance between sales promotion (push strategy) and marketing promotions (pull strategy) is crucial to crafting an effective promotional mix.

Types of Promotions:

- **Sales Promotions:** These include bundle offers, discounts, and below-the-line (BTL) activities aimed at immediate sales boosts.
- **Marketing Promotions:** These involve broader strategies like digital campaigns and sponsorships designed to build brand awareness and customer loyalty.



Promotions should be carefully planned to ensure they are cost-effective and generate a positive return on investment. It's essential to avoid overly extravagant promotions that do not align with the product's market or expected returns. Hence, be careful before suggesting extravagant promotional strategies that may not yield high ROIs.

Example: Coca-Cola's "Share a Coke" campaign is a stellar example of marketing promotion. By personalizing bottles with customers' names and encouraging sharing on social media, Coca-Cola created a massive engagement while fostering a personal connection with the brand.

Key Considerations for Effective Promotion:

- **Timing**: Identify the best times to engage with your target audience.
- **Channels**: Determine which platforms your target audience frequents most, such as social media, email, or traditional media.
- **Messaging**: Choose advertising messages that resonate deeply with your target demographic.

THE 4 + 3 P'S OF MARKETING

PEOPLE

People refer to the individuals within your business—employees, customer service representatives, and support staff—who interact with customers. Their skills, attitude, and behavior directly influence customer satisfaction and the overall perception of your brand. The right people can enhance the customer experience, build loyalty, and reinforce your brand values.

Key Consideration: What kind of people align with your brand's vision and your customers' values?

Example:

The **Ritz-Carlton** empowers its employees to go above and beyond to create memorable experiences for guests. Similarly, **Starbucks** refers to its employees as "**partners**," encouraging them to form personal connections with customers—like asking for names when taking orders—which creates a welcoming, personalized experience.



PROCESS

Process refers to the systems, workflows, and procedures that ensure the smooth delivery of your product or service. This element focuses on efficiency, consistency, and quality, ensuring that every interaction with the customer, from the first point of contact to post-purchase support, is seamless and predictable.
A well-optimized process reduces errors, improves customer satisfaction, and often leads to cost savings. Consistency across these processes ensures that customers have the same positive experience every time.

Example:

McDonald's has perfected its kitchen and service processes, allowing them to deliver consistent food quality and quick service, no matter the location.

PHYSICAL EVIDENCE

Physical Evidence refers to the tangible aspects of your product or service that help create trust and establish credibility. These can include everything from the store environment and packaging to the look and feel of your product. Physical evidence serves as proof of quality and can significantly impact how customers perceive your brand.

Example:
Taj Hotels showcase opulence through their stunning lobbies, elegant furnishings, and heritage properties. These physical cues reinforce the brand's commitment to luxury and high-quality service.

EXAMPLE: APPLE'S MARKETING MIX (4 PS)



1. Product

Apple offers a wide range of consumer electronics, software, and services, including iPhones, iPads, Mac computers, and more. For example, the iPhone is Apple's flagship product, known for its sleek design, cutting-edge technology, and seamless integration with its iOS ecosystem.

2. Price

Apple follows a premium pricing strategy, positioning its products as high-end and focusing on perceived value. For instance, the iPhone Pro Max models are priced significantly higher than competitors, emphasizing their advanced features and top-tier performance.

3. Place

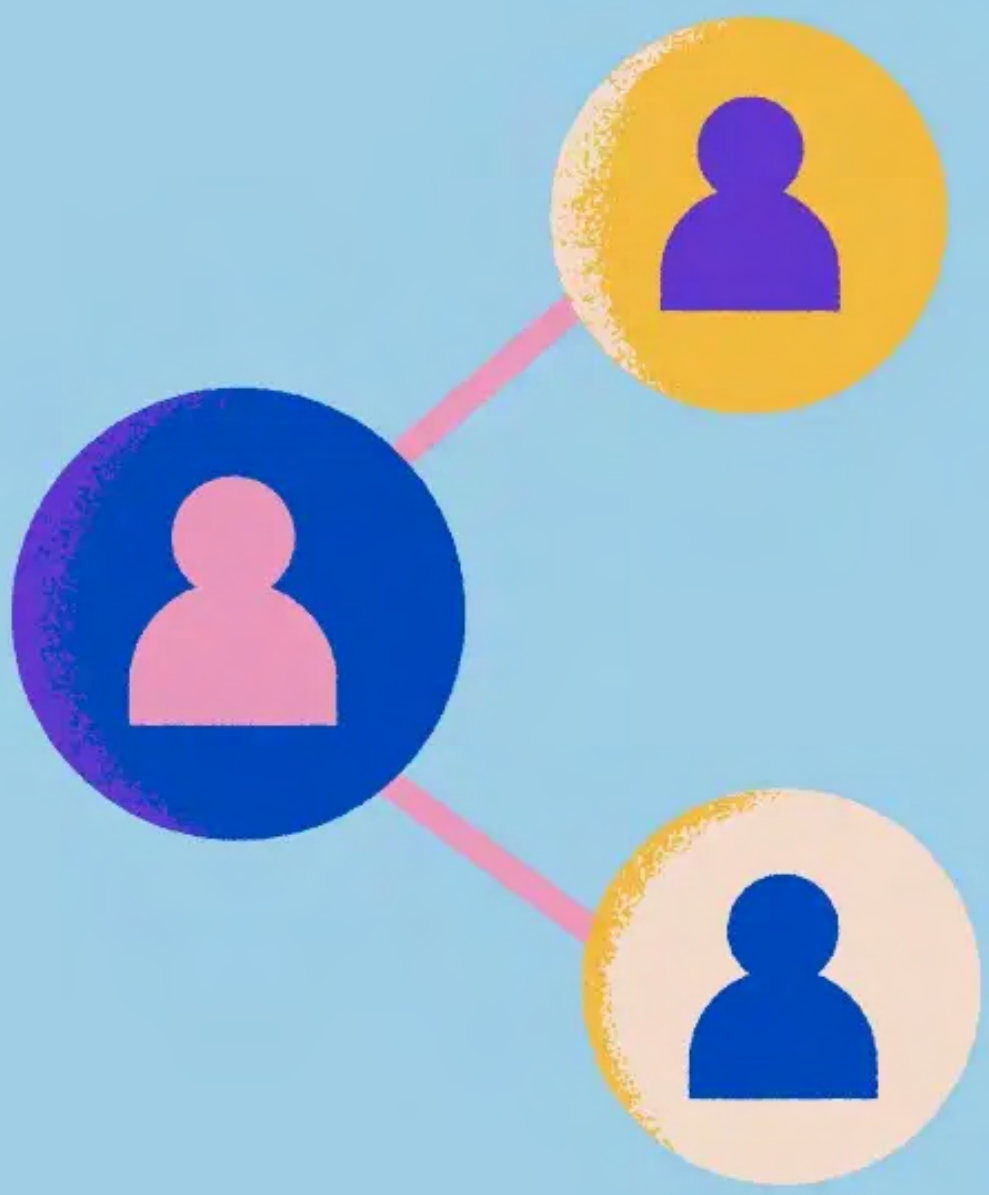
Apple's products are distributed through a variety of channels: Apple retail stores, online platforms, authorized resellers, and carrier partners.

This extensive distribution network ensures Apple products are accessible to customers around the globe.

4. Promotion

Apple employs a comprehensive promotional strategy, focusing on product features, design, and brand prestige. Their marketing campaigns often emphasize simplicity and ease of use. For example, the "Switch to iPhone" campaign in 2017 targeted Android users, showcasing the benefits of switching, such as ease of use, privacy, and integration with other Apple products. Additionally, Apple collaborates with influencers and celebrities to generate buzz around product launches.

We now move on to explore frameworks that can deepen our understanding of core marketing concepts like the 5Cs and 4Ps.



CHAPTER 3

IN DEPTH FRAMEWORKS & CONCEPTS FOR 5CS

SWOT ANALYSIS

How to Use: SWOT analysis is a strategic planning tool used to help an organization identify its Strengths, Weaknesses, Opportunities, and Threats related to business competition or project planning. This framework helps businesses analyze internal and external factors that are either advantageous or detrimental to achieving their specific goals.



STRENGTHS:

These are intrinsic characteristics of a business that give it an advantage over competitors. Strengths are what the business does well and the unique resources it possesses.

Key Questions:

- "What do we do better than anyone else?"
- "What unique resources do we have that others don't?"

WEAKNESSES:

These are the intrinsic characteristics that place a business at a relative disadvantage compared to competitors.

Weaknesses are the openings you give to your competitors so that they develop their products in those areas.

Key Questions:

- "What resource limitations do we face?"
- "What internal factors lead to loss of sales for our business?"

OPPORTUNITIES:

These are external factors that could benefit the business, such as technological trends, favorable policy changes, or increasing demand for your products.

Key Questions:

- "What trends could we capitalize on?"
- "Are there market gaps that we can fill?"

THREATS:

These are external factors that could harm the business. Threats often arise from changing external conditions in areas like politics, economics, or technology (using a PESTEL framework helps here).

Key Questions:

- "What external challenges do we face?"
- "What actions are our competitors taking that could threaten our market share?"

EXAMPLES

COMPANY: TESLA

TESLA	HELPFUL	HARMFUL
INTERNAL	**STRENGTHS:** Cutting edge tech, Strong brand image	**WEAKNESSES:** High production costs
EXTERNAL	**OPPORTUNITIES:** Increasing demand for sustainable vehicles	**THREATS:** Growing competition from other EV manufacturers

BRAND: COCA-COLA

Coca-Cola	HELPFUL	HARMFUL
INTERNAL	**STRENGTHS:** Global brand recognition, Massive distribution network	**WEAKNESSES:** Lack of products in healthy drinks category with consumer preferences shifting
EXTERNAL	**OPPORTUNITIES:** Increasing demand for sustainable packaging	**THREATS:** Growing competition from health-focused beverage brands

Branding is the process of connecting good strategy with good creativity
-Marty Neumeier

BCG MATRIX

How to Use: The BCG Matrix (also known as the Product Portfolio Matrix) is a strategic tool that helps businesses analyze their product portfolios with a long-term strategic view and understand the market dynamics of each product. It evaluates products based on two dimensions: relative market share and market growth rate. It helps to identify what stage a particular brand is in, along with gauging its contribution to revenue, market potential and resource allocation.



The Axes

- **Relative Market Share:** This measures a company's strength or competitiveness within the industry by evaluating how much of the total market share it commands compared to its competitors.
- **Market Growth Rate:** This refers to the rate at which the industry or market is growing. It indicates the overall attractiveness of the industry and the potential for future growth.



Amul's BCG Matrix

THE QUADRANTS

1. Stars:

High market share in a high-growth market



Characteristics:

Stars are market leaders in growing industries. Monopolies or first-to-market products are frequently termed stars. Due to their high growth, stars require significant cash investment, often balancing out their revenue with high expenses. If they maintain their strong market position as growth slows, they have the potential to transition into cash cows. Thus, companies are encouraged to continue investing in stars to secure long-term profitability.

Strategies:

- Build Market Share: Continue investing in capability building and marketing to maintain growth and dominance.
- Defend Market Position: Companies should protect their market share by improving product features, customer service, and differentiating from competitors.

Example: The iPhone in Apple's dominates the smartphone market with continuous growth.

2. Question Marks (Problem Children):

Low market share in a high-growth market



Characteristics:

Question marks represent products in fast-growing markets that consume more cash than they generate, resulting in a net cash-negative position. Although they don't currently yield profits, they have the potential to gain market share and evolve into stars. However, if they fail to secure market leadership, they risk becoming dogs as market growth slows. The strategic challenge lies in deciding whether to invest further in them to capture market share or divest to avoid prolonged cash drain.

Strategies:

- Build further: Invest in the product to increase market share and attempt to turn it into a Star if there is opportunity and competence for growth.
- Divest/Harvest: If the product shows little potential, reduce investment or exit the market to avoid losses.

Example: 1mg and Tata Cliq of Tata Group, Ajio for Reliance

3. Cash Cows:

High market share in a low-growth market



Characteristics:

Cash cows are market leaders in mature industries, generating more cash than they require for maintenance. Operating in low-growth markets, they provide substantial cash flow with minimal additional investment. The cash produced by these products is often used to cover company expenses, fund research and development, service debt, and pay dividends. Additionally, they are crucial for funding other investments, making them essential for the long-term sustainability of the business.

Strategies:

- Harvest: Maximize profits by maintaining market share while minimizing investment.
- Hold: Do nothing, keep the product running to ensure consistent cash flow.
- Defend Market Share: Protect the market leadership position through customer loyalty programs, minor product updates, or targeted marketing.

Example: Apple's MacBook is well-established in its markets, generating steady revenue but requiring little investment.

4. Dogs:

Low market share in a low-growth market



Characteristics:

Dogs are products with low market share in slow-growing industries, making them neither significant cash generators nor consumers. They often act as cash traps, tying up resources with little potential for future growth or profitability. As a result, companies typically aim to divest or discontinue these products to free up resources for more promising opportunities.

Strategies:

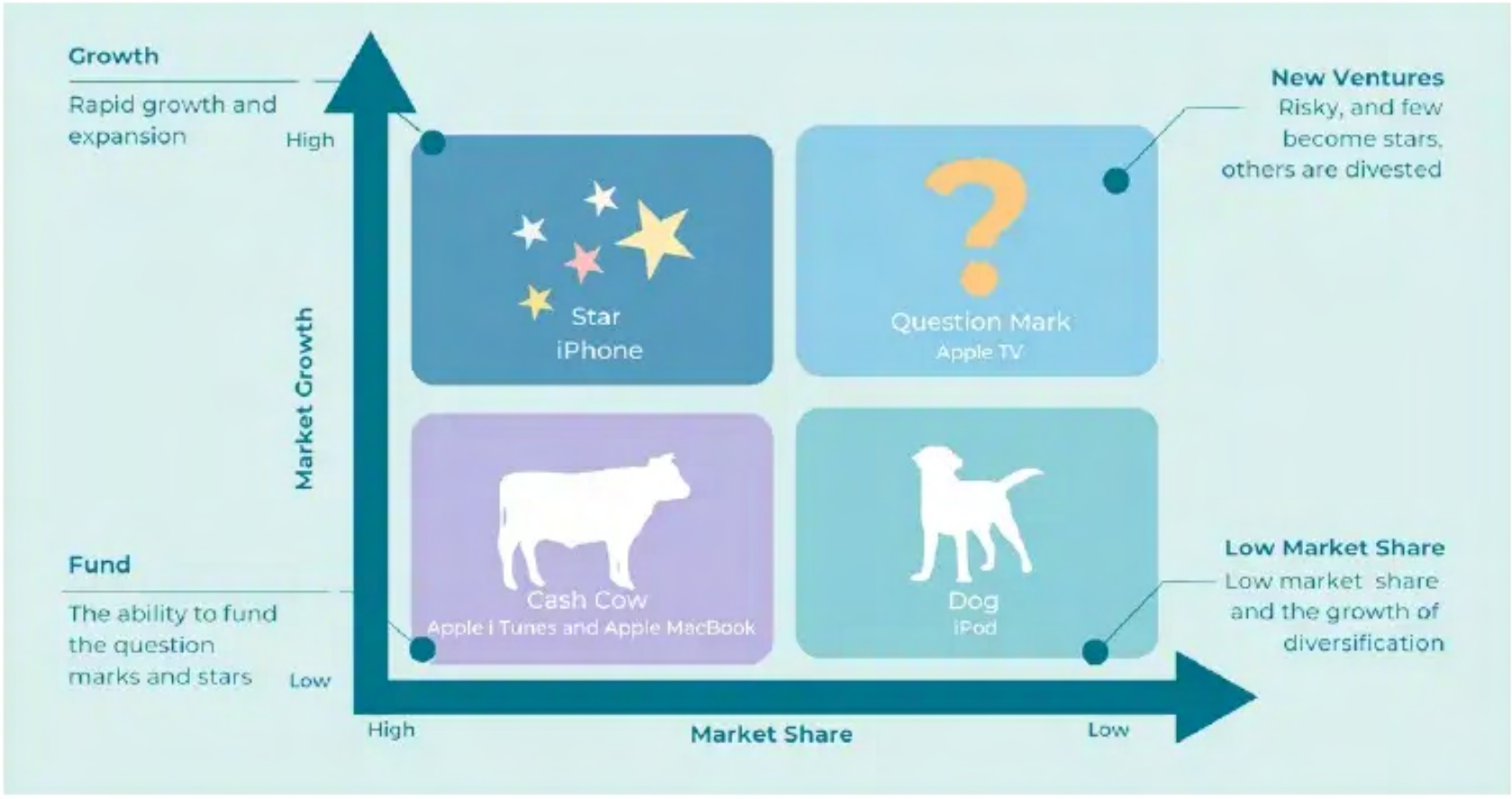
- Divest: Discontinue the product and use the capital elsewhere.
- Hold: In rare cases, hold the product if it’s still providing niche value or if there's potential for revitalization.

Example: Apple’s iPods have now been cannibalized by its iPhones and should no longer receive further heavy investment

Note: The position of a product is not frozen, and it may shift quadrants depending on the company’s strategy and market trends.

EXAMPLE

APPLE BCG MATRIX

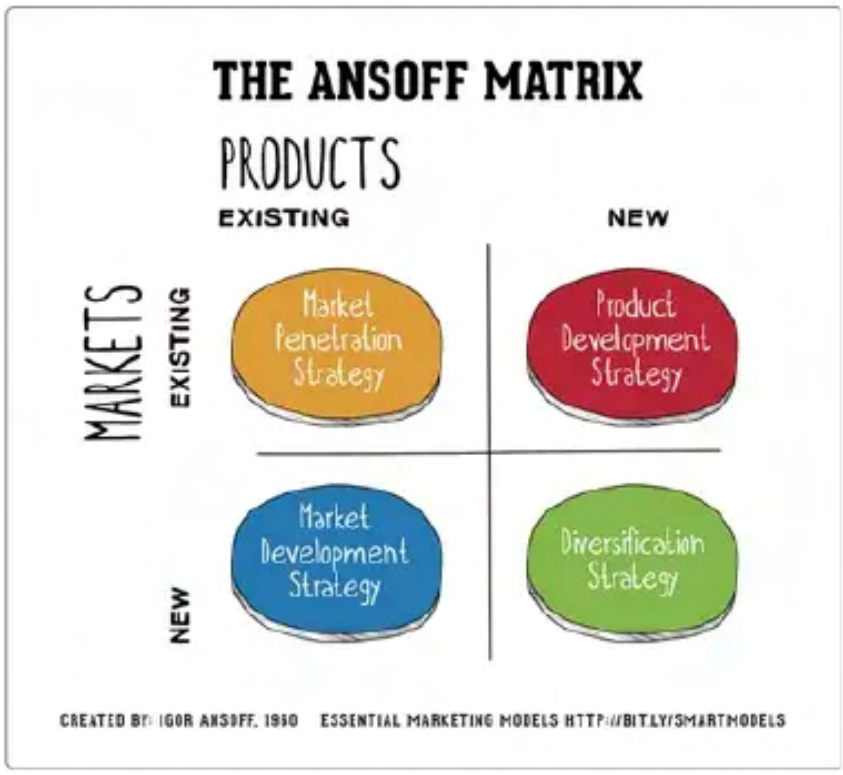


Disadvantages of the BCG Matrix:

- **Oversimplification:** The BCG Matrix reduces the complexity of markets to just two factors which may not provide a complete picture of a product's potential.
- **Static View:** It doesn't account for market dynamics or external factors, such as emerging competitors, technological advances, or changing customer preferences.
- **Ignores Synergies:** The matrix ignores inter-relationships between different portfolios of the same company. For example, a 'dog' may be providing raw material to a 'star'.
- A high market share does not necessarily always lead to profitability.

ANSOFF MATRIX

How to Use: The Ansoff Matrix, also called the Product-Market Matrix, is an essential tool for strategic planning that helps businesses decide their growth strategy by determining whether to market new or existing products in new or existing markets. It provides a clear framework for identifying growth opportunities while assessing the risk level for each strategy.



1. Market Penetration:

This strategy focuses on increasing market share within existing markets with existing products. Businesses aim to grow by selling more to current customers or finding new customers in the same market. This can be achieved through methods like pricing strategies, promotions, and customer retention programs. It is the least risky option as the products are already familiar to the consumers and so is the established market.

Example:
Amazon's Great Indian Festival uses strategies like "Buy Now, Pay Later" to attract a larger audience, further penetrating the existing market.

2. Product Development:

In this quadrant, businesses develop new products targeted at their existing markets. This strategy allows companies to meet changing customer needs and stay competitive by innovating or adding new features to their product offerings. However, it comes with moderate risk since a new product is being introduced which needs investment in R&D, Marketing & Manufacturing. Sometime companies initially outsource the product manufacturing to reduce capex & risk.

Example:
Britannia launched Potatoz, a hybrid biscuit product blending chips and biscuits, appealing to their existing customer base.

3. Market Development:

This strategy involves selling existing products in new markets. Businesses expand by entering new geographic locations or targeting new customer segments. This may involve adapting existing products to suit the needs of a new audience. This strategy assumes that the existing markets have been fully exploited thus the need to venture into new markets. There are various approaches to this strategy, which include: New geographical markets, new distribution channels, new product application, etc.

Example:

- OYO Rooms ventured into China, Zomato expanded to the UAE, and Xiaomi entered brick-and-mortar retail after success in online markets.

4. Diversification:

Diversification is the riskiest strategy because it involves entering two unknowns, new markets with new products. There are two types of diversification:

- **Related Diversification:** Involves businesses expanding into markets or products that are in the similar sort of industry of which the company has experience. **Example**: Adani entering the green energy sector, leveraging its knowledge of traditional energy sources.

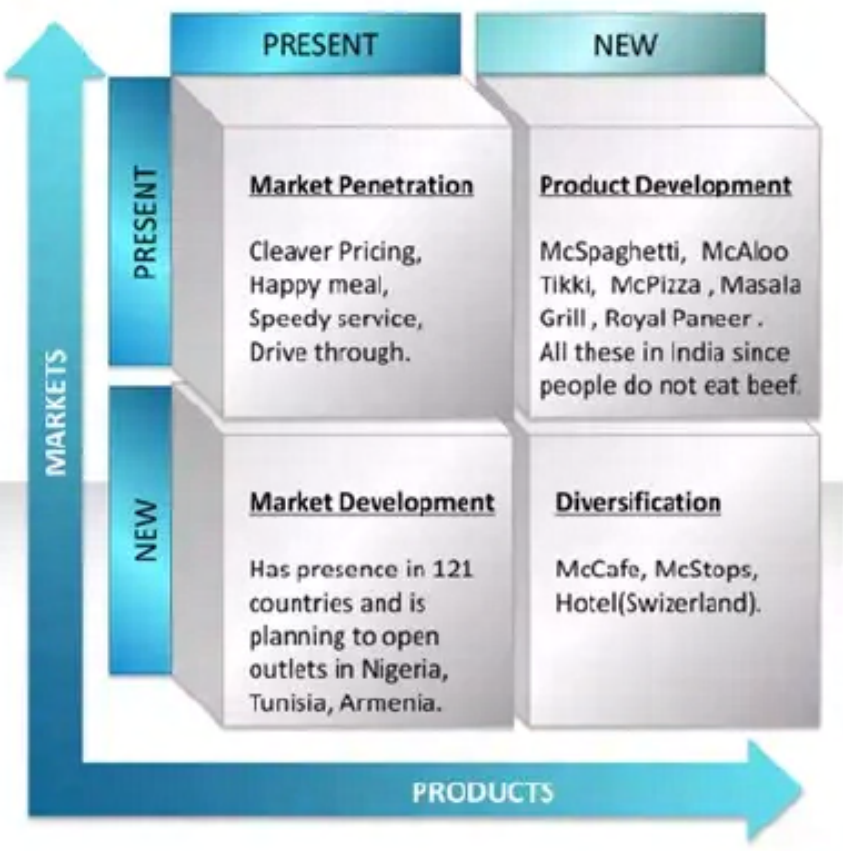
- **Unrelated Diversification:** This involves expanding into completely unrelated industries or markets where the company has no previous experiences. It is usually through alliances or joint ventures to reduce the risk. **Example**: Bajaj moving from mechanical products to financial services via Bajaj Finserv.

Markides' Six Questions for Diversification:

Before embarking on diversification, businesses should answer these six strategic questions by Markides to ensure that the new venture will be valuable:

- What new businesses should we enter?
- What is the strategic logic behind this move?
- How does the new business fit with our existing operations?
- Can we leverage existing resources and capabilities in this new business?
- Will entering this business create value for the company?
- What risks are involved, and how can they be managed?

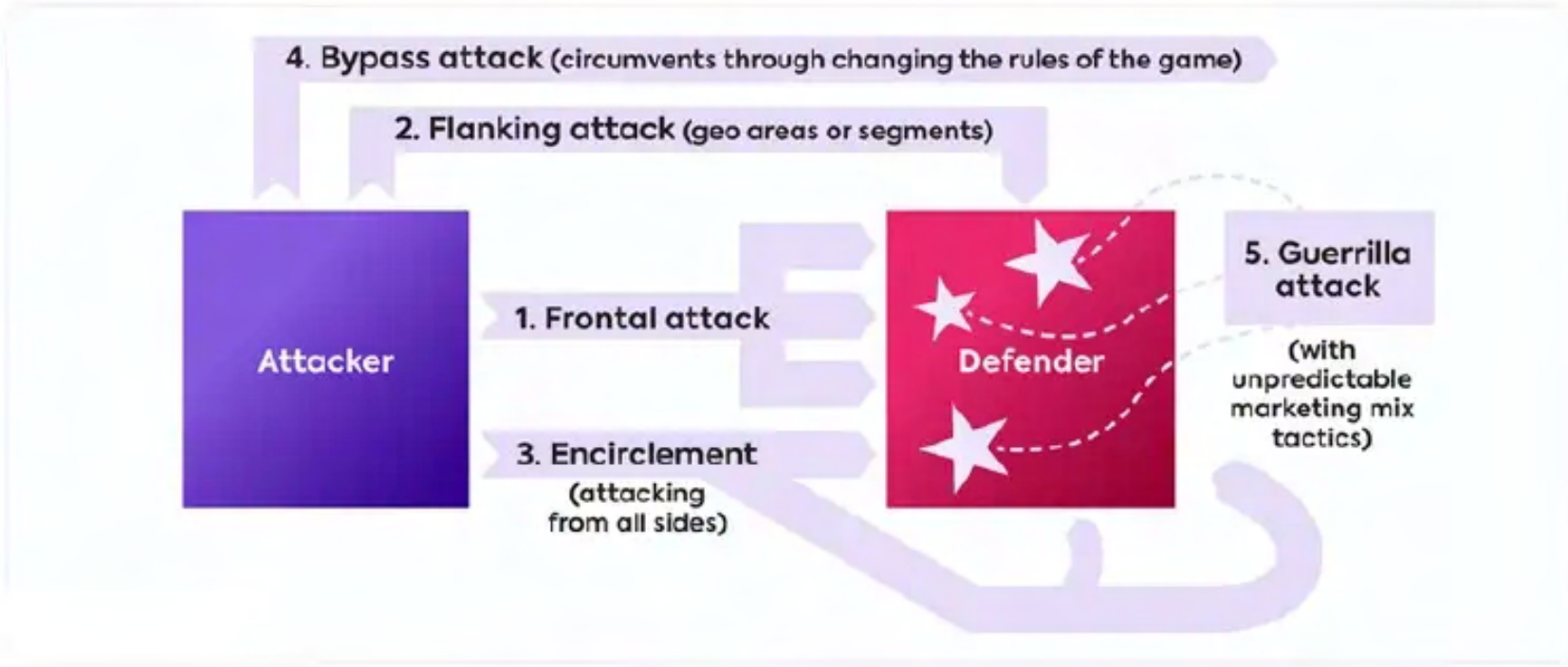
Read more about these questions here. For Ansoff matrix, go here.



Ansoff Matrix for McDonald's

ATTACK STRATEGIES

In marketing, Attack Strategies refer to tactics companies use to challenge competitors and gain market share. These strategies differ based on how directly a business confronts its rivals and in what manner.

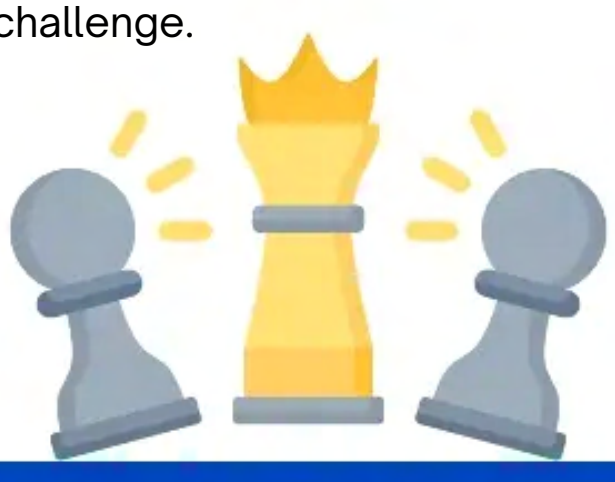


1. Frontal Attack :

A frontal attack occurs when a company directly challenges its competitors by emphasizing its strengths and targeting its rivals' weaknesses. This approach involves head-on competition, often in areas such as price, product features, or promotions.

Example:

- Tide vs Rin advertising war.
- Pepsi launched Diet Pepsi soon after Coca-Cola introduced Diet Coke, leading to a direct market challenge.



2. Flank Attack:

A flank attack focuses on exploiting weaknesses or gaps in the market that are underserved by competitors. Rather than competing directly with the market leader, the company targets niche markets or segments that are overlooked.

Example:

- LG outflanked the other colored TV producers in India, by launching a rural-specific color TV “Sampoorna”, thereby becoming the first one to tap the rural areas.
- Woodland outflanked the other big players, Viz Bata, and Liberty by introducing the robust, durable, rough, and tough outdoor shoes, and hence captured the untapped market segment.

3. Encirclement Strategy:

This involves attacking competitors on multiple fronts, including both their strengths and weaknesses. By launching a wide range of offensives, the challenger puts pressure on the competitor from all angles, making it difficult for the market leader to respond effectively. This helps the challenger with multiple opportunities to win. However, the usual con for attackers is that they are typically benchmarked against the defender and the defender could be assumed as a market leader in the minds of the public.

Example:

- Amazon's Great Indian Festival and Flipkart's Big Billion Days sales campaigns, where the e-commerce giants compete aggressively on pricing, marketing, and product selection, ensuring a multi-pronged attack on their rivals.

4. Bypass Strategy:

In a bypass strategy, companies avoid direct confrontation with competitors by targeting new market segments or offering innovative products in areas where competitors have little to no presence.

Example:

- Pepsi launched mineral water bottles, targeting a healthier beverage segment and bypassing the cola market.
- Spotify started offering freemium music streaming service which forced Apple iTunes to change its distribution strategy of pay-per-song (instead of subscription)

5. Guerrilla Attack

Guerrilla attack strategies involve a series of small, targeted campaigns aimed at chipping away at the competition. These surprise tactics are often unconventional and creative, making them highly effective in gaining attention and undermining the competitor.

Example:

- The classic Coca-Cola vs. Pepsi and Burger King vs. McDonald's ad wars, where the brands use humorous and provocative marketing campaigns to outshine each other.



STRATEGY

PORTER'S 5 FORCES & GENERIC STRATEGIES

How to Use: Porter's Generic Strategies are used to define a company's overall strategy to ensure long-term success. On the other hand, Porter's 5 Forces is a crucial framework used to assess the **attractiveness** and **profitability** of an industry segment. By analyzing the competitive environment, this tool helps businesses identify external threats and opportunities within a market. While Porter's 5 Forces helps evaluate the **market structure and competitiveness**, the Generic Strategies are employed to define how the firm can position itself effectively.

Detailed Explanation of Porter's 5 Forces:

1. Competitive Rivalry:

This force evaluates how intense the competition in a particular industry is, how many existing players there are in the business of the firm, and the capabilities of each. The more competitors there are, the better quality their products have, and the more ability they have to undercut the firm, the higher the threat for the firm. Buyers and suppliers can easily switch from one's firm to another. In a converse situation with minimal competition, the firm has tremendous competitive power and enjoys healthy profits.

- **Example:** The biscuit market in India faces fierce competition, making it challenging for a new firm to establish itself.

Ways to Counter:

If entering a highly competitive segment, businesses should dive deep into consumer insights to find unmet needs or gaps that competitors have overlooked. Launching niche products can help a business carve out a unique position in a saturated market.

2. Threat of New Entrants:

This refers to how easily new players can enter the market. If barriers to entry are low, such as requiring minimal initial investment or limited regulations, the threat is high. Low entry barriers can also lead to rapid market saturation, driving down profits for existing players.

- **Example:** The threat of new entry in the COVID-19 vaccine market is very low due to capital and technology constraints, while this threat may be quite high for an electronics shop in Nehru Place, New Delhi.

Ways to Counter:

Raising barriers by securing long-term contracts with suppliers, patenting technologies, or building strong brand loyalty can protect a business from potential entrants. For instance, Coca-Cola secured long-term contracts in several countries to prevent new competitors from entering the aerated drinks market.

3. Threat of Substitutes:

The threat of substitutes arises when an alternative product can fulfill the same customer need. If a product is easily replaceable by another, the threat is high. This can force businesses to lower prices or improve quality to retain customers.

- **Example:** In the fruit juice segment, a consumer can easily switch from branded juices to Paper Boat, Rasna, or even homemade drinks.

Ways to Counter:
Businesses can reduce substitution threats by focusing on product differentiation. Creating a unique value proposition, like Apple's iPhone with its superior user experience and ecosystem integration, ensures consumer cannot easily substitute your product without letting go of some benefit.

4. Buyer's Bargaining Power:

When buyers are less in number compared to suppliers and have the ease and luxury to switch between competing firms, they possess high buyer power. Example: the government when procuring through tenders. However, when there are many customers and few competitors, buyer power significantly declines.

- **Example:** Big Bazaar, being a large retailer, can demand better margins from suppliers like Surf, forcing them to compete with Tide or Ariel.

Ways to Counter:
To weaken buyer power, businesses must keep a check on their competitors and offer exclusive deals, better service quality, or additional value that buyers cannot refuse. ITC, for example, provides superior quality and service over local Agarbatti brands to ensure buyers prefer their products.

5. Supplier's Bargaining Power:

The number of suppliers, and the switching costs from one supplier to another, influence the supplier power. When there are limited suppliers for a product or service and they have significant control over the price and quality of what they supply, the stronger their position, and the more influence they have on your profit margins. On the other hand, when there are several qualified suppliers for a product or service the firm needs, supplier power is lower.

- **Example:** There are relatively fewer suppliers for components needed in manufacturing EVs, and they enjoy high supplier power. The case is the opposite for suppliers of wheat (farmers) in an agricultural boom.

Ways to Counter:
To mitigate supplier power, companies should avoid over-reliance on a single supplier. For instance, Nestlé ensures it has multiple cocoa suppliers globally to maintain a steady supply, even if one source experiences issues.



Porter's Generic Strategies to Counter Threats:

Once the 5 Forces analysis has revealed the competitive threats, companies can use Porter's Generic Strategies to counter them. These strategies include:

- **Cost Leadership:** Focusing on becoming the lowest-cost producer to minimize the impact of competitive threats. This strategy can help defend against competitive rivalry and buyer power by offering lower prices than competitors.

- **Differentiation:** Offering unique features or superior quality that competitors cannot easily replicate. This strategy is effective in reducing the threat of substitutes by providing distinct benefits that are hard to replace.

- **Focus Strategy:** Concentrating on a niche market segment where the company can serve specific customer needs better than competitors. This strategy can protect against new entrants and competitive rivalry by dominating a small, underserved segment.

Example:

Let's consider **Airline industry**

- **Competitive Rivalry:** High. Intense competition with numerous airlines competing on price, routes, and service quality leads to price wars and high rivalry.

- **Threat of New Entrants:** Low. High entry barriers like capital investment, regulatory hurdles, and the need for established airport networks make it difficult for new airlines to compete with existing players.

- **Threat of Substitutes:** Moderate. Alternatives like trains, buses, or video conferencing exist, but airlines remain the fastest option for long-distance travel.

- **Bargaining Power of Buyers:** High. Customers can easily compare flight options online and switch to low-cost carriers, increasing buyer power.

- **Bargaining Power of Suppliers:** High. Airlines depend on a few key suppliers for aircraft (Boeing, Airbus) and fuel, giving suppliers leverage, especially with fuel, a major cost.

The aim of marketing is to know and understand the customer so well the product or service fits him and sells itself.
-Peter Drucker



CHAPTER 4

PRODUCT MANAGEMENT

WHAT IS A PRODUCT?

A product refers to any tangible or intangible offering designed to fulfill the needs and desires of consumers or businesses. It could be anything from physical items like gadgets, clothing, or furniture, to digital products such as software, streaming services, or e-books.

PHILIP KOTLER'S FIVE PRODUCT LEVELS

To better understand the complexities of a product, Philip Kotler, a renowned marketing expert, introduced the concept of the Five Product Levels. These levels offer a framework for understanding a product's value from the customer's perspective, ranging from its core benefit to future potential enhancements.

1. Core Benefit

To better understand the complexities of a product, Philip Kotler, a renowned marketing expert, introduced the concept of the Five Product Levels. These levels offer a framework for understanding a product's value from the customer's perspective, ranging from its core benefit to future potential enhancements.
Example: When someone buys a fitness tracker, the core benefit they are looking for is health monitoring, like tracking steps, heart rate, and calories burned.

2. Generic Product

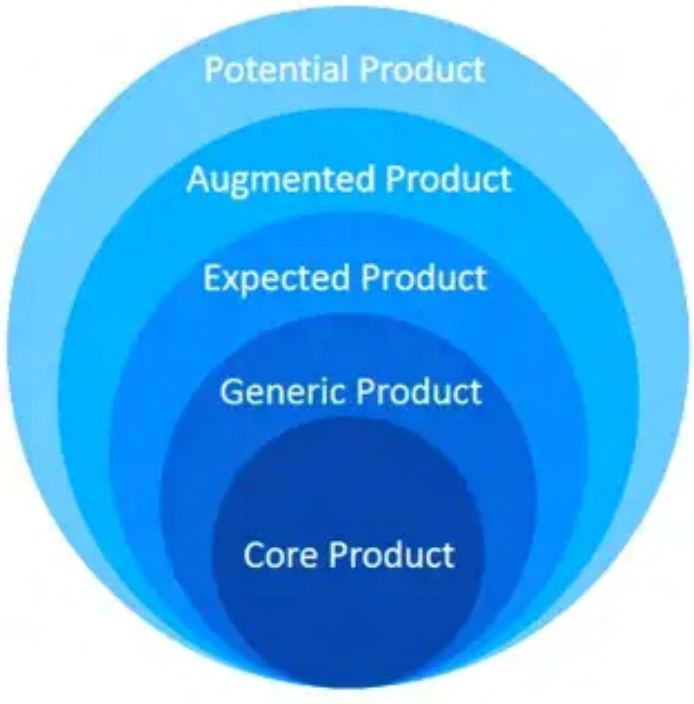
The generic product level encompasses the basic features required for the product to function and fulfill its core benefit. It refers to the essential elements that make the product operational.

Example: For a laptop, the generic product includes its essential features such as a screen, keyboard, processor, and battery—all necessary for it to perform basic computing tasks.

3. Expected Product

The expected product refers to the standard features and attributes that customers assume will be present in any product within a particular category. These features are non-negotiable, and their absence can lead to dissatisfaction.

Example: For a smart TV, customers expect it to come with HD resolution, Wi-Fi connectivity, and streaming app compatibility. Without these, the product would fail to meet basic consumer expectations.



4. Augmented Product

The augmented product goes beyond the expected features, offering additional benefits and services that enhance customer satisfaction and differentiate the product from its competitors. These features elevate the product experience.

Example: A high-end coffee maker might offer features such as a customizable brewing strength, integrated milk frother, and a complimentary coffee bean subscription service. These add-ons increase the perceived value and attract premium buyers.

5. Potential Product

The potential product encompasses future possibilities and innovations that could be added to enhance the product even further. It reflects the potential for the product to evolve and adapt to changing consumer needs and technological advancements.

Example: For electric vehicles (EVs), potential product offerings might include self-driving capabilities or battery swap systems that could drastically reduce charging times in the future.



PRODUCT MIX – LENGTH AND DEPTH

Product mix refers to the complete array of products or services a company offers across all its product lines. It represents the variety of products that a business manufactures, distributes, or sells to meet the diverse needs of its target market. This concept allows businesses to cater to varying customer preferences and maximize their reach in different segments.

Product Line:

A product line of a company is a group of closely related products or services that at least target a similar customer segment or are distributed through similar channels or fulfil a specific need/function in the market. Companies use product lines to streamline their product offerings, create synergies in production and marketing, and cater to the diverse preferences and needs of their target audience. Managing a product line involves making decisions about the development, expansion, or discontinuation of products within that specific category to align with market trends and customer demands.

Breadth of Product Mix (Product Mix Width)

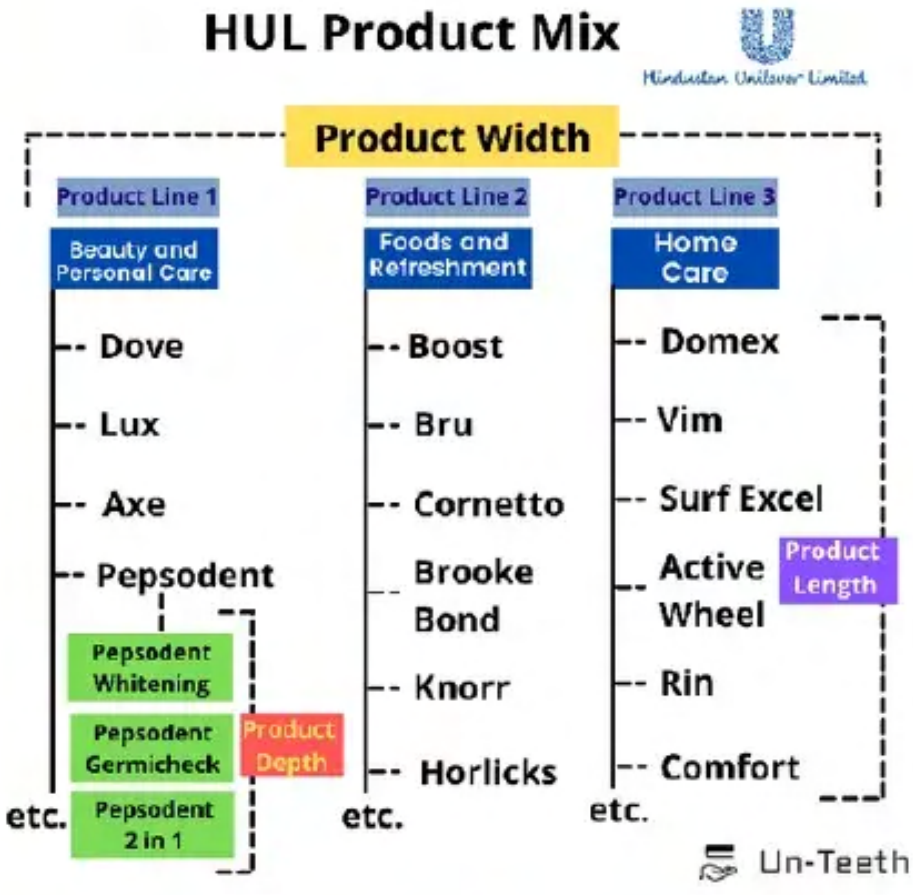
The breadth or width of a product mix refers to the number of different product lines a company offers. It measures the variety of distinct -

-categories or product groups available in the company's portfolio. A broader product mix means the company offers a wide range of different product categories, helping the business reach various customer segments.

Example: A company like Nestlé has a wide product mix that includes beverages, cereals, chocolates, baby food, dairy, and more.

Depth of Product Mix (Product Line Depth):

The depth of a product mix, also known as product line depth, refers to the number of variations, models, or options within a specific product line. It measures how many different versions or choices the company offers within a single product line. A deeper product line provides customers with more options to cater to their specific preferences.



Example: Within the beverage product line, Coca-Cola offers a variety of products such as Coke Classic, Diet Coke, Coke Zero, and Coca-Cola Vanilla, giving customers multiple choices within the same product category.

Product Consistency

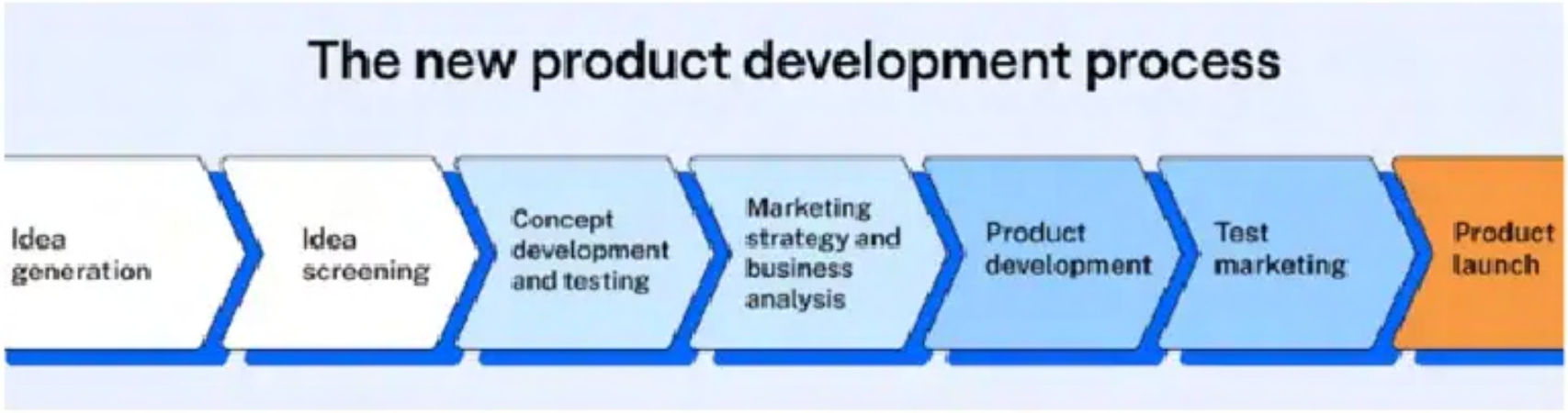
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In marketing, analyzing a company's product mix provides valuable insights for creating targeted strategies. It reveals customer preferences, supports growth initiatives, and informs competitive analysis. Additionally, a diverse product mix aids in brand positioning and resource allocation. Offering a variety of products not only minimizes risks but also enhances cross-selling opportunities. Understanding and managing the product mix is crucial for strategic planning, allowing a business to adapt and thrive in an ever-evolving marketplace.



NEW PRODUCT DEVELOPMENT PROCESS

How to Use: The set of design, research and engineering processes that go into the creation and launch of a new product in the market is referred to as New Product Development (NPD). Technology, competition, and most importantly, consumer needs, are rapidly evolving, which necessitates innovation - this requires frequent and successful formulation of new products by companies.



<u>The seven stages of NPD are:</u>

1. Idea generation:
This is brainstorming a new product idea or ways to improve a product. Methods that may be used are conducting market analysis, and collecting user feedback through focus groups and data analytics.

2. Idea screening:
This refers to deciding which ideas to pursue and which to discard. Reference may be made to pressing consumer pain points, technological feasibility, and marketability of the idea. A good idea is to test the various ideas with external unbiased parties. Only one or a few of many ideas would pass this stage and reach the next.

3. Concept development and testing:
A detailed blueprint of the idea is called the product concept. It entails the target market, the features and benefits of the product, and costs at all stages of the development process. Competing product concepts can be compared on the above metrics. Concept testing is carried out by testing the detailed idea with a select group of customers to gauge the response to the product idea, through experimental groups and focus group discussions.

4. Business planning and business analysis:
Attention is given to the target market size, positioning, price, and promotion of the conceptualized product. Business analysis entails sales, profitability, and cost projections.

5. Product development and selection:
Here, a finished, marketable product is developed from the aforementioned concept. It involves first creating a prototype and testing it to uncover shortcomings, followed by the creation of the actual product.

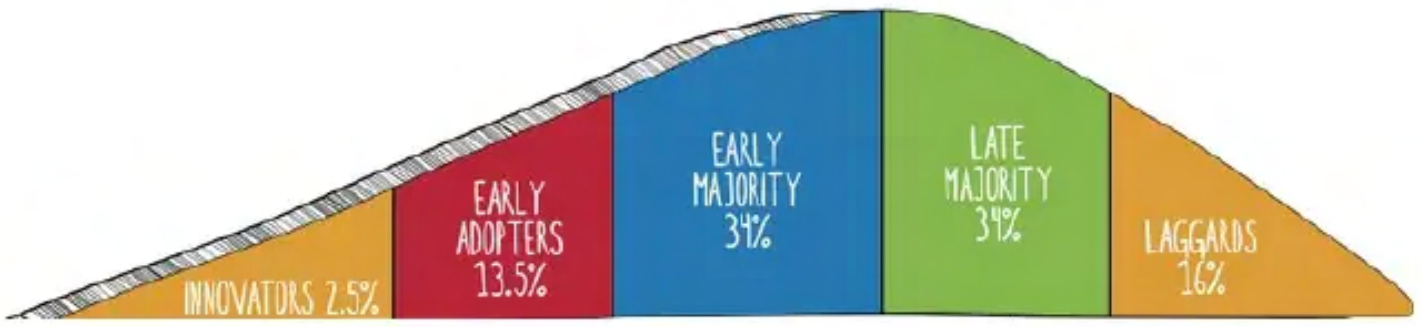
6. Test marketing:
It involves releasing the finished product to a sample market to evaluate its performance under the predetermined marketing strategy. This helps gear up for the product launch.

7. Product launch/Commercialization:
This is when the final product is launched to the entire market. At this stage, the product, marketing, sales, and customer support teams must be in place to guarantee a seamless consumer journey and successful launch.

To learn more about this topic, visit here.

DIFFUSION OF INNOVATION MODEL

The Diffusion of Innovation (DOI) model, developed by Everett Rogers, explains how new products or ideas spread through the market gradually, instead of all at once. It divides consumers into five categories based on their speed and willingness to adopt innovations.



Innovators	Early Adopters	Early Majority	Late Majority	Laggards
Visionaries and Enthusiasts		Mainstream Adopters		Resisters
• dream realizers • drive change • aren't afraid to fail • explore in iterations • high tolerance for risk, uncertainty and ambiguity • adventurers • change initiators • internally motivated to change • respected by EAs; doubted by the mass	• evangelists • embrace change • self-efficacy • like to be first to try, use, engage, buy • try our new ideas in careful way • inspired by the new • like integrating new ideas in useful ways • influencers - like to convey ideas • respected by the majority	• pragmatists • accept change (sooner than LM) • deliberate • adopt if practical - weigh out pros & cons; think it out • go along; seldom lead • helps it gain mass appeal • wait until it has been successful in practice	• skeptics • accept change (later than EM) • adopt after proven • often adopt out of necessity, not choice • goes along w/peers • like to know rules creatures of habit • jumps in when sees "everybody" is doing it	• change averse • value tradition • not leaders • suspicious of new innovations • often wait until forced to adopt • feel threatened or very uncomfortable by uncertainty and change • not going to buy in to new ideas

1. Innovators

Innovators are the first to try new products. They are risk-takers, love exploring new technology, and often don't mind imperfections. They are also happy to carry out initial testing for the companies and provide feedback. They are the smallest segment and are generally only 2.5% of the consumer pool. Hence targeting them alone will not make you reach break-even.

Example:

Early buyers of the first Tesla vehicles, who were eager to try electric cars despite higher costs and limited infrastructure.

2. Early Adopters

These are opinion leaders who adopt innovations soon after the innovators. They are more cautious but recognize the benefits quickly and influence others within their social circles. They play a key role in promoting these products by sharing their positive experiences, helping to generate word-of-mouth recommendations.

Example:

People who quickly embraced the iPhone in 2007, recognizing its game-changing potential in mobile technology.

3. Early Majority

This is the biggest segment comprising of 34% of the consumer pool. The early majority adopts innovations after seeing them successfully used by others in the market. They need assurance that the product is reliable and effective. Marketers provide -detailed product information to enhance consumer knowledge.

Example:

Mainstream users who subscribed to Netflix after it became a widely trusted platform for streaming content.

4. Late Majority

Late majority adopters are more skeptical of new innovations. The late majority adopts new products when they become the social norm or when the benefits outweigh any perceived risks.

Example:

Users who switched to WhatsApp years after it became popular, when it was the default messaging app for most people.

5. Laggards

Laggards are the last to adopt innovations, often resistant to change and only switch when the older options are no longer available.

Example:

People who clung to feature phones until smartphones became the only practical option.

Using this model, businesses can strategically plan their marketing efforts to target each adopter group effectively. Tailoring marketing messages, product features, and pricing strategies to each segment allows companies to maximize adoption rates and market penetration.



PRODUCT LIFE CYCLE (PLC)

The **Product Life Cycle (PLC)** framework helps businesses understand the different stages a product undergoes, from introduction to eventual decline, allowing them to tailor their marketing, pricing, and production strategies accordingly.

How to Use the PLC: The PLC is used to guide key business decisions, including when to ramp up advertising, reduce prices, introduce new features, or enter new markets. Companies can optimize their strategies by understanding which stage their product is in and responding proactively to market shifts.

Detailed Explanation of PLC Stages:

1. Introduction Stage:
When a product is first launched, sales are generally low and grow slowly. This stage requires significant marketing efforts are the customers are either unaware or unwilling to try out the new product. These marketing efforts should, however, be targeted more towards 'Innovators or Early adopters' per the Diffusion of Innovation model, i.e., those customers who are more likely to buy a new product when it comes to market. Two price-setting strategies are generally used-

- Price penetration: Enter the market at low price points and capture a high market share. E.g.: Reliance Jio
- Price Skimming: Charge an initially high price and gradually reduce it as the market grows. E.g.: Apple iPhones usually launch at a higher price, and it gradually drops as time passes to cater to a larger audience

The strategies to market to innovators and early adopters include –

- Identify and target specific groups of customers with a specific problem that your product or service could solve
- Conduct testing of the product/service with these groups – since they are willing to try out new things and willing to take risks, they are often also willing to overlook small flaws and provide valuable feedback which could make the product/service more effective

Example: During the introduction stage of the product life cycle, electric vehicles (EVs) required significant marketing efforts to build awareness and educate consumers about their benefits. Companies like Tesla focused on highlighting unique features, investing in cutting-edge technology and advertising.



2. Growth Stage:



If the product finds footing in the market, sales usually grow exponentially from the take-off point. Economies of scale are realized as revenue increases faster than costs of production. It is during this stage that competition also intensifies as other companies launch similar products.

Marketing spend usually starts to increase, and brand building become important, as the 'early majority' are usually those customers who take some time to try out a new product, but once hooked, they tend to become loyalists and purchase the same product/service repeatedly.

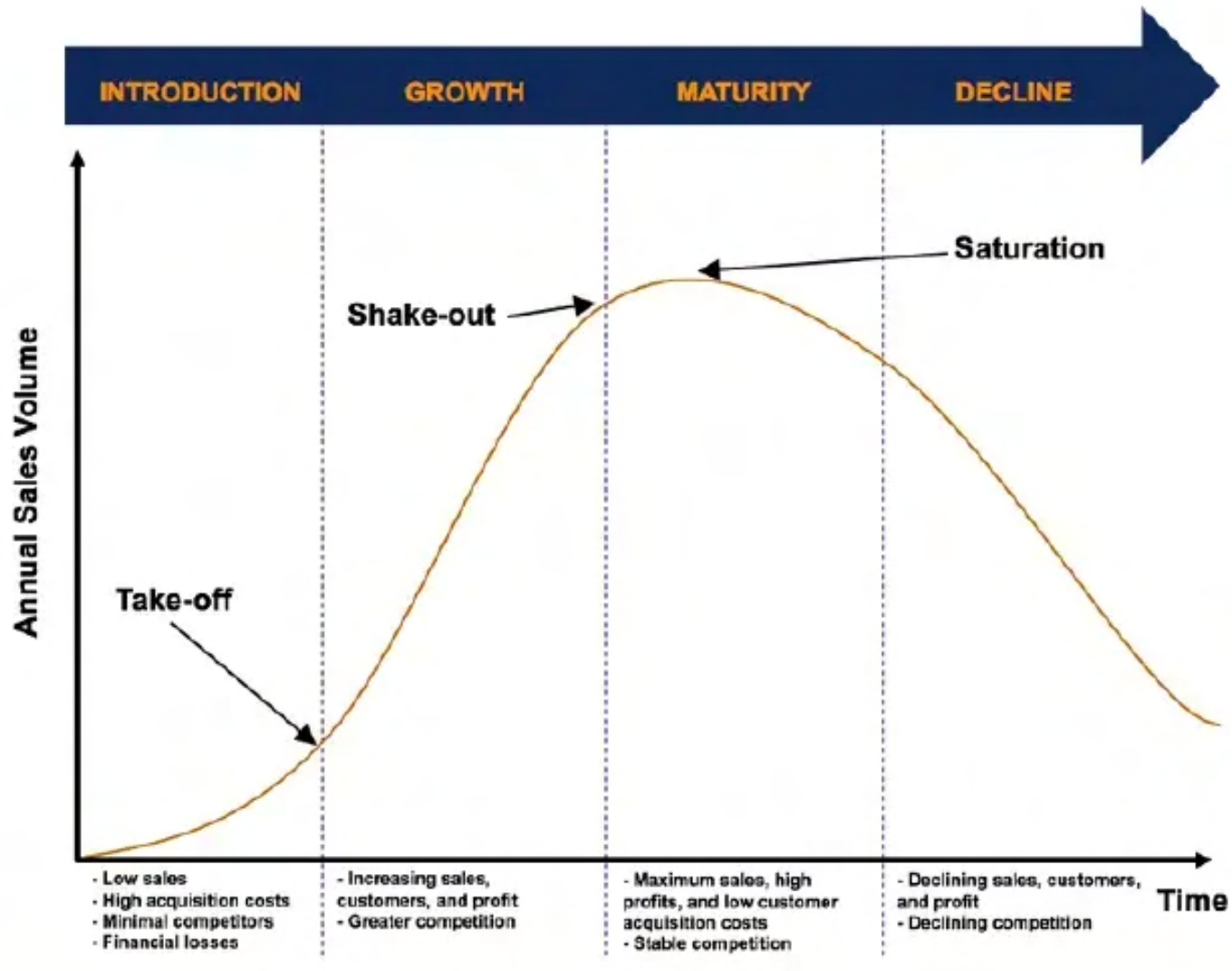
Example:

Netflix expanded globally during its growth stage, investing heavily in original content to build a unique brand identity amidst growing competition from platforms like Amazon Prime and Hulu.

3. Maturity Stage:

Sales start to fall and profitability reduces. This happens mainly due to entry of new, innovative products that satisfy customer needs better than existing products. Strategies employed include-

- **Price Undercutting:** Offering lower prices than competitors to retain or gain market share. **Example**: Samsung uses aggressive pricing strategies to maintain its share in the smartphone market amidst stiff competition from brands like Xiaomi and OnePlus.
- **Promotion Increases:** Higher investment in marketing campaigns and loyalty programs. **Example:** Coca-Cola continues to invest heavily in advertising and promotion despite its product being in the maturity phase, to maintain market dominance.



4. Decline Stage:



Sales start to fall and profitability reduces. This happens mainly due to entry of new, innovative products that satisfy customer needs better than existing products. Strategies employed include-

- **Harvesting:** Minimizing marketing spend to extract remaining profitability. **Example:** BlackBerry reduced its marketing investments, focusing on specific niches like enterprise users before completely phasing out its smartphones.
- **Reducing Distribution Channels:** Phasing out the product from underperforming regions. **Example**: DVD players have largely been pulled from the shelves in favor of streaming services and digital platforms like Netflix and Disney+.
- **Product Divestment or Discontinuation:** Eventually discontinuing the product if it's no longer profitable. **Example:** Kodak's film cameras became obsolete with the rise of digital photography, leading to the complete cessation of their production.



KEY TAKEAWAYS



Characteristics	Introduction	Growth	Maturity	Decline
Sales	Low Sales	Rapidly rising	Peak	Declining
Costs	High cost per customer	Avg cost per customer	Low cost per customer	Low cost per customer
Profits	Negative	Rising	High	Declining
Customers	Innovators	Early adopters	Middle majority	Laggards
Competitors	Few	Growing	Starting to decline	Declining

Adopted from: Kotler, Marketing Management

ROGER'S FIVE FORCES OF INNOVATION

Roger's Five Forces of Innovation explains the **factors influencing** how new products or ideas are adopted by consumers. These five forces help marketers predict the success or failure of innovations and tailor strategies accordingly.



1. Relative Advantage:

How much better is the new product compared to its predecessor or competitors?
Example: Flash drives quickly replaced CDs due to their superior storage capacity and portability.

2. Compatibility:
How well does the innovation fit into consumers' existing habits, values, or lifestyle? Higher compatibility accelerates adoption.
Example: Fast food chains like McDonald's adapted their menu to local tastes in India, making their offerings compatible with cultural preferences.

3. Complexity:
Innovations that are simpler to understand and use tend to be adopted more rapidly.
Example: Google Home's voice-activated assistant, with simple commands and integration with everyday devices, made it easy for even non-tech-savvy users to adopt smart home technology.

4. Trialability:
The ease with which consumers can try out the innovation before committing plays a crucial role.
Example: FMCG companies often offer small trial packs of new products to lower the entry barrier for consumers.

5. Observability:

The more visible and noticeable the benefits of an innovation, the faster it spreads.
Example: Fitness trackers like Fitbit gained popularity as their visible use showcased health benefits and activity tracking, driving widespread adoption.

Note: Understand the difference between PLC, Roger's forces and DOI model. PLC outlines the stages a product goes through, Roger's forces identify the factors influencing new product adoption and DOI Model complements this by segmenting consumers based on their adoption speed.

To learn more about Roger's forces, click here and here.



CHAPTER 5

PRICING STRATEGIES

PRICING STRATEGIES

Pricing is one of the most critical elements of the marketing mix, directly impacting a company's profitability, market share, and brand perception. For marketing professionals, understanding the nuances of various pricing strategies is essential, as the right pricing approach can be the difference between a product's success and failure in the marketplace.

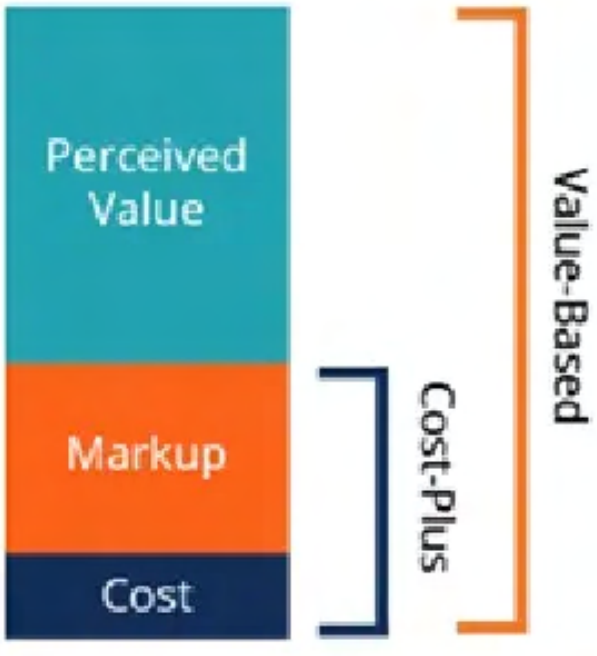
Let's dive into these strategies and understand how companies across various industries utilize them to optimize their pricing decisions.

1. Cost-Plus Pricing:

Cost-plus pricing sets the price based on the production cost plus a markup. It ensures that all costs are covered and a profit margin is achieved.

Example: A manufacturer producing a pair of shoes at a cost of Rs. 50 may add a 20% markup, resulting in a final selling price of Rs. 60.

Where & When Used: Commonly used in manufacturing and retail, particularly for products with easily calculable costs. Best suited for industries with predictable costs and strong price competition.



2. Value-Based Pricing:

This strategy sets prices based on the perceived value to the customer rather than just on the cost of production to capture a portion of the customer's perceived value as the price (consumer surplus).

Example: Luxury brands like Rolex set their prices based on the brand's prestige and the status that owning a Rolex watch confers, rather than just the material and manufacturing costs.

Where & When Used: Frequently used in luxury goods, technology, and services industries. Best used when the product offers unique, high-value features or brand equity that customers are willing to pay a premium for.

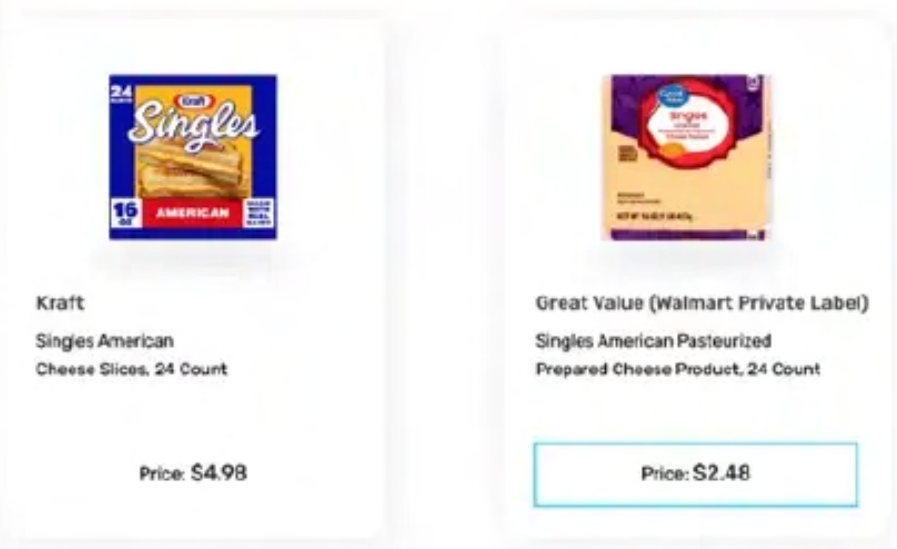


3. Product Bundling Pricing:

Product bundling involves offering several products or services as a package deal at a lower price than if each item were purchased separately. This strategy encourages customers to buy more, thereby increasing the overall value of the transaction.

Example: Fast food restaurants often use product bundling by offering a combo meal that includes a burger, fries, and a drink at a discounted price compared to buying each item individually.

Where & When Used: Widely used in retail, telecommunications, and hospitality industries. Best used when products complement each other, or when a company wants to move excess inventory or introduce new products.



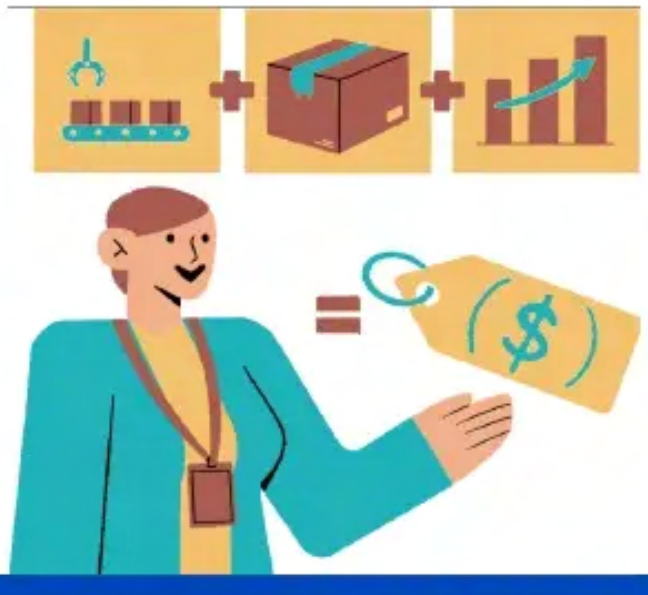
4. Economy Pricing:

Economy pricing is a no-frills strategy aimed at price-sensitive consumers with the objective to attract a large customer base through affordability and high-volume sales. The focus is on keeping production and marketing costs low to offer products at a low price point, appealing to budget shoppers.

Example: Supermarkets (like Walmart) often have generic or store-brand products priced lower than national brands, targeting consumers who prioritize savings over brand loyalty.

Where & When Used: Frequently used in consumer goods, supermarkets, and discount retailers. Best suited for products manufactured at scale like basic, essential products where price is a primary purchasing factor.





5. Two-Part Pricing:

This strategy involves charging customers two separate fees: a fixed base fee and a variable fee depending on usage. It is commonly used in industries where there is a high fixed cost and the need to incentivize regular usage.

Example: Gym memberships often employ two-part pricing, where members pay a monthly subscription fee and additional charges for specialized classes or personal training sessions.

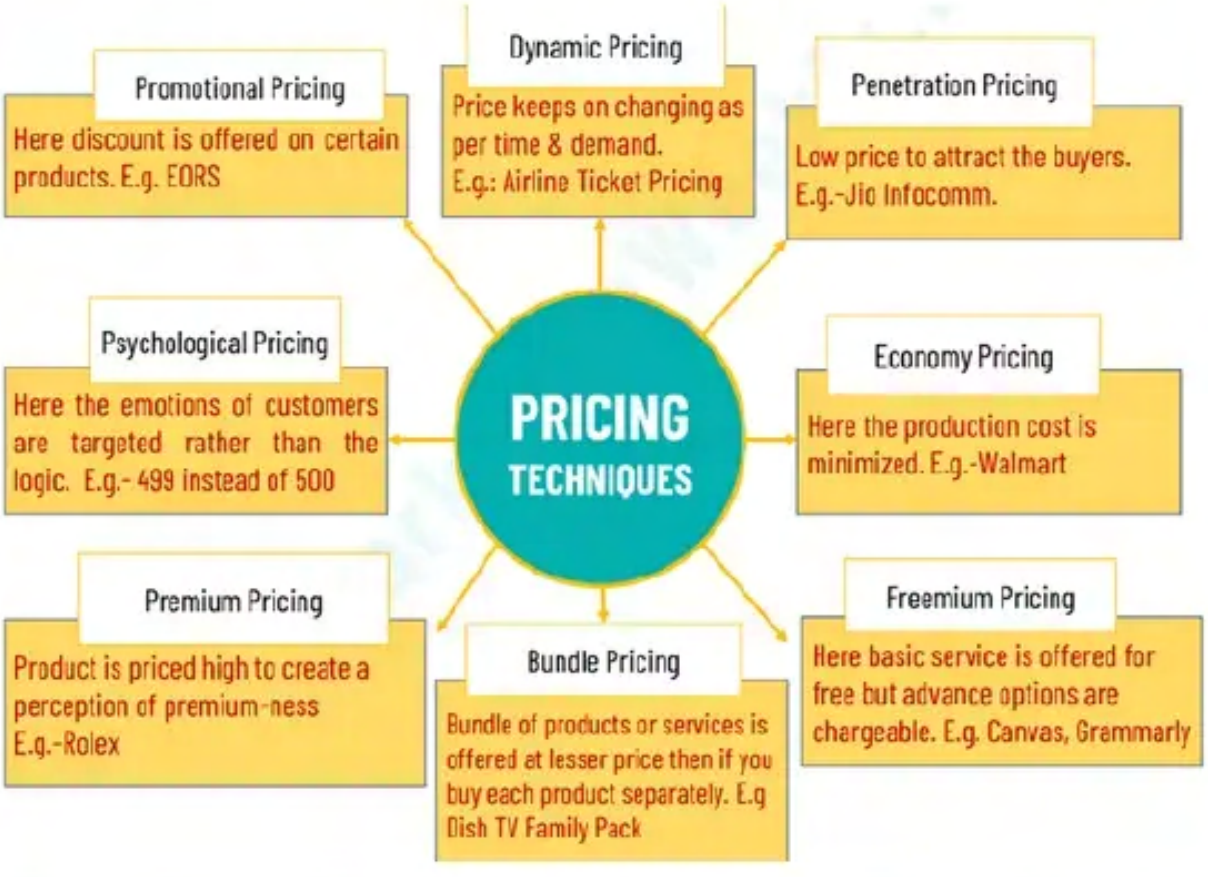
Where & When Used: Commonly used in service industries like telecommunications, airlines, fitness centers, and software as a service (SaaS). It can be used to maximise profits in a market with two consumers. The company sets the access fee equal to the surplus of the consumer with a lower willingness to pay. The usage fee is set equal to the marginal cost, capturing the surplus of the consumer with a higher willingness to pay.

6. Competitive Pricing:

Competitive pricing involves setting your product's price in relation to similar offerings from competitors, aiming to create a price advantage. This strategy is common in saturated markets with well-established products, where businesses compete on price to attract customers. It requires constant monitoring of competitor pricing and market trends to stay competitive.

Example: Brands like Colgate and Pepsodent closely track each other's prices for toothpaste. When one brand introduces a discount or promotion, the other often adjusts pricing or offers similar deals to stay competitive.

Where & When Used: Used in saturated markets with little product differentiation, such as FMCG, cleaning services, or dining. This strategy is also useful when a business wants to use the price of one product as a gateway to drive sales of other products in its portfolio.



7. Skimming Pricing:

Skimming pricing involves setting a high initial price to maximize profits from early adopters, then gradually lowering the price over time.

Explanation: Tech companies often use skimming pricing when launching new smartphones, starting with a high price for early adopters.

Where & When Used: Commonly used in technology and consumer electronics. Ideal when launching new, innovative products to capitalize on the willingness of early adopters to pay more with the objective is to maximize profits before competitors enter the market or demand decreases.



8. Penetration Pricing:

Penetration pricing involves setting a low price to quickly attract customers and gain market share.

Example: Jio employed penetration pricing by offering free data and calls at launch, quickly gaining a large user base. After establishing market dominance, it introduced affordable plans to retain customers.

Where & When Used: Frequently used in new product launches, especially in highly competitive markets like telecommunications, subscription services, and consumer goods to rapidly acquire customers.



Good content isn't about good storytelling.
It's about telling a true story well.
-Ann Handley

CHAPTER 6

BUSINESS MODELS

Business Model refers to a company's plan for making a profit. It identifies the products or services the business plans to sell, its identified target market, and any anticipated expenses. Business models are important for both new and established businesses. They help companies attract investment, recruit talent, and motivate management and staff.

1) Business to Business (B2B):

In the B2B model, businesses engage in commercial transactions with other businesses. This type of business model is common in industries where products or services are sold to other companies rather than individual customers. The B2B model often involves larger transaction volumes, longer sales cycles, and a focus on building relationships between organizations.
Example: Microsoft sells cloud services (Azure) to companies for data storage and IT infrastructure.

2) Business to Customer (B2C):

In a B2C model, companies sell products or services directly to individual consumers who are the end users. B2C transactions typically focus on large-scale customer outreach, faster sales cycles, and often involve consumer-facing retail, e-commerce, or service-based platforms.
Example: Amazon sells a wide range of products directly to consumers through its online marketplace.

3) Customer to Customer (C2C):

In a C2C model, consumers sell products or services directly to other consumers, often facilitated by a third-party platform. This model is common in online marketplaces and peer-to-peer services, where individuals can buy and sell goods, share services, or rent items directly to others.

Example: eBay allows individuals to list items for sale, enabling other consumers to bid on and purchase these items directly.



Good marketing makes the company look smart. Great marketing makes the customer feel smart.
-Joe Chernov

FEATURES OF BUSINESS MODELS

ASPECT	B2B	B2C	C2C
Transaction Volume	Typically lower transaction volume, but higher value	Higher transaction volume, lower value	Lower transaction volume, lower value
Sales Cycle	Longer sales cycle, often involving multiple touchpoints	Shorter sales cycle, impulse buying is common	Can be immediate or take time
Marketing Approach	Relationship-driven, marketing to specific niches	Mass marketing, branding, and advertising	User-generated content, peer-to-peer
Pricing Strategy	Negotiated pricing, volume discounts	Fixed or dynamic pricing	Negotiated or fixed pricing
Customer Loyalty	Often based on relationships and trust	Brand loyalty and customer experience	Trust between individual users

4) Direct to Customer (D2C):

The D2C model is a rapidly growing business trend where brands sell directly to consumers without the involvement of intermediaries such as wholesalers or retailers. This business model allows companies to have direct control over their customer relationships, build a stronger brand presence, and enjoy higher profit margins due to the elimination of intermediaries. D2C brands typically use digital and e-commerce platforms, utilizing social media, email marketing, and online stores for sales and customer engagement.

Example: Mamaearth is a D2C brand selling personal care products directly through its website and mobile app.

D2C has become especially popular due to the growth of e-commerce and digital marketing, allowing even small brands to reach a global audience without the need for physical stores.



CHANNELS

After products are produced, the next step is making them accessible to consumers. The choice of distribution channels plays a pivotal role in a brand's overall marketing strategy, as these channels impact critical decisions around pricing, promotions, and positioning. For example, products sold on e-commerce platforms often need to be competitively priced due to the abundance of choices available to consumers.

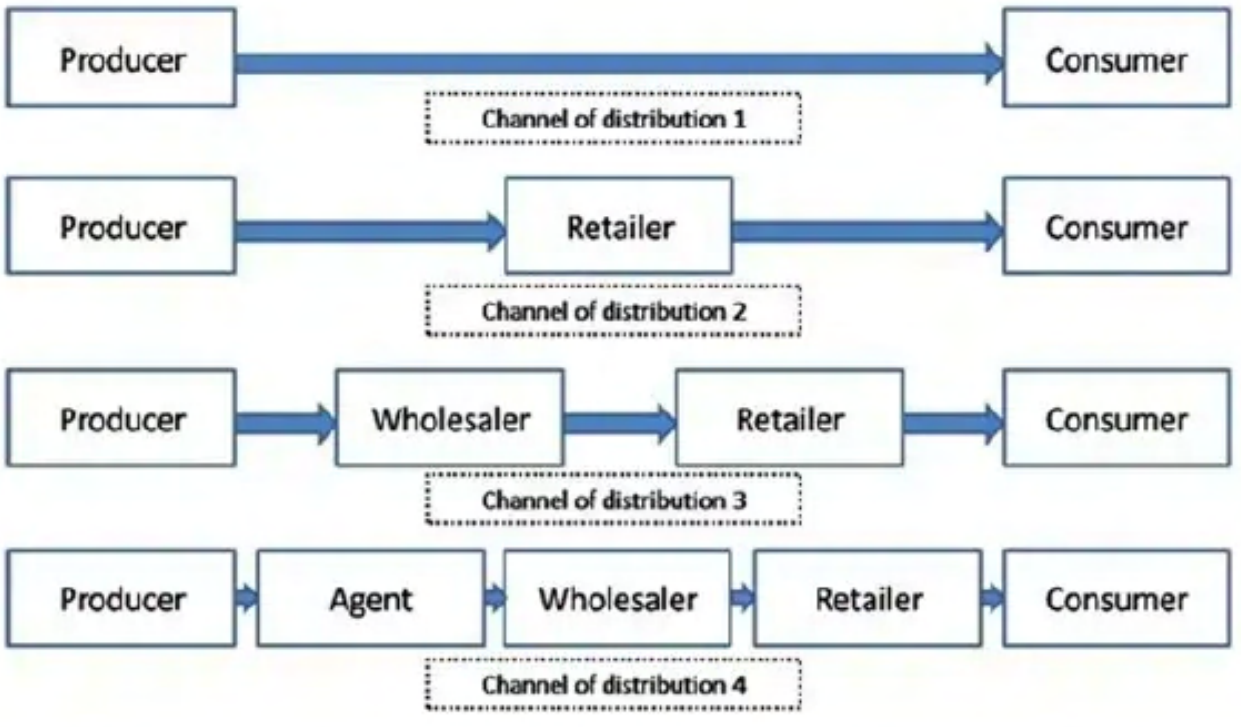
The channels play an important role for producers in fulfilling several purposes, like reaching the target customers, building and maintaining relationships with them and selling the products etc. The consumers also benefit from the channels as they can access various products and compare them as per their wants and resources. In essence, distribution channels are where **marketing meets the marketplace**, shaping both the consumer experience and brand success.

There are mainly four levels of distribution channels (see picture):

Between producers and consumers lies a network of intermediaries, each playing a crucial role in the journey from production to purchase. Retailers, for instance, serve as the final bridge to consumers. They foster strong personal connections with shoppers, offer a diverse product range, provide credit options, and take on vital tasks like product promotion, pricing, and in-store branding. Retailers effectively bring the producer's brand to life on the high street.

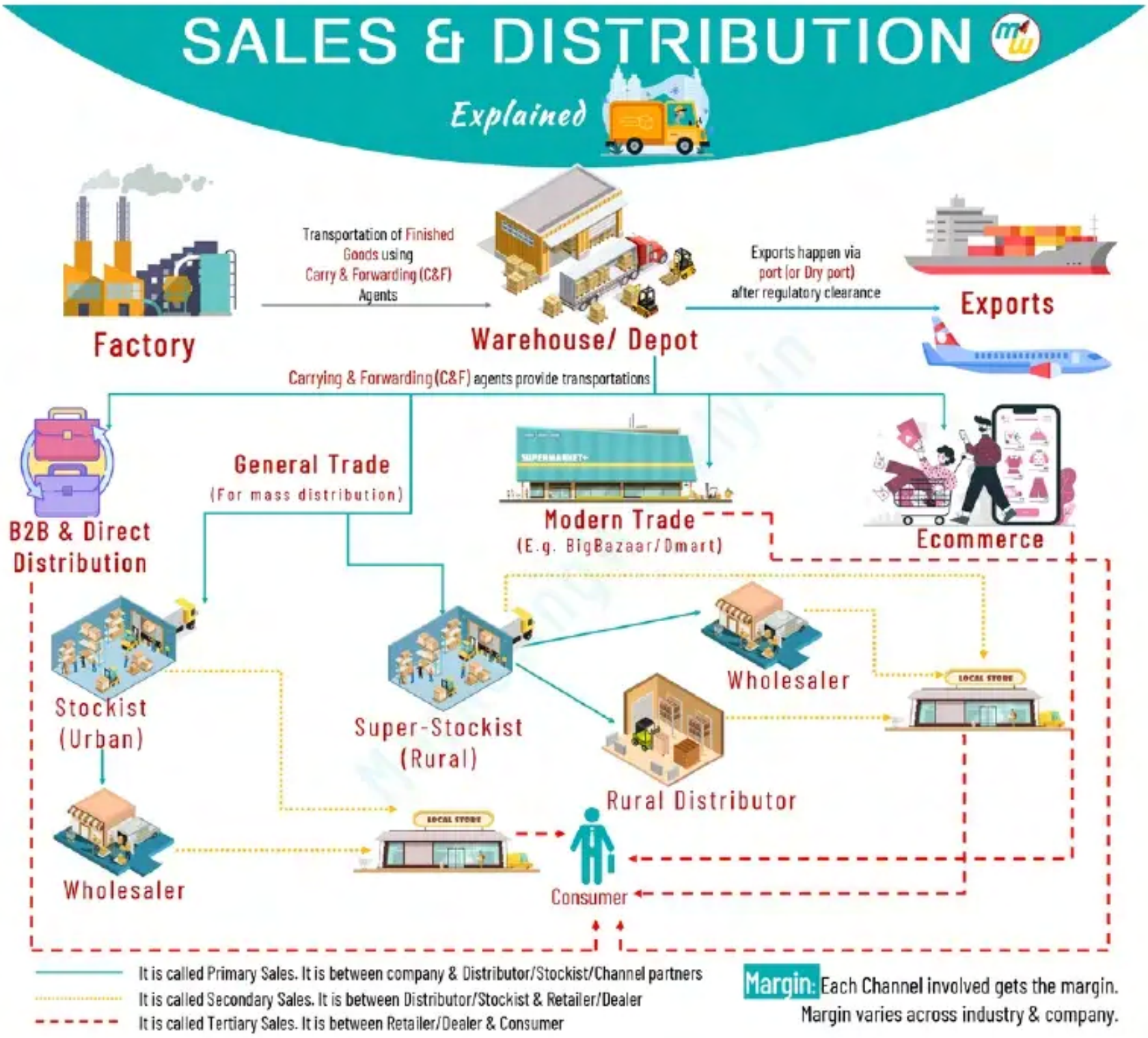
Wholesalers, on the other hand, handle bulk purchases from producers and break them down into smaller quantities for retailers. They offer essential storage solutions, reduce contact costs between producers and consumers, and even take on some marketing duties, such as sales and promotions.

For certain products, especially in specialized industries like jewellery, finance, and metals, agents are indispensable. They facilitate trade where direct interactions aren't feasible, ensuring these commodities reach the market effectively.



In today's landscape, many producers embrace multichannel distribution to reach various customer segments. This approach, often referred to as "click and mortar," combines physical and digital channels to maximize reach and convenience. A prime example is Apple, which sells its products directly through Apple Stores and the Apple website, while also leveraging third-party retailers to broaden its footprint.

By strategically deploying intermediaries and multichannel tactics, companies can enhance accessibility, strengthen brand presence, and cater to diverse consumer needs.



Watch this 4 mins video for better understanding: here

Brand is the sum total of how someone perceives a particular organization. Branding is about shaping that perception.
-Ashley Friedlein

CUSTOMER PURCHASE JOURNEY

The consumer purchase journey maps out the process of a customer interacting with a brand during purchase. It identifies every touchpoint with a consumer as they move through the buying process which can be used to design brand interventions.



1. Awareness

- Consumers realize they have a problem or need. They start searching for information that educates them about potential solutions.
- Brands should deliver educational content to make consumers aware of how their product can solve the identified problem. This could include blogs, social media content, and informative videos.

2. Consideration

- Consumers compare different solutions and brands to find the best fit for their needs. They seek reviews, product comparisons, and user experiences.
- Brands should highlight unique features of their product and how it stands out from competitors. Use tools like listicles, comparison charts, case studies, and testimonials.

3. Decision/Purchase

- Consumers decide to make a purchase, looking for an easy buying experience with minimal friction.
- Brands can simplify the purchase process, providing options like easy checkouts, free trials, and consultations. Offer incentives such as discounts to nudge the purchase decision.

4. Retention

- Consumers evaluate their purchase experience, use the product, and may reach out for support.
- Brands must focus on onboarding, offering prompt customer service (through email, WhatsApp, etc.) to retain customer.

5. Loyalty/Advocacy

- Satisfied customers become brand advocates, sharing their positive experiences with others.
- Encourage customers to share reviews and referrals. This can be through a seamless UX and making effective products with demonstrable success in what they seek to achieve.

POINT OF PURCHASE (POP) MATERIALS

In retail, Point of Purchase (POP) and Point of Sale (POS) materials are powerful marketing tools that capture attention and drive sales. These visual aids play a critical role in influencing customers' buying decisions, strategically enhancing their shopping experience.

POP materials are typically located where customers interact with products before making a purchase decision. This interaction often occurs during the consideration phase of the consumer's journey. The aim is to create interest and curiosity about the product, encouraging customers to explore and engage with it.



Common POP materials include:

- Product shelves and displays
- In-store advertisements
- Billboards
- Special product arrangements

Uses of POP materials:

1. To promote large products that need more attention and display space.
2. To highlight temporary or seasonal promotions, drawing attention to limited-time offers.
3. To showcase different packaging of similar products, helping consumers differentiate between options.

Example: A Kit Kat display with a large, visually striking design of a Kit Kat bar, positioned prominently in a supermarket to draw attention to the product.



POINT OF SALES (POS) MATERIALS

POS materials are located at the point where the customer completes their purchase, typically at the checkout counter. These materials are designed to trigger impulse purchases, encouraging consumers to add last-minute items to their shopping basket. They are often used to promote smaller, trial-sized products that are easy to grab and buy quickly.

Common POS materials include:

- Checkout displays
- Small, high-margin items positioned near the payment area
- Promotional stands

Uses of POS materials:

1. To drive impulse purchases by displaying attractive, easy-to-buy items.
2. To promote small items or trial SKUs, encouraging customers to try new products.

Example: Candy bars, chewing gum, and small electronics placed near the checkout in a supermarket, enticing customers to make additional purchases while waiting to pay.



Watch this 2 mins video to further understand the difference between the two: here

SHELF SPACE MARKETING

Shelf space marketing refers to strategically placing and promoting products on retail store shelves with the intent to optimise consumer attention, visibility and sales. Shelf space is of immense value in retail as it has great influence on how often buyers make unplanned purchases. Brands can capitalise on this with appropriate placement strategies.

Eye level shelves are considered prime retail real estate, and so are the ends of aisles, as both these locations are associated with high pick-up rates. Factors like product size, shape, and packaging are given due importance while making 'planograms' for retail stores.

Eye-catching and appealing packaging, as well as apt lighting, go a long way in making the product attractive. For example, a Tanishq manager has spoken of the merit of using yellow light to highlight gold jewellery and white light for diamond jewellery. Seasonal and promotional displays also help boost the sales of products so promoted.

Companies often pay premiums to ensure that their products are given large shelf space, as well as optimal placement and attention.

To learn more about shelf specific marketing, please watch this video: here

What is Planogramming?

Planogramming is the process of arranging products on shelves to maximize sales. It focuses on product placement, ensuring that items are easily found by customers and are displayed in a visually appealing manner. The presentation of products is as important as their availability in a store.

Why is it important?

If a customer cannot locate a product, they are likely to leave the store without making a purchase or opt for a competitor's product. Effective planogramming not only enhances product accessibility but also plays a crucial role in boosting sales and fostering customer satisfaction within retail environments.





CHAPTER 7

ADVERTISING AND PROMOTIONS

INTEGRATED MARKETING COMMUNICATION (IMC)

After defining the product, identifying the target consumer through STP (Segmentation, Targeting, and Positioning), determining pricing strategies, and understanding consumer behavior and their buying journey, the next step is communicating your message effectively. This is where Integrated Marketing Communication (IMC) comes into play.

At its core, IMC is all about **consistency**. The message you want to deliver about your product or service should be cohesive across all channels.

While the emphasis on specific aspects of the message may shift depending on the segment, the overarching narrative remains the same. For example, a men's deodorant might highlight affordability and longevity in television ads while focusing on the brand's 'cool' factor in online campaigns. But even online, there's still a nod to the product's longevity. This balance ensures a uniform brand image, which is the hallmark of IMC.

IMC, also known as the Marketing Communication Mix (MCM), comprises eight primary communication modes.

MODE	EXPLANATION	EXAMPLE
Advertising	Covers various media channels such as print, broadcast, electronic, and display. Aims to build brand awareness and achieve mass reach.	Dove's TV ads focusing on moisturizing benefits, with billboards reinforcing the same message.
Sales Promotion	Short-term incentives to retailers or consumers to boost sales; trade promotions (company contributes part of the cost incurred by the retailer for advertisements), and salesforce & retailer incentives.	Discount coupons to consumers ('Buy 1 Get 1 Free'); cheaper rates to retailers for meeting sales target; bearing part of the cost for standees/in-store displays
Events & Experiences	Hosting or sponsoring events to create memorable brand experiences and foster goodwill.	Standard Chartered Mumbai Marathon, event by P&G for its Shiksha initiative
PR & Publicity	PR activities to build a positive brand image, often complemented by media coverage (publicity).	Starbucks' sustainable sourcing initiatives that boost its eco-friendly image.
Online & Social Media Marketing	Utilizing digital platforms for targeted ads, engagement, and content distribution across channels like Facebook, Instagram, and email campaigns.	Zara promoting new fashion lines on Instagram, with paid ads and user-generated content.

MODE	EXPLANATION	EXAMPLE
Mobile Marketing	Involves targeting users through in-app ads, SMS promotions, and location-based marketing on mobile devices.	Samsung Galaxy ads displayed in mobile apps after users search for smartphone reviews.
Direct and Database Marketing	Personalized communication with specific individuals or groups through mail, phone, or email, facilitating direct customer interaction.	Amazon's personalized emails recommending products based on past shopping behaviour.
Personal Selling	Face-to-face interaction between the seller and buyer, ideal for complex products requiring detailed explanations.	Car dealerships using sales reps to showcase features and close sales.

Choosing the Right Communication Channel:

Different channels serve different purposes and the decision to invest must be chosen based on the following criteria:

1. **Cost Consideration:** Every channel comes with associated costs, whether it's per second of TV ad time, per square centimeter of a newspaper ad, or the cost of hiring brand ambassadors.
Example: A small startup may find it more cost-effective to run Facebook ads rather than invest in a prime-time TV slot.



2. **Return on Investment (ROI):**
It's crucial to evaluate which channels are more likely to drive actual sales as this channel would change with product category and target consumer.
Example: For a luxury brand like Tesla, TV ads may be less effective than hosting exclusive test-drive events where potential buyers can experience the car firsthand.

3. **Target Consumer Media Habits:**
You need to understand where your target consumers are most active. For example, digital-savvy consumers may prefer online platforms, whereas more traditional audiences may still rely on TV and print.
Example: For a brand like Vim dishwash bar, TV ads during cooking shows might resonate more compared to running ads on YouTube for brands like Flipkart.

Choice of communication channel is crucial to marketing success. Even with a great product and competitive pricing, ineffective communication risks losing sales. Effective IMC delivers a consistent message across all touchpoints, building a cohesive narrative around your brand.

6M FRAMEWORK

Marketing requires a systematic approach to effectively reach and engage with target audiences. One of the frameworks that has gained prominence in recent years is the 6M framework. 6M framework is based on six key factors viz. Mission, Market, Message, Media, Measurement, and Money and provides a comprehensive and structured approach to designing and executing successful marketing campaigns. This framework can help businesses navigate the ever-evolving landscape of marketing in the digital age. This framework can be used to perform **Ad Analysis** and decide one's **approach to Integrated Marketing Communication**.

Mission: At the core of any marketing strategy is a clear and well-defined mission. This is the foundation upon which all other marketing decisions are built. The mission sets the overarching goals and objectives of the marketing campaign. It answers questions like: What is the purpose of the marketing campaign? What are the long-term and short-term goals? Defining a mission helps align all marketing efforts towards a common purpose and ensures that every action is in sync with the brand's vision.

Market: Understanding the market is essential for any marketing strategy. It involves comprehensive research into the target audience, including their demographics, preferences, behavior, and needs. A deep understanding of the market allows marketers to tailor their messages and offerings to resonate with their audience. Market research also helps identify competitors and market trends, which can inform strategic decisions. Aim is to decide - Whom are we addressing? Are we speaking to the right target and are we crafting messages that are specific to them?



Message: Crafting the right message is crucial for effective communication. The message should be tailored to the target audience and align with the brand's mission. It should be clear, compelling, and resonate with the emotions and aspirations of the audience. A well-crafted message can differentiate a brand from competitors and create a lasting impact on consumers.

Media: Media selection is about choosing the right channels and platforms to deliver the marketing message. This includes traditional media such as television, print, and radio, as well as digital media like social media, email marketing, and websites. The choice of media depends on the target audience and the nature of the message. Effective media selection ensures that the message reaches the right people at the right time.



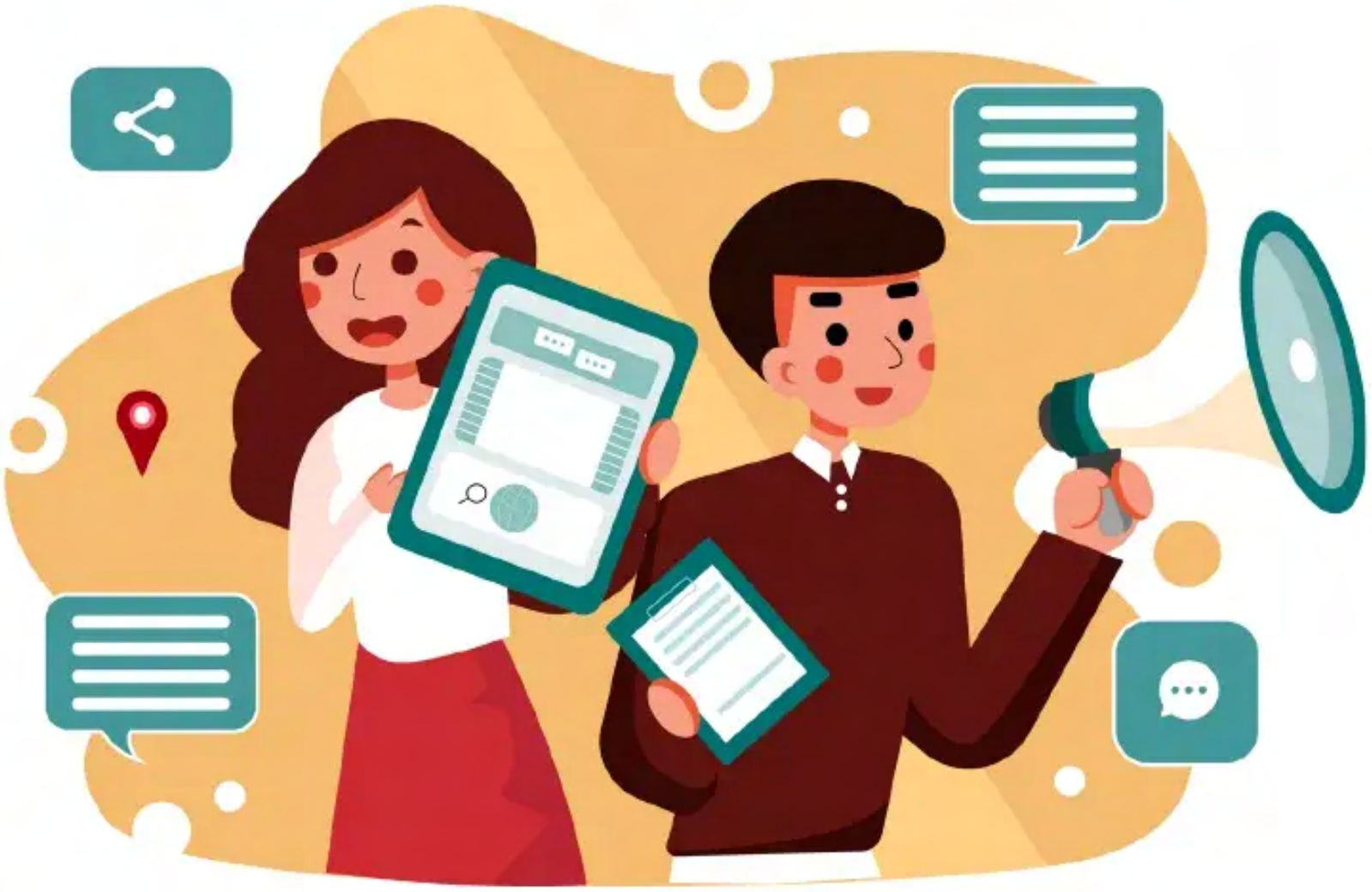
Measurement: In marketing, the saying "what gets measured gets managed" holds true. Measurement involves tracking and analyzing the performance of marketing campaigns. Key performance indicators (KPIs) such as website traffic, conversion rates, return on investment (ROI), and customer engagement are monitored to assess the effectiveness of the campaign. This data-driven approach allows marketers to make informed decisions, optimize their strategies, and allocate resources efficiently.

Money: Money, or budgeting, is a fundamental aspect of marketing planning. It involves allocating financial resources to various marketing activities based on their expected return on investment. A well-balanced budget ensures that marketing efforts are adequately funded while maintaining fiscal responsibility. It's essential to strike a balance between spending enough to achieve marketing goals and not overspending.

Successful marketing campaigns require a harmonious alignment of these six components within the 6M framework.

For more insights, check out 6 M Model of Integrated Marketing Communication.

TYPES OF ADVERTISING



What is Advertising?

Advertising is a crucial tool in the business world. Companies and organizations use it to inform people about their products or services and persuade them to buy. It comes in many forms, such as newspaper ads, TV commercials, or billboards. With advancements in technology, businesses now also use email, social media, and online platforms to reach customers more effectively. Advertising plays a significant role in ensuring a company's marketing plan works well and attracts new buyers.

Marketing vs. Advertising

Marketing and advertising might seem similar, but they have distinct roles. Marketing involves planning and executing strategies to build brand recognition and increase sales. Advertising is just one component of marketing, utilizing various platforms to promote a brand and its products to potential customers. Simply put, marketing is the big picture, and advertising is one piece of the puzzle that helps a business reach new audiences and grow.

Types of Advertising

1. Traditional Advertising
2. Digital/Modern Advertising

Traditional Advertising

- **Broadcast Advertising:** This includes TV and radio ads, like the commercials that air during your favorite shows or music programs. While some people may skip ads, companies still use them to reach a wide audience.
- **Direct Mail Advertising:** Printed materials like brochures and flyers are sent through the mail to specific audiences. It's a common method for small businesses to introduce their services to new customers in an area.
- **Outdoor Advertising:** Billboards, bus ads, or train ads are examples of outdoor advertising. These ads often feature bold visuals and short messages to grab the attention of people passing by.
- **Print Advertising: T**his covers ads in newspapers and magazines. Depending on the publication's audience, it can target broad or specific groups.
- **Product Placement Advertising**: Products or services subtly appear in movies or TV shows, with characters using them without explicitly mentioning the brand.
- **Word-of-mouth:** Customers recommend a product or service to others, either voluntarily or through referral programs, which is a cost-effective way to gain more customers.

Digital/Modern Advertising

- **Display Advertising:** Digital ads that appear as banners or pop-ups on websites, often with clear "click here" buttons to direct users to a company's site. Companies can retarget these users with additional ads.
- **Mobile Advertising:** Ads on smartphones and tablets, typically shown within apps.
- **Native Advertising:** Sponsored articles that look like regular website content, blending in to offer a seamless user experience.
- **Paid Search Advertising:** Pay-per-click (PPC) ads that allow companies to bid on keywords. When users search for these terms, related ads appear on search engines.
- **Podcast Advertising:** Ads read by podcast hosts, often including special offers for listeners, allowing businesses to target niche audiences.
- **Social Media Advertising:** Platforms like Facebook and Instagram allow advertisers to target specific groups based on user data. Partnering with influencers is another way to reach engaged followers.
- **Video Advertising:** Engaging video ads are shown on social media or streaming sites, often requiring users to watch before accessing content.

For more information, please visit the following links: here & here

ATL AND BTL MARKETING

Above-the-Line (ATL) and **Below-the-Line (BTL)** marketing represent two distinct strategies that businesses use to engage with their target audience. Both serve different purposes within a broader marketing campaign, often complementing each other for optimal results.

1. ATL: Above-the-Line Marketing

ATL refers to marketing that uses mass media to reach a wide, general audience. This is often used by brands that want to build widespread brand awareness and create visibility on a large scale. It's an ideal strategy for mass-market products or when you're looking to generate brand recall among a broad demographic.

Key Features of ATL Marketing:

- **Mass Media Channels**: ATL campaigns focus on reaching a wide audeince leveraging broad-reach platforms like television, radio, newspapers, magazines, billboards, and online display ads.
- **Brand Awareness:** The main goal is to increase visibility and ensure that as many people as possible are aware of the product. It's often used for brand building.
- **Indirect Communication:** ATL marketing typically features one-way, indirect communication. Advertisers don't have direct interaction with the audience.

Success Metrics for ATL Campaign:

- **Reach**: The number of people exposed to the ad.
- **Frequency**: How often the ad is viewed.
- **Impressions**: The total number of times the ad is seen across various platforms



2. BTL: Below-the-Line Marketing

BTL is a more targeted marketing strategy, designed to engage directly with niche audiences or specific segments of the market. This method often focuses on personal interaction and direct communication, making it an excellent choice for driving action, such as immediate purchases or deeper brand engagement. Examples include promotional events, direct mail campaigns, and targeted advertising

Key Features of BTL Marketing:

- **Targeted Communication:** : BTL campaigns are highly targeted and niche focused. Methods include email marketing, social media marketing, direct mail, experiential marketing, and event sponsorships. **Example**: A Red Bull booth at a college fest, handing out free samples and encouraging direct interaction with the brand.
- **Direct Interaction:** BTL often allows for two-way communication, enabling companies to build a personal connection with their audience.
- **Measurable Results:** BTL campaigns are generally easier to track and measure, making it possible to obtain clear data on the effectiveness of marketing efforts.

Success Metrics for BTL Campaign:

- Sales achieved at the place of the activity.
- New customers acquired at the event or location.
- Conversion rates based on site at a place of activity.
- Impression estimates via footfall.
- Open rates for email marketing campaigns.



TTL: THROUGH-THE-LINE MARKETING

TTL combines both ATL and BTL techniques to create an integrated marketing approach. By using mass media for brand awareness and direct interaction strategies for engagement, brands can reach a broader audience while still maintaining focused communication with specific consumer groups.

Example: Vodafone (now VI) used ATL by booking hoardings at prime locations such as airports, high streets, and city roads to promote their initiatives. On the BTL side, Vodafone set up booths inside malls, where they engaged with customers face-to-face, providing product demos and answering questions.



ATL By Vodafone



BTL By Vodafone

DIGITAL MARKETING

Digital marketing is a means of promoting and advertising goods, services, or brands to a target audience through the use of digital platforms, channels, and technology. It includes a broad range of online marketing initiatives and tactics designed to connect with and engage potential clients via various digital platforms. Due to the growing use of the internet and digital devices by customers, digital marketing has grown in significance within the context of contemporary business.

Elements & Tactics in Digital Marketing:

1. Search Engine Optimization (SEO): To rank better in search engine results pages (SERPs), SEO entails enhancing your website's content. By making your website more visible when users look for pertinent keywords, you can increase organic (unpaid) traffic to it.
Example: A bakery in New York City can optimize its website for "best cupcakes in NYC," helping it appear on the first page of Google and attract more customers

2. Content Marketing: In order to draw in and keep the attention of your target audience, this technique entails producing and disseminating valuable, pertinent, and consistent information. There are many other ways to provide content, such as via blog posts, films, infographics, e-books, and more.
Example: A software corporation writes a number of instructive blog entries about typical technological problems and their fixes. The company advertises itself as an industry leader through this content, which also draws readers looking for tech support. Some of these readers eventually start buying from you. actions.

3.Social media marketing: Organizations engage with their audiences, create brand awareness, and advertise goods and services through social media sites like Facebook, Instagram, Twitter, LinkedIn, and others. On the majority of social media networks, paid advertising opportunities are accessible.
Example: A clothing company produces captivating postings on Facebook and Instagram presenting their most recent styles of clothing. To enhance brand recognition and revenue, they use these platforms to target advertisements at people who have expressed an interest in fashion.



4. Email Marketing: Email campaigns are used to follow up with leads and engage with current customers. They might contain newsletters, special offers, product updates, and recommendations made just for you.
Example: Using their past purchases and browsing history, an online retailer can send customers personalized email recommendations. This strategy encourages repeat business and keeps clients interested in the brand.

5. Pay-Per-Click (PPC) Advertising: PPC advertising entails the placement of advertisements on search engines (such as Google Ads) or other platforms (such as Facebook Ads). Every time their ad is clicked, advertisers are charged a fee. It's a quick approach to swiftly bring targeted visitors to your website.
Example: A travel agency runs Google Ads to promote holiday packages. Their ad appears at the top of search results for "beach vacation deals," and they pay only if someone clicks the ad and books a trip.

6. Affiliate Marketing: In affiliate marketing, companies collaborate with other people or groups (affiliates) to sell their goods or services in return for a cut of sales made through the affiliates' referral links.
Example: Amazon Associates lets website owners and content creators promote Amazon products and earn commissions on sales via their unique affiliate links. They can choose from millions of products to share.

7. Influencer Marketing: Companies work with people or influencers who have a sizable following on social media or in a particular specialized field. To their audience, these influencers advertise the brand's goods and services.
Example: A fitness equipment company works with a well-known YouTube fitness influencer. The influencer uses the brand's products to create fitness videos that inspire viewers to give them a try. Increased brand awareness and product sales result from this cooperation.



Measurement Metrics in Digital Marketing

1. Impressions: The number of times an ad or content is displayed to users, regardless of whether it was clicked.
2. Click-Through Rate (CTR): The percentage of users who click on an ad or link compared to the total number of users who view it (impressions).
3. Bounce Rate: The percentage of visitors who leave a website after viewing only one page.
4. Cost Per Click (CPC): The amount paid by the advertiser each time a user clicks on an ad.
5. Customer Lifetime Value (CLV): The total revenue a business can expect from a single customer account over the course of their relationship.
6. Net Promoter Score (NPS): A metric that measures customer loyalty and satisfaction by asking customers how likely they are to recommend a product or service to others.

Advantages of Digital Marketing Over Traditional Marketing:

1. Targeted Audience Reach: Digital marketing allows businesses to precisely target specific demographics, interests, and locations. This enables marketers to reach the right audience, ensuring higher relevancy and engagement compared to traditional marketing's broader reach.



2. Measurable Results: Tools like Google Analytics provide real-time performance data, making it easier to track and optimize campaigns. This offers a distinct advantage over traditional marketing, where measuring ROI can be challenging.

3. Cost-Effective: Digital campaigns often only incur costs when users engage with ads, making it more budget-friendly than traditional methods like print or TV, which have fixed costs regardless of engagement.

Disadvantages of Digital Marketing:

1. High Competition: The digital landscape is crowded, and smaller businesses often struggle to stand out against larger companies with bigger budgets and more resources for visibility and marketing.

2. Evolving Landscape: The fast-changing nature of digital marketing, with continuous updates to platforms and algorithms, requires constant adaptation. Businesses need to keep up with these changes to remain competitive.

3. Privacy and Data Security: Mismanagement of consumer data can lead to serious legal issues, reputational damage, and a loss of consumer trust, making data protection a critical challenge in digital marketing.

4. Ad Fatigue: Constant exposure to online ads can overwhelm users, reducing engagement and effectiveness if ads are seen as intrusive.

BRAND CRISIS COMMUNICATION

Brand crisis communication refers to the strategies and actions a company takes to manage and respond to a crisis that threatens its reputation. Whether it's a product failure, a PR mishap, or social media backlash, how a brand handles the crisis can significantly impact its long-term success.

Key Elements of Brand Crisis Communication:

1.Immediate Response: Acknowledge the crisis as quickly as possible. Delays can worsen the situation, making the brand seem unresponsive or out of touch.
Example: When faced with a product recall, brands like Tylenol immediately took accountability and communicated openly to protect consumer trust.

2.Transparency: Being honest about what went wrong is crucial. Consumers value transparency, and hiding the truth can lead to long-term damage.
Example: Domino's Pizza faced a viral crisis after employees mishandled food. The CEO responded with a transparent apology video, outlining corrective actions.





3.Clear Communication: Identify stakeholders, opinion leaders and relevant social media platforms. Engage in dialogue with stakeholders. Launch a “dark site” if needed. Dark sites are used when companies need to provide stakeholders with specific and consistent, factual information from a reliable source in times of an emergency, crisis, or bad news.
Example: After Stoli Vodka’s crisis on social media, Stoli created a dark site to provide activists with accurate information.

4. Clear Action Plan: Consumers need to know how the brand is fixing the issue. Outlining actionable steps to resolve the problem reassures stakeholders.
Example: After the Galaxy Note 7 battery issue, Samsung launched a global recall, followed by introducing new safety measures.

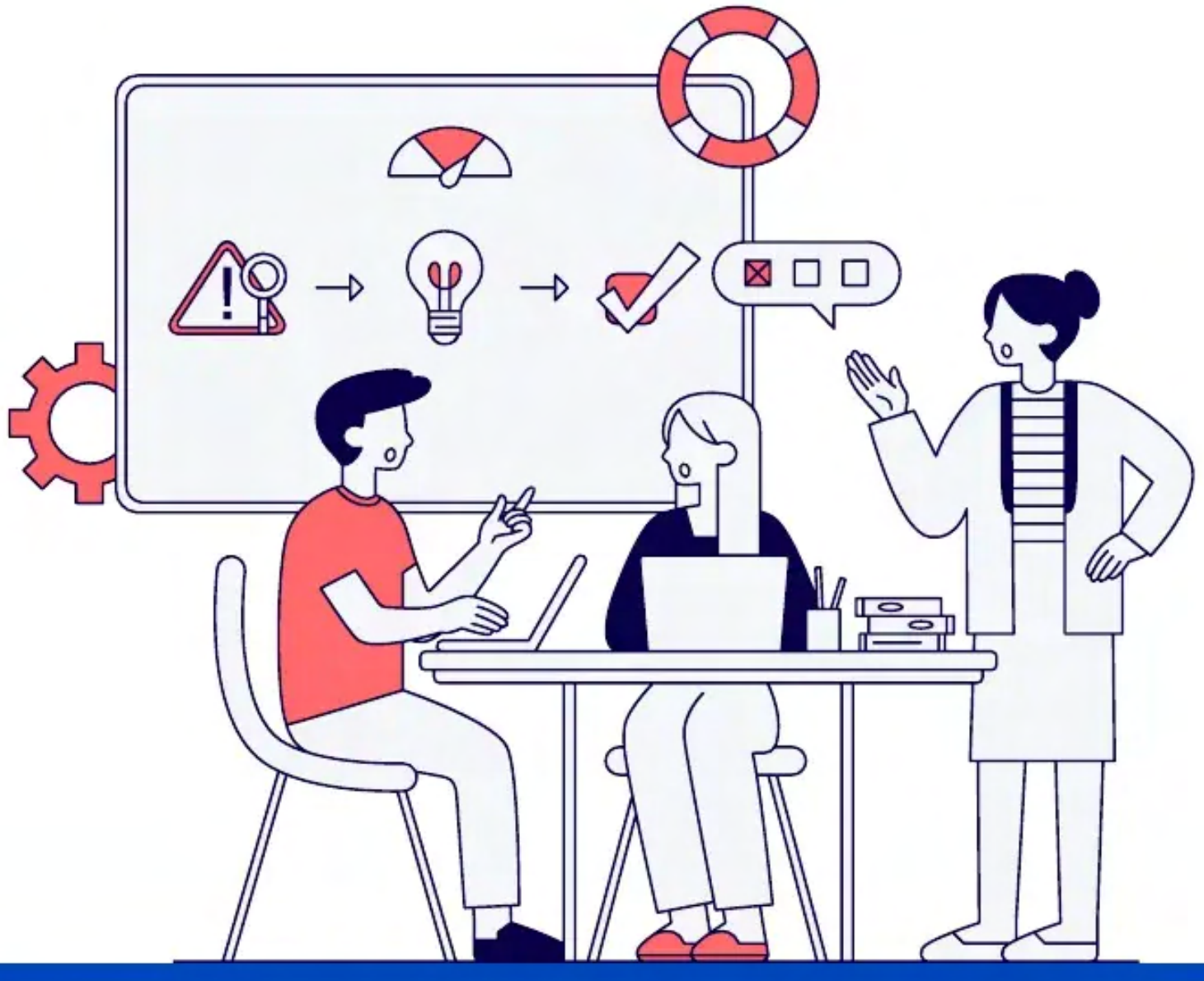
5. Consistent Messaging: Ensure consistent communication across all platforms to avoid confusion and maintain trust. This includes press releases, social media, and internal statements.
Example: Nike maintained consistent messaging during a product boycott, reinforcing its core values across all media channels.

6. Follow-Up: After addressing the crisis, follow-up with consumers to show improvements & corrective actions .
Example: Toyota kept customers updated after recalling certain car models, showcasing progress on repairs and safety enhancements.

Best Practices for Crisis Management:

- **Have a Plan:** Pre-plan responses for different types of crises, designating a spokesperson and drafting potential statements.
- **Monitor social media:** Social media is often the first place where crises emerge. Keep an eye on customer sentiment online.
- **Learn from Mistakes:** After the crisis, conduct a review to identify areas for improvement and prevent future occurrences.

Effective brand crisis communication can prevent a minor issue from becoming a full-blown disaster. By acting quickly, being transparent, and showing empathy, brands can not only manage a crisis but also emerge stronger and more trusted by their audience.





CHAPTER 8

CONSUMER BEHAVIOUR

IMPORTANCE OF CONSUMER BEHAVIOUR

Consumer behavior examines how individuals or groups select, purchase, use, and dispose of products or services to meet their needs. By understanding these processes, marketers can craft strategies that directly resonate with their audience. Knowing the "why" behind consumer actions allows businesses to align products and messaging to consumer preferences, leading to more successful marketing outcomes.

Factors influencing Consumer Behaviour

PSYCHOLOGICAL FACTORS

	Definition	Examples
Motivation	The driving force behind goal-directed actions.	Joining a gym with health and fitness as the motivation
Perception	How consumers interpret and make meaning of sensory stimuli.	Starbucks appealing to olfactory senses with premium coffee aromas.
Learning	Knowledge gained through experiences, shaping future decisions.	Past positive experiences with a brand fostering loyalty over time.
Beliefs & Attitudes	Associations and evaluations that shape consumer preferences.	A belief in the quality of Japanese cars influencing buying decisions.

SOCIAL FACTORS

	Definition	Examples
Family	Family dynamics (decision-maker) and shared consumption influence purchase habits.	A family deciding collectively to buy a car.
Reference Groups	Groups that influence opinions and behaviors.	Peer pressure influencing fashion choices.
Role	Expected behaviors in societal roles.	Buying formals to align with workplace expectations.
Status	The desire to reflect social standing through purchases.	Purchasing luxury products as a symbol of success.

PERSONAL FACTORS

	Definition	Examples
Age	Life stage influencing priorities and choices.	Youths gravitating towards fast fashion; adults opting for durable goods.
Occupation	Certain jobs driving interest in specific goods.	Fitness trainers buying health supplements and workout gear.
Lifestyle	How people live, reflecting their values and interests.	Money-constrained shoppers opting for sales and deals.
Personality	Enduring traits impacting behavior and brand choices.	Eco-conscious individuals choosing sustainable brands.
Self-concept	Self-perception influencing product preference.	Confident individuals being sure (and maybe, fast) with purchase decisions



People don't buy what you do;
they buy why you do it.
-Simon Sinek

MASLOW'S HIERARCHY OF NEEDS

Maslow's Hierarchy of Needs provides a clear framework for understanding what motivates consumers at different levels. In the context of consumer behavior, this hierarchy helps marketers understand how different products and services fulfill various consumer needs, guiding how they target and position their offerings.



1. Physiological Needs: These are the basic survival needs such as food, water, and shelter. Consumers prioritize products that meet these needs, treating them as necessities before considering other purchases.
Example: Grocery shopping for food and beverages is driven by the need to fulfill hunger and thirst.

2. Safety Needs: This includes the need for security, protection, and stability. Consumers often look for products that provide safety and security, such as insurance, home security systems, or reliable vehicles.
Example: Purchasing health insurance ensures medical security for oneself and family.

3. Social Needs: These involve the desire for belonging, love, and social connections. Consumers are attracted to products that foster relationships or enhance social status, such as fashion and social media platforms.
Example: Buying a smartphone to stay connected with friends and family.

4. Esteem Needs: The need for self-esteem, recognition, and respect from others plays a significant role in consumer choices. Consumers gravitate toward brands that elevate their self-image or reflect their status, like luxury goods, high-end electronics, and designer clothing.
Example: Purchasing a luxury car often symbolizes personal success and social recognition.

5. Self-Actualization Needs: This is the desire to achieve one's full potential through personal growth and creativity. Here, consumers seek products and experiences that align with their self-expression, such as education, travel, or creative hobbies.
Example: Enrolling in a healing program to achieve personal fulfillment and peace.

CONSUMER BUYING CENTRE AND PROCESS

Who Plays a Role in the Overall Buying Decision?

A consumer buying center, also known as a decision-making unit (DMU), is a group of individuals responsible for making purchasing decisions within a company or organization. Each member of the DMU plays a specific role in influencing the overall process.

1. **Initiator:** The person who first suggests the idea of purchasing a product or service, sparking the consideration process.
2. **Influencer:** The individual whose expertise, opinion, or authority can shape or sway the buying decision, providing guidance on what should be purchased.
3. **Decider**: The person with the final authority to make the buying decision, determining what to buy, where to buy it from, and how the purchase will be made.
4. **Buyer**: The individual who completes the purchase transaction, handling the payment and finalizing the deal.
5. **User:** The person who ultimately uses or consumes the product or service, whose satisfaction or feedback can influence future purchases.

What is the procedure followed in Decision-Making?



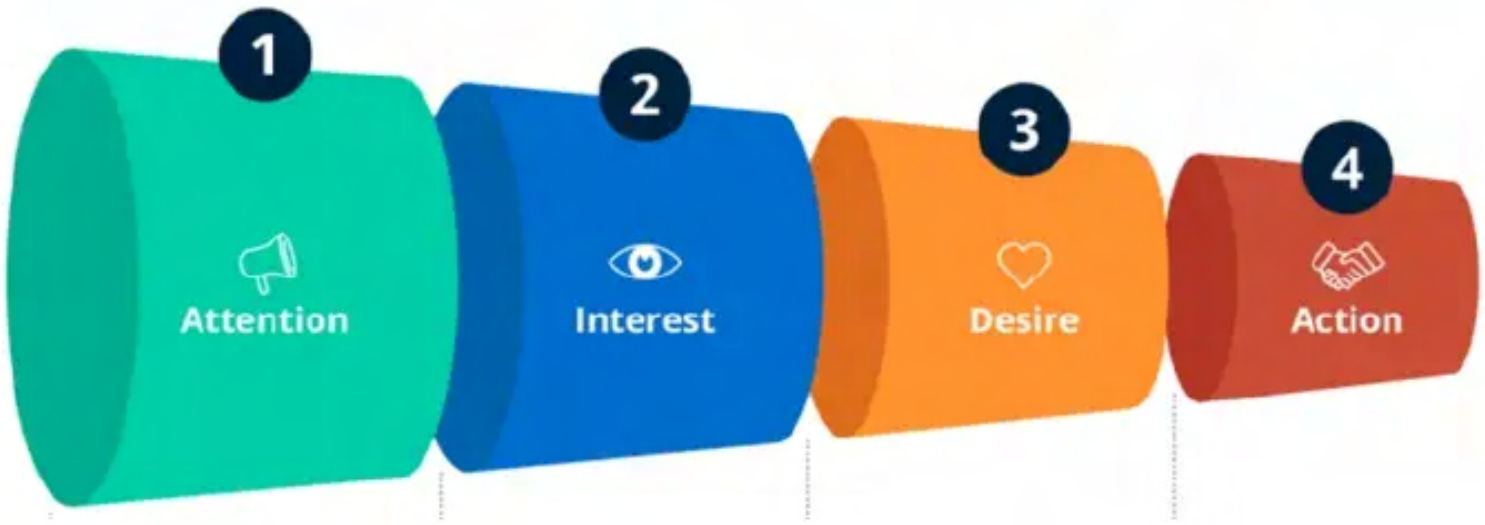
1. **Problem Recognition:** The process begins when the consumer recognizes a need or problem that requires a solution.
2. **Information Search:** The consumer then seeks out information about potential solutions, products, or services.
3. **Evaluation of Alternatives**: After gathering information, the consumer compares different options based on features, prices, and benefits.
4. **Purchase Decision:** The consumer makes the final decision on which product to buy and proceeds with the purchase.
5. **Post-Purchase Behavior**: After the purchase, consumers evaluate their satisfaction, which can lead to brand loyalty or regret.

Marketers must engage their brand at every stage of the buying process for two key reasons:

- **Brand Recognition:** Continuous presence ensures consumers remember the brand throughout their journey.
- **Diverse Consumer Journeys:** Not all consumers follow the same path, so being present at every stage allows brands to connect with different consumers, regardless of where they enter or exit the process.

THE AIDA MODEL

The AIDA model outlines the steps a consumer goes through before making a purchase: Attention, Interest, Desire, and Action. It helps guide marketing efforts to move potential customers through the buying process effectively. This framework has multiple uses including ad analysis, guiding marketing efforts and understanding consumer behaviour.



1. Attention: Capturing attention is the first step in drawing potential customers into the marketing funnel. Traditionally, this was achieved through print advertisements, billboards, and television commercials. However, in today's digital world, medium includes social media, content marketing, and search engine optimization. In the stage, we need to create compelling headlines, eye-catching visuals, and engaging content that piques the audience's curiosity.

2. Interest: Once the audience's attention has been captured, the next stage is "Interest." In this phase, the goal is to provide valuable information about the product or service that generates curiosity and maintains the audience's engagement. We can use various content types, such as blog posts, videos, and - webinars, to educate potential customers about the benefits and features of the offering. The key is to provide content that addresses the audience's pain points and demonstrates how the product or service can solve their problems. Personalization and targeted marketing play a significant role in nurturing interest, as tailored content is more likely to resonate with individual audience segments.

3. Desire: In the third stage, "Desire," aim is to convert the audience's interest into a strong desire for the product or service. We need to showcase unique selling points (USPs), demonstrate value, and build an emotional connection with the audience. Customer reviews, testimonials, and case studies are powerful tools in this stage.

4. Action: The final stage of the AIDA framework is "Action." This is where the ultimate goal of marketing is realized – getting the audience to take a specific action like making a purchase or even requesting more information. In the digital age, this action often takes place online, such as clicking a "Buy Now" button or filling out a contact form. Effective calls-to-action (CTAs) are essential in this stage. They should be clear, persuasive, and strategically placed within the marketing content. Additionally, the ease of taking the desired action, such as a simple checkout process or a user-friendly signup form, is critical to minimizing friction and increasing conversion rates.

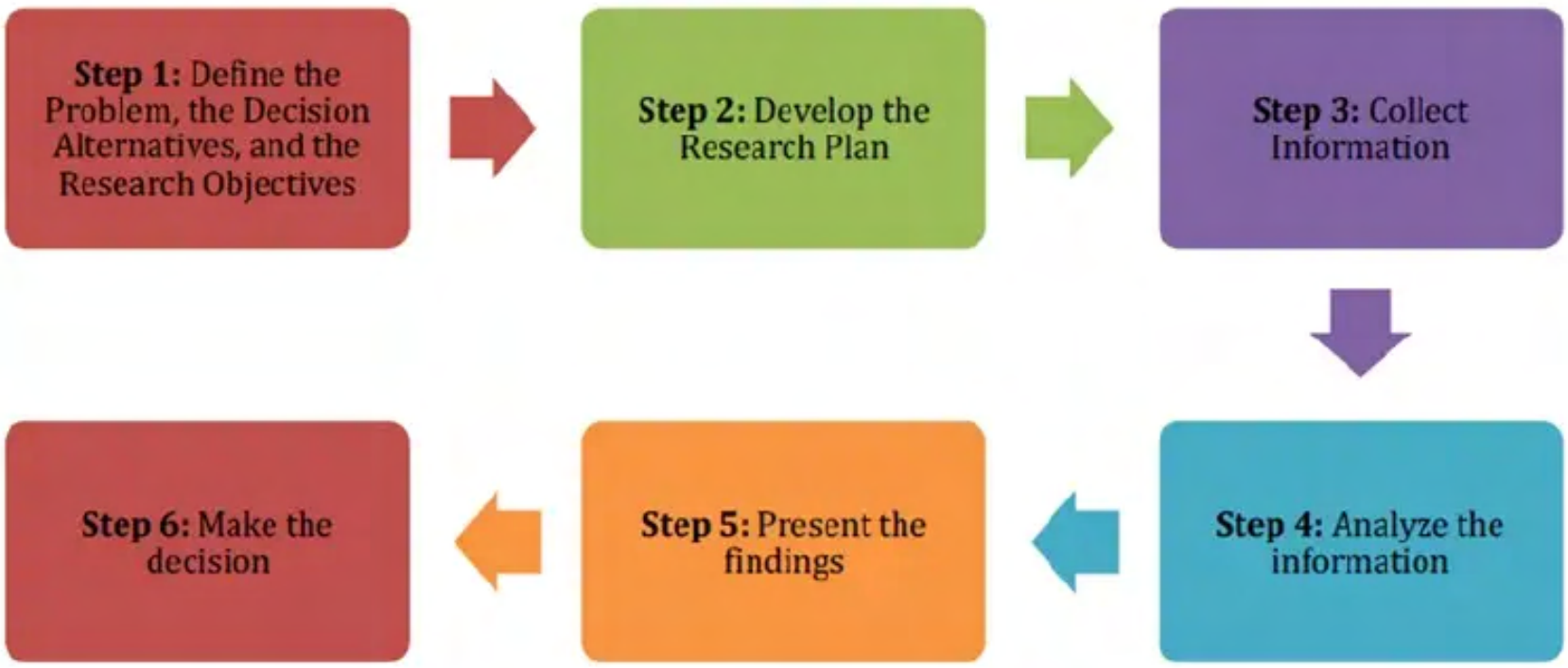
Once we know the stages of the adoption process for a consumer, we can decide the promotion in that way. For a new launch we need to strengthen the Awareness and Interest stage and hence companies have powerful launches, advertisements on TV and push word of mouth by announcing their launches. Over time they work on sending free samples to bloggers and get good reviews. They also invest in small packs (for lower price and risk) or brick and mortar stores for Trial where they also convince for Adoption through deals and promotions.



Your brand is what people say about you when you're not in the room.
-Chris Brogan

MARKET RESEARCH

Conducting effective marketing research is critical for businesses to make informed decisions. The process involves several structured steps that help gather, analyze, and interpret data, ensuring businesses can address market opportunities and challenges with precision. Here's a breakdown of the six essential steps in marketing research:



Step 1 - Define the Problem and Research Objectives: Clearly define the problem, decision alternatives, and research goals to focus the research and ensure actionable outcomes.

Step 2 - Develop the Research Plan: Create a research plan, deciding on design, data sources, and research tools to guide a structured, timely, and cost-effective process.

Step 3 - Collect Information: Gather data through methods like surveys or interviews, as accurate data is key to driving informed decisions.

Step 4 - Analyze the Information: Use statistical tools to turn raw data into insights that answer the research objectives and deepen problem understanding.

Step 5 - Present Findings: Share key insights through clear reports, charts, and recommendations for decision-makers to act on.

Step 6 - Make the Decision: Use research insights to guide decisions, such as launching products or adjusting strategies, ensuring informed business responses.



CHAPTER 9

UNDERSTANDING BRAND

PRODUCT Vs BRAND

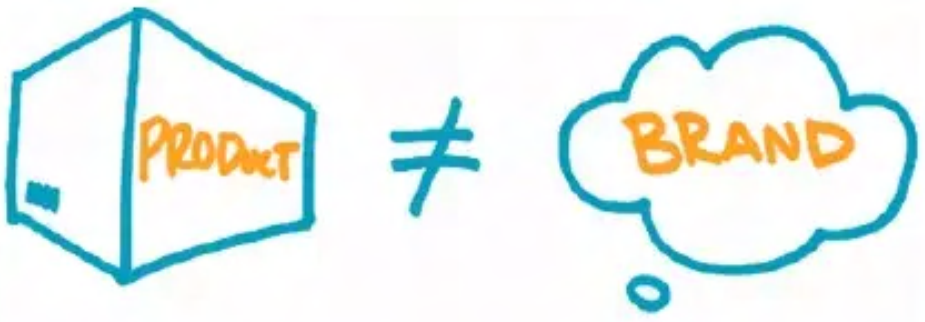
A product is a particular thing that various businesses sell on the market to their customers in order to profit only. In contrast, a brand is a distinctive entity, which could be a corporate name, symbol, or logo, that is used to set one firm's products apart from another. Specifically, a brand serves the role of producing goods so that a certain business can be recognized in the marketplace.

UNIQUENESS

A product can be easily imitated, in contrast to a brand, which makes prototypes of similar products available on the market. Because businesses are unable to duplicate the brand, which is a registered trademark, they have been competing by imitating one another's products.

SOURCE/CRETAOR

After forming the impression that a certain product can meet their wants, buyers construct a brand in their imaginations. A product, however, is created by a manufacturer and can only be obtained from them. New items are created by producers, who then profitably sell them using their brands.



BRAND Vs PRODUCT COMPETITION

A brand's objective is to enhance a consumer's psychological perception or to add value because the consumer already owns a reliable product from a reliable manufacturer. On the other hand, a product serves a clear and defined purpose, which could include relieving thirst (soft drinks), covering the body (clothing), printing (printers), or covering the body (clothes). Additionally, a product's features are customized.

APPEARANCE

A brand is hard to see and touch since it is created in the consumer's imagination and can only be articulated. Some of the products can, however, be seen and touched. For instance, whereas it is challenging to see and touch the Coca-Cola trademark, it is possible to view and touch the latest Samsung s7 series smartphone.

TIME SCALE

In contrast, new upcoming items that are likely to deliver greater satisfaction than the existing product could replace a product, meaning that its time is limited. It is vital to note that once a brand is formed, it remains forever in the thoughts of the consumers.

	PRODUCT	BRAND
Definition	The product is an item or service produced and offered by the company for sale in the market	A brand is an entity like the logo, symbol, or name used by the companies to make their products identifiable among other products in the marketplace.
What is it?	What you need	What you want
Uniqueness	It can be copied easily	It has a distinguished identity that cannot be copied
Creator	Produced by manufacturers	Created by customers
Function	It performs specific functions	It offers value
Apperance	Tangible	Intangible
Time-horizon	It can be replaced with time	It remains forever

The brands that win are the brands that understand what they're doing, what their mission is, and they're doing it consistently.
-Jim Stengel



EXPERIENTIAL ELEMENTS OF A BRAND

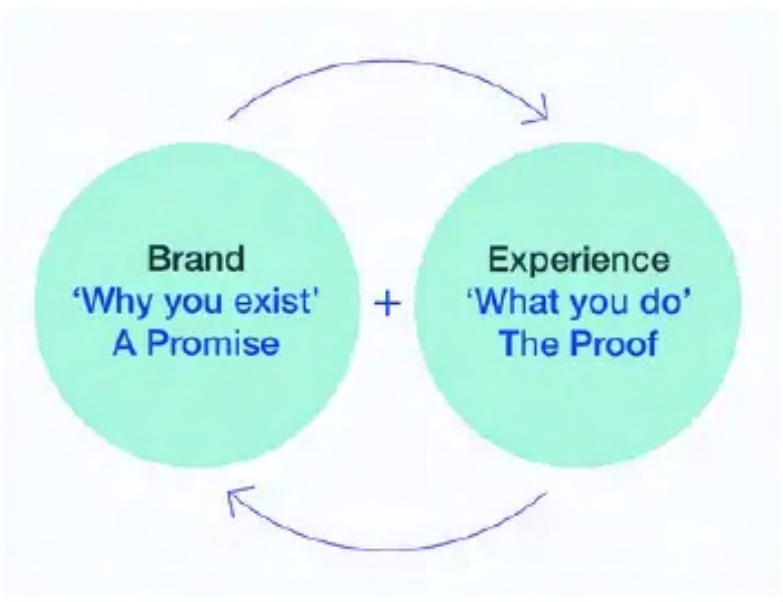
Brand Experience vs. Brand Image

In marketing, the terms **brand experience** and **brand image** are often used interchangeably, but they have distinct meanings and serve different purposes in shaping how a brand is perceived.

Brand Experience

Brand experience refers to the sum total of all interactions a customer has with a brand across various touchpoints. This includes every moment the customer engages with the brand, from advertisements and the buying process to using the product and its longevity. Every interaction leaves an impression, influencing how the customer feels about the brand over time.

Example: A customer's experience with Apple could encompass their interaction with sleek advertising, the ease of purchasing through the Apple Store, and the satisfaction of using an iPhone for several years.





Brand Image

Brand image, on the other hand, is a virtual construct that exists in the minds of consumers. It represents the sum of all the expectations, associations, and perceptions that customers have about the brand. While the brand experience shapes the brand image, the image is formed based on how the brand fulfills or falls short of these expectations.

Example: Apple's brand image might be associated with innovation, quality, and prestige, built over years of delivering on those customer expectations.

In essence, brand experience is the tangible journey customers have with a brand, while brand image is the intangible perception formed in their minds based on those experiences. Both play a crucial role in building long-term brand loyalty and recognition.

Brand Equity

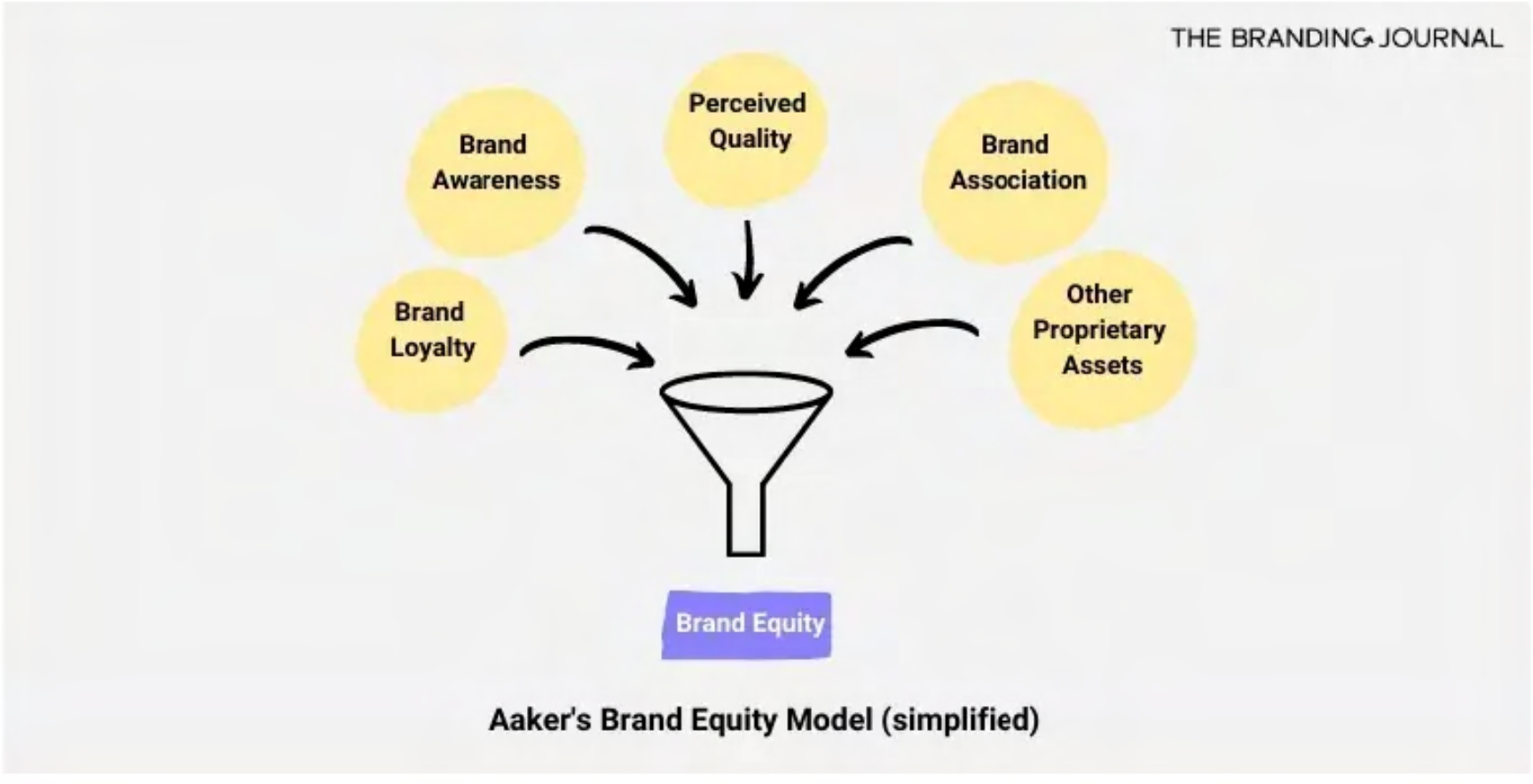
In marketing, brand equity refers to the value of a brand, which is reflected in how consumers interact with, and think and feel about the brand. It is the sway that a brand can command; a brand with strong brand equity persuades customers to continue buying from that brand over other generic competitors. Brand equity can be generated through awareness campaigns, delivering on promises made during ad campaigns, and efforts towards retaining customers and garnering their loyalty Awareness (can customers identify your brand?) and experience (has the product performed effectively?) are the two tenets of brand equity.

Brand equity is powerful as the return on investment is significantly enhanced when the associated brand is strong. Moreover, customers are more likely to pay higher prices for brands with strong brand equity. The elements of brand equity, as per David Aacker's model, are:

To strengthen a brand's equity, brand managers must: succinctly understand the brand's purpose, test the brand's messaging using credible data, optimize the consumer experience, run powerful awareness campaigns, and maintain consistency in the brand's personality.

Examples of brands with strong brand equity are: Amul (witty and memorable ad campaigns; Taste of India), Maggi (emotional connect; convenience; taste), and Hide n Seek (nostalgia; packaging; quality; taste).

To learn more about brand equity, click here and here.



Aaker's Brand Equity Model (simplified)

The terms brand equity and brand value are often confused, but they represent different aspects of a brand's worth. Here's a breakdown of the key differences:

	BRAND EQUITY	BRAND VALUE
Meaning	The perceived worth of the brand, derived from consumer awareness and association with the brand name rather than the product itself.	The economic value of the brand, reflecting the amount consumers are willing to pay for it over competing products.
What is it?	Reflects the attitude, loyalty, and willingness of consumers towards the brand.	Represents the net present value of the forecasted cash flows attributed to the brand.
Derived from	Built through customer perception, brand recognition, loyalty, and trust.	Derived from the product and service quality, distribution channels, availability, pricing, advertising, and overall market performance.
Indicates	Measures the success of the brand in building a positive image and consumer loyalty.	Indicates the total financial value of the brand based on its market standing and revenue potential.



BRAND Vs LINE EXTENSION

Brand extension refers to the practice of using a well-established brand to launch products in a new category. As defined by Philip Kotler, it's a strategy that takes the positive associations of an existing brand and applies them to new or modified products.

For example, Nike, originally known for its footwear, successfully extended its brand into areas like sunglasses, sports equipment, and apparel.

Brand extensions build on consumer trust, making it easier to introduce new products without the need for heavy promotional investments. However, this approach is not without risks. If the new product doesn't align with the core identity of the brand, it can dilute brand equity or lead to confusion among consumers. Furthermore, there's the potential for cannibalizing the sales of the original product line if the extension isn't managed properly.

Line extension involves introducing new variations of a product within the same category. This strategy allows brands to expand their offerings within an existing line to cater to different consumer preferences and dominate shelf space.



For example: Dairy Milk, which introduced variations like Dark Milk and Dairy Milk Silk, all within the chocolate bar category.

Line extensions can be an efficient way to grow market share and maintain customer interest.

However, brands must be cautious of overextending the product line or launching variations that do not align with the brand's core promise. A misstep can lead to confusion or damage to brand equity, as seen with McDonald's introduction of the McRice burger in India, which failed to resonate with local consumers.



LINE EXTENSION

BRAND EXTENSION



COMPETITIVE ADVANTAGE

Competitive advantage refers to factors that allow a company to produce goods or services better or more cheaply than its rivals. These factors allow the productive entity to generate more sales or superior margins than its market rivals. Competitive advantages are attributed to a variety of factors, including cost structure, branding, the quality of product offerings, the distribution network, intellectual property, and customer service.

Types of Competitive Advantage:

Comparative Advantage: when a firm can produce products more efficiently and at a lower cost than its competitors.

Differential Advantage: when a firm's products or services differ from its competitors' offerings and are considered superior. Advanced technology, patent-protected products or processes, superior personnel, and strong brand identity drive differential advantage. These factors support wide margins and large market shares.



Some common ways to drive competitive advantage:

1. Cost Structure: Companies with a lower cost structure can offer products or services at a more competitive price. This could be due to efficient operations, economies of scale, access to cheaper resources, or innovative cost-saving measures.

2. Branding: A strong brand can create a loyal customer base and allow a company to charge premium prices. Consumers often choose well-known brands over generic alternatives due to trust, reputation, and perceived quality.

3. Product Quality: Companies that consistently deliver high-quality products or services can gain a competitive edge. Quality can be a differentiator in markets where customers value performance and reliability.

4. Distribution Network: An efficient and extensive distribution network can ensure products reach customers quickly and cost-effectively. This can be a significant advantage, especially in industries where timely delivery matters.

5. Intellectual Property: Patents, trademarks, copyrights, and trade secrets can protect a company's innovations and ideas, giving it a competitive advantage. This legal protection can deter competitors and secure market exclusivity.

6. Innovation: Continual innovation and staying ahead of market trends can be a powerful source of competitive advantage. Companies that introduce new and improved products or services can capture market share.

7. Customer Service: Exceptional customer service can set a company apart. Satisfied customers are likelier to repeat purchases and recommend the company to others.

To have a look at real-live examples of competitive advantage, please follow this link.



MARKETING MYOPIA

Marketing myopia is a business mistake where a company becomes too obsessed with selling its products quickly and making lots of them. This makes them lose sight of what their customers want in the long run. It's like missing the forest for the trees. This short-term thinking can harm a company's success because they don't pay enough attention to what customers need, which can change over time. To avoid this, businesses should focus on understanding and meeting customer needs for lasting success.



Causes of Marketing Myopia:

1. Complacency in Dominance: When a company becomes a big name in its industry, it can become complacent and forget customer needs. -They might think they're unbeatable and focus solely on their products, neglecting customer relationships. But this can be risky because a prepared competitor could snatch their market share.

2. Ignoring Customer Feedback: Success sometimes leads to overconfidence, causing companies to stop listening to customers. Over time, this creates a gap between what they offer and what customers want. When a competitor with better offerings emerges, customers may switch allegiance.

3. Product Over People: Some companies get too obsessed with their products, forgetting about market demands. They concentrate on what they're selling, not what customers need. Customers may stick with them for convenience, but better alternatives could lure them away.

4. Ignoring Changing Trends: Technology and lifestyle changes alter customer preferences. Not adapting can render a product obsolete. When it no longer fits the market, customers may abandon it. To avoid these pitfalls, businesses must stay customer-focused and adapt to changing times.

Consequences of Marketing Myopia:

- Poor marketing return on investment (ROI).
- Growth stagnation or company collapse.
- Failure to identify opportunities in the market.
- Reputational damage and alienation of target audiences.

How to avoid Marketing Myopia:

1. Customer Focus: Always prioritize your customers by understanding their needs and addressing issues. Make changes based on their feedback.
2. Clear Planning: Even if you are successful, have a clear plan. Identify opportunities and challenges and find creative ways to handle them.
3. Continuous Marketing: Keep the marketing efforts ongoing. Engage with customers and promote your brand consistently, even after launching new products.
4. Competitor Watch: Keep an eye on rivals to understand their actions, especially if they introduce new products. Assess if these offerings attract your customers or pose threats.
5. Embrace Innovation: Do not be afraid to try new things; experiment to boost customer loyalty and meet evolving needs. Boldness leads to market success.

To find examples of marketing myopia in the business world, please visit here and here.





CHAPTER 10

EMMERGING TRENDS

RURAL MARKETING

Rural marketing in India holds immense potential due to the vast and largely untapped population living in rural areas. As rural consumers become increasingly aspirational and aware of branded products, companies have realized the need to create specialized strategies to penetrate these markets. However, unlike urban areas, rural markets come with their own set of challenges, such as lower disposable incomes, limited infrastructure, and lower levels of literacy. Despite these hurdles, rural markets are evolving rapidly, driven by improved digital connectivity, government initiatives, and the rising aspirations of rural consumers.

1.1 Difference between Rural and Urban Markets

Significant differences between rural and urban markets impact marketing strategies. Urban consumers typically enjoy better household and public infrastructure (such as electricity, water, and banking), while rural consumers may lack these facilities. Logistics are another key challenge in rural areas due to underdeveloped transport options. Consumer behavior also varies, with rural populations having different tastes, income levels, and spaces available for product usage.

1.2 Understanding Rural Consumer

Rural consumers are price-sensitive but still willing to spend on trusted brands. They aspire to mirror urban counterparts and are open to connecting through digital channels. Shopping behavior is centered around special occasions, and there is a strong attachment to local culture and language. The rural consumer seeks value for money, often prioritizing utility over luxury.







TWEAKING THE MARKETING MIX FOR RURAL MARKETS

PRODUCT STRATEGIES

- Modifying product design to provide the convenience of usage.
- Smaller SKUs to improve trials for first-time users
- Improving sturdiness & power to improve attractiveness to RM.
- Increasing utility over fancy features to provide maximum ROI
- Adaptive brand-building according to the audience's tastes & preferences

PRICING STRATEGIES

- Differential/reduced pricing as compared to urban areas.
- Low Unit Price (LUP) packing or "paise packs" of even premium brands
- No-frills Economy pricing – Coinage pricing, value pricing
- Discounts for special events according to local festivals & events
- Schemes for retailers like offers & quantity discounts to increase loyalty
- Credit facilities & promotional offers according to the agricultural cycle
- Free gifts or bundled pricing

DISTRIBUTION STRATEGIES

- Local Markets/ Haats to reach out to the maximum consumers.
- Fairs & festival grounds/melas to grab high attention.
- Wholesalers & Kirana retailers to reach out to all neighborhoods.
- Vans/ mobile traders are needed to have a deeper penetration into remote areas of rural India.
- Syndicate Distribution to sell & distribute non-competitive goods together through a common distribution channel.
- Hub & Spoke model of distribution to cover dispersed crowds.
- Self-help groups who can be employed for door-to-door selling.
- Exclusive bazaars/ retail outlets like ITC e-choupal.

PROMOTIONAL STRATEGIES

- Mass media like television, radio
- Rural-specific media like mobile publicity vans, posters, and pamphlets.
- Door-to-door selling through trained salesmen/locals.
- Outdoor campaigns with billboards, painted walls
- Entertainment programs like folk dance, street play, and puppet shows.
- Utilising the opinion leader (Village head or any other respected person in the village) as a promoter.
- Word-of-mouth promotion through referral programs.
- Product demonstration & free sample distribution in public gatherings.

BRAND INTEGRATION

Brand integration refers to the integration of a brand's identity, values & and messaging with some form of entertainment media platforms like movies, TV shows & games, etc., to build and maintain a brand presence among its audience. It differs from advertising since it mainly focuses on creating awareness and increasing brand equity.

Brand integration is considered successful when it is not perceived as a typical advertisement.

Some examples include the use of General Motors cars in the Transformers movie series and prisoners eating Dunkin' Donuts in Orange is the New Black in several episodes. It's also different from product placement, which involves placing a product in a scene from a TV show or movie to promote the sale of that product.

Brand integration offers several benefits as it helps reach new audiences, strengthen existing loyalty, and creates a pull effect, which essentially means people come closer to the brand due to the exposure to the brand being featured with the content they already like, leading to increased sales & and customer engagement. But it must be kept in mind that the integration looks natural and is conveyed through a compelling story.

To know about do's and don'ts of integrated branding: click here

To know about strategies used for integration: click here





INFLUENCER MARKETING

Only ten or so years ago, the only influencers were celebrities and dedicated bloggers. However, with the exponential growth of the power of the internet, there are significantly many social media influencers who have cropped up. They can boost or limit the sales and goodwill of products through the power of their close-knit communities where trust and engagement are high.

By definition, influencer marketing refers to deploying endorsements and products mentioned by social media influencers in the marketing endeavours of a brand. Influencers are personalities with a significantly high social media following and some level of expertise (perceived or otherwise) in some niche.

The three Rs of influencer marketing are *relevance*, *reach*, and *resonance*. These must be kept in mind while selecting influencers for the promotion of a brand.

To read more about influencer marketing, visit this link.



The various types of influencers are:

Mega influencers: They have a massive and diverse following. Example: SRK, Virat Kohli. They can offer unparalleled exposure. However, high costs, lower engagement rates, and low specialization are the pitfalls associated with them. They can be used by luxury brands, large enterprise corporations, and brands seeking diverse audiences.

Macro influencers: They are established personalities and thought leaders in their niche. They can be used by brands targeting a large but specific audience and by firms with smaller budgets than above.

Micro-influencers: They typically have a large presence on a particular app eg, Tiktok, X. They capture a niche and passionate audience with genuine interactions and high engagement rates. They are more affordable than mega and macro influencers and can be utilized to promote products among a specific demographic and psychographic.

Nano influencers: Even with fewer than 10,000 followers, they command a high demand from marketers as they have personalized and authentic engagement with their followers, which can be leveraged effectively for marketing. Smaller businesses like MSMEs can effectively utilize nano influencers in their endeavours for recognition balanced with costs.

MOMENT MARKETING

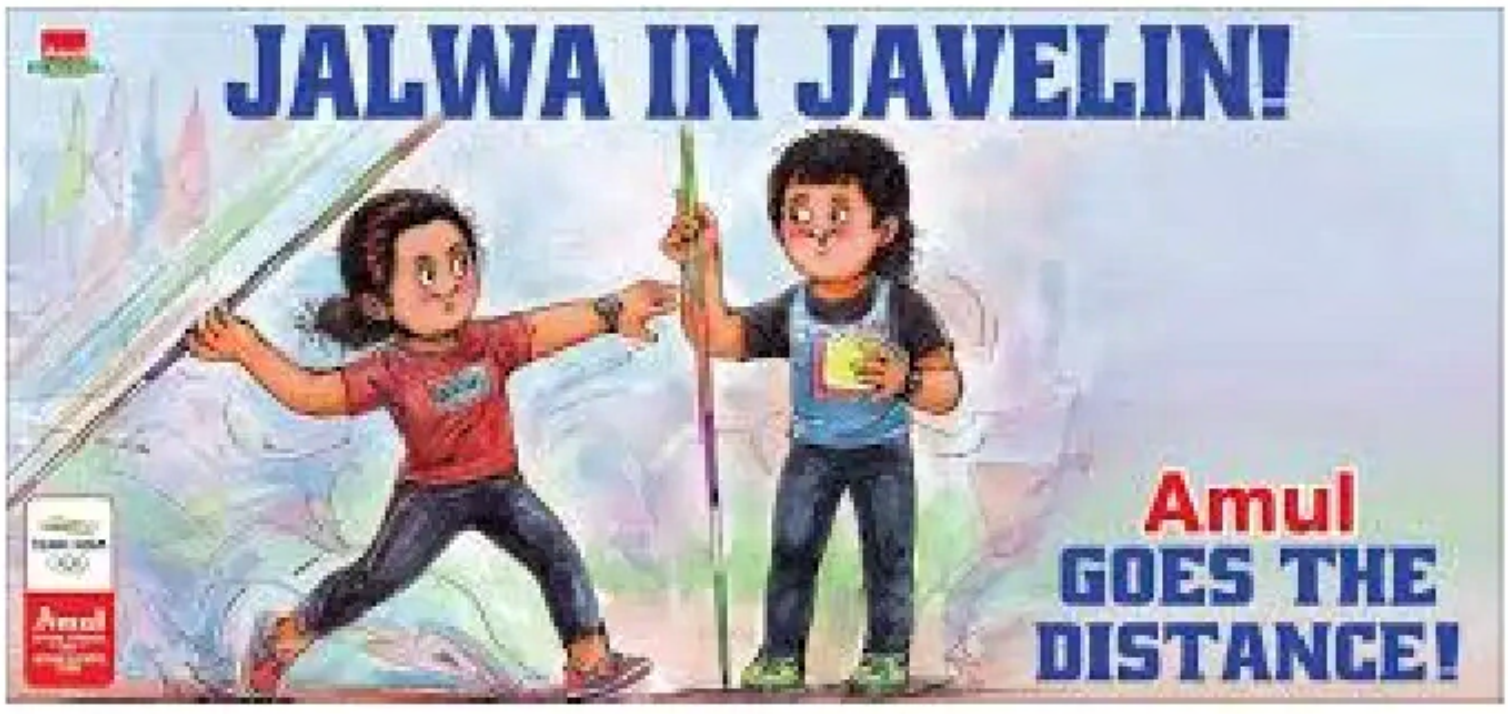
Moment marketing is a promotional technique based on trending news, events, or instances. It is used by brands primarily on social media platforms to gain traction and benefit brand awareness as well as sales. This way, brands get to be a part of customer conversations online and hence make use of this trend to catch attention and be at the top of the minds of customers. Moment-based marketing is often spontaneous, humorous, engaging, relatable, and relevant to current events.

Examples:

1. Amul Butter uses its own style, language, and witty humor to cash in on recent trends. One such example is included below –

In the Olympics 2021, when Neeraj Chopra won gold in the men's javelin throw, the entire nation was proud. And Amul celebrated this pride with a creative and cheeky ad. The ad showed the Amul girl throwing a javelin as Neeraj guided her (with a buttered toast in his hand). The tagline 'jalwa in javelin' was apt for the situation.

2. Zomato's Mother's Day Ad





PODCAST MARKETING

Podcast marketing is the set of strategies adopted to promote products and services and enhance their visibility among podcast listeners. It is used to target a niche audience or a community of a particular interest as per the needs of a brand. Also, the products and services are marketed subtly to ensure that the main purpose of the podcast does not get defeated.

Podcasts are informative and a good source of knowledge sharing, which makes them valuable to their audience. Moreover, they have high accessibility as they can be accessed along with daily routine activities. By using podcasts, companies can share their knowledge and expertise - in a particular area to build trust and also keep engagement with their products and services. It is also a great way to generate leads by requesting people to subscribe to the company's emails and registering for a webinar, etc.

A prime example of promoting a brand through podcasts is Morgan Stanley's Access and Opportunity, where it hosts industry stalwarts who are focused on bringing diversity and inclusion in the finance sector and society as a whole. This helps it position itself as a company that is committed to endorsing such values.

To know about podcast marketing strategies: click here and here.



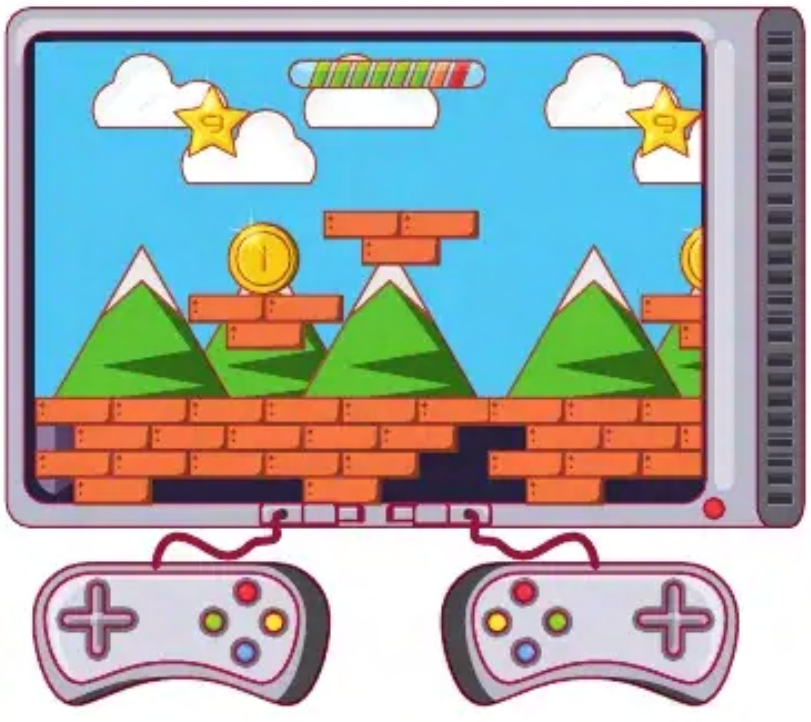
GAMIFICATION

1.1 What is Gamification?

Gamification is the integration of game elements, such as competition, rewards, and challenges, into non-gaming contexts, like marketing campaigns. It leverages the principles of game design to engage and motivate individuals to achieve specific goals, encouraging participation and interaction.

1.2 Why Gamification Matters in Marketing?

Gamification matters in marketing because it offers a dynamic and interactive way to connect with customers. It transforms traditional marketing efforts into immersive experiences, enhancing customer engagement, increasing brand loyalty, and ultimately driving desired behaviors.



2. Principles of Gamification

2.1 Core Drivers of Gamification

Gamification relies on core drivers that motivate people to take action. These drivers include achievement, competition, autonomy, relatedness, and scarcity. Understanding and incorporating these drivers into marketing campaigns can enhance their effectiveness.

2.2 Game Mechanics

Game mechanics are the rules and systems that govern the gameplay. Examples include the game concept, goal, points, badges, leaderboards, and challenges. Marketers can use these mechanics to create a sense of progression, competition, and accomplishment, driving customer engagement.

2.3 Game Dynamics

Game dynamics refer to the overall experience users have while engaging with gamified content. This includes the narrative, storytelling, and emotional connection users establish during their interaction with the gamified campaign. Effective game dynamics make the experience enjoyable and memorable.

23. Designing Gamified Marketing Campaigns

3.1 Understanding the Target Audience

Successful gamified marketing campaigns start with a deep understanding of the target audience. Marketers should consider the market segment's preferences and motivations to create experiences that resonate with the audience.

3.2 Defining Clear Objectives

Clear objectives are essential for gamified marketing campaigns. Marketers should outline what they want to achieve, whether it's increasing brand awareness, driving sales, or collecting user data. Well-defined objectives guide the design and measurement of the campaign.

3.3 Choosing the Right Game Mechanics and Dynamics

Selecting the appropriate game mechanics and dynamics is crucial. Different elements, such as achievements, leader boards, or narratives, may be more effective depending on the campaign's goals, context and the preferences of the target audience.

3.4 Understanding Core Drivers:

It is important to tap into the core drivers of human brain that will motivate/force them to play the game. As per Yu-Kai-Chao, the drivers can be divided into White Hat and Black Hat Characteristics.

Core Drives:

Epic Meaning & Calling: Provides a greater purpose or mission to tasks.
Development & Accomplishment: Focused on personal growth, achievements, and skill progression.
Empowerment of Creativity & Feedback: Lets users experiment, create, and get feedback, fostering innovation.
Scarcity & Impatience: Creates desire through limited access or waiting periods.
Unpredictability & Curiosity: Driven by the unknown and the excitement of discovery.
Loss & Avoidance: Avoiding negative outcomes or preserving status and accomplishments.

White Hat vs Black Hat Core Drives:

White Hat Core Drives: Associated with positive feelings and long-term engagement.
Includes:

- Epic Meaning & Calling
- Development & Accomplishment
- Empowerment of Creativity & Feedback

Black Hat Core Drives: Evokes strong immediate actions but may lead to burnout or negative feelings.
Includes:

- Scarcity & Impatience
- Unpredictability & Curiosity
- Loss & Avoidance

Key Takeaways:

- White Hat Motivations empower and satisfy users, promoting long-term engagement but lack urgency.
- Black Hat Motivations drive strong immediate actions, but can lead to user dissatisfaction over time.



3.5 Incorporating Feedback Systems

Feedback systems, such as progress bars or real-time notifications, keep participants informed about their performance and progress. Feedback enhances the user experience and motivates users to continue engaging with the campaign.

3.6 Ensuring Balance – Fun vs. Functionality

Balancing fun and functionality is essential in gamified marketing. While the campaign should be enjoyable, it must also align with the brand's goals and provide value to participants. Striking this balance ensures that the gamified experience is both entertaining and meaningful.

4. Benefits of Gamification in Marketing

4.1 Enhanced Customer Engagement

Gamification enhances customer engagement by making marketing campaigns interactive and enjoyable. Users are more likely to participate and stay engaged when presented with gamified content.
Example: Starbucks' "Flip the Cup" Game



This game by Starbucks attempted to flip a virtual Starbucks cup onto a platform. This engaging game not only entertained users but also increased brand engagement by a staggering 90%. Moreover, it exceeded voucher download targets by 110%, showcasing the power of gamification in user engagement.

4.2 Brand Loyalty and Retention

Gamified marketing campaigns can foster brand loyalty by creating memorable experiences. Customers who engage with gamified content are more likely to develop emotional connections with the brand, leading to long-term loyalty.

Example: Unibet's Football Header Game

Unibet, a sports betting and online casino platform, used a football-themed header game to differentiate itself in a competitive industry. Users had 60 seconds to keep headers going without dropping the ball. Achieving a specific score earned them a £5 bonus in the form of a free bet. This engaging game contributed to increased brand awareness and user engagement.



4.3 Data Collection and Insights

Gamification facilitates data collection by incentivizing users to provide information. This valuable data can be used to gain insights into the target audience, enabling more precise targeting and personalization in future campaigns.

Example: Ferrero's Kinder Maxi and Kinder Bueno Games

Ferrero leveraged gamified banner ads to engage its audience. In these games, players collected Kinder Maxi or Kinder Bueno chocolate bars while avoiding the wrong ones. The engagement rates soared across multiple countries, demonstrating the potential for data gathering through gamification.

4.4 Increased Sales and Conversions

By using game mechanics and dynamics to motivate users, gamified marketing campaigns can drive increased sales and conversions. Users are more likely to respond to calls-to-action when presented in a gamified context, leading to higher conversion rates.

Example: Interactive Quiz Discount Offer

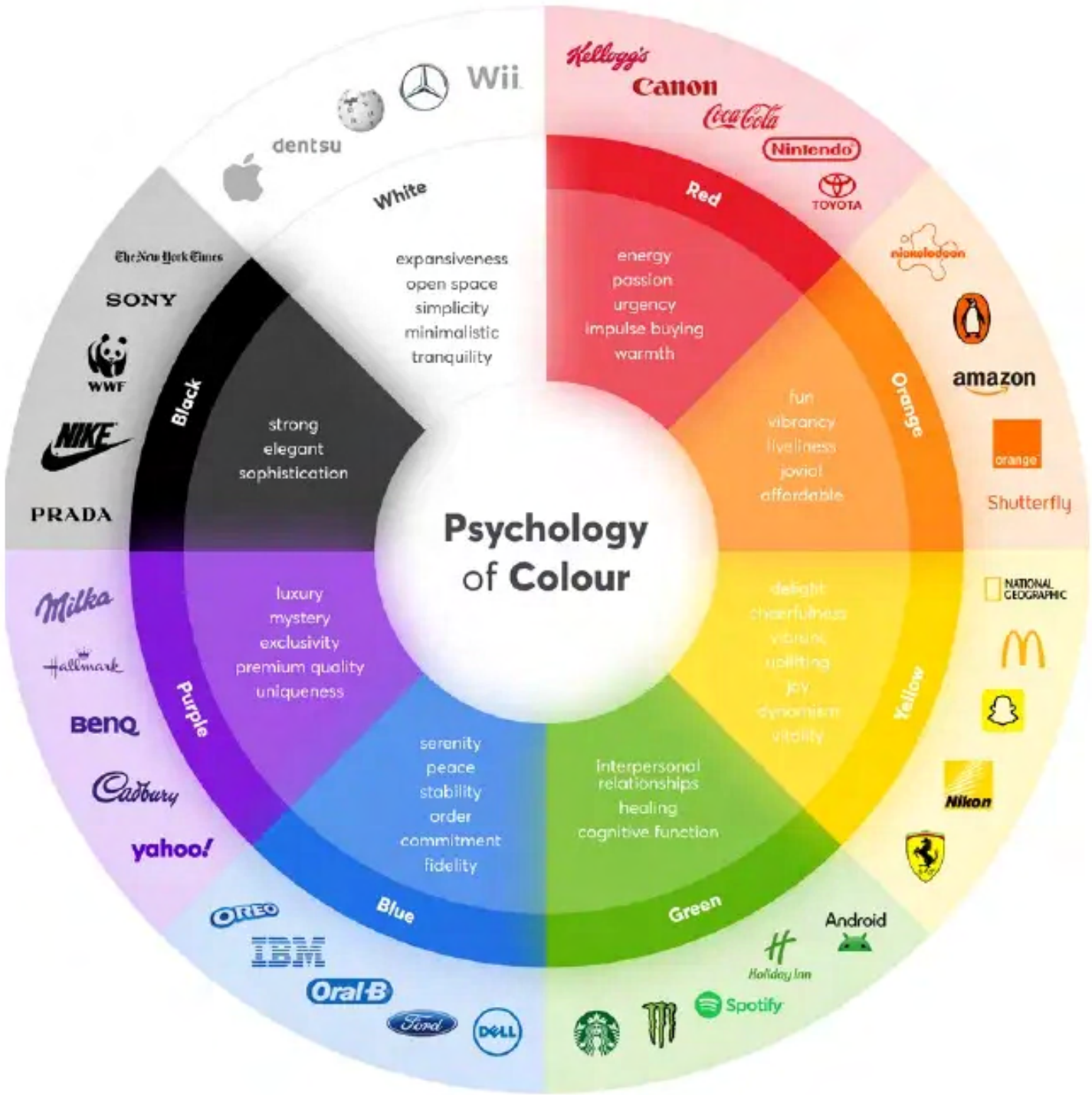
Consider offering users a 20% discount through an interactive quiz on your website. Users are likely to take advantage of this discount, translating into increased conversions as they proceed to make purchases on your e-commerce site.

COLOUR PSYCHOLOGY

Colour psychology examines the effect of colours on human behaviour and emotions. It is universally used as a marketing tool to entice customers by leveraging certain specified behaviour that gets evoked by a particular colour. Such is evident from the specific theme used by brands in their logos, websites & advertisements, etc. However, this psychology needs to be understood in a broad manner, as individuals can have different perceptions about different colours based on their own beliefs and experiences.

The colours evoke dual responses: positive as well as negative. So, a brand needs to carefully choose which colour would best represent its product and attract more customers. Some of the most widely used colours and the feelings associated with them are:

To learn more about how brands decide their colour, click here.



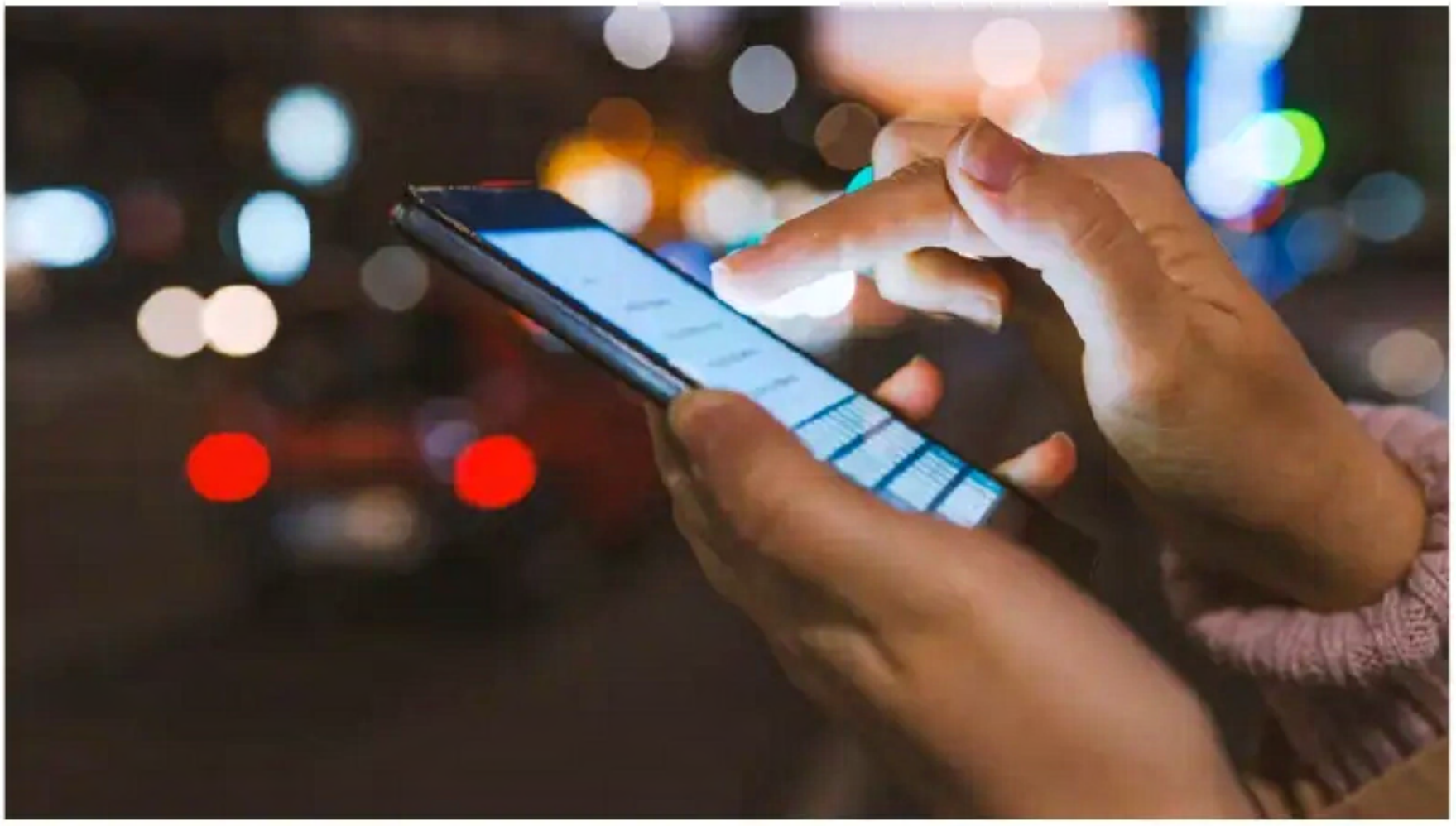
MOBILE OPTIMIZATION

With the growing use of mobile phones for performing all Internet activities, mobile optimization has become one of the key strategies of digital marketing. It refers to the optimization of websites to make sure their content is easily visible and accessible through mobile devices. Such optimization includes, but is not limited to, the following:

- Using a responsive design, which may include an automatic fit-to-screen feature, large buttons & easy scroll options, etc.
- Optimizing images by reducing their size without compromising quality so that it consumes less data.
- Easy navigation by providing visible menus.
- Using small paragraphs to not lose sight.
- Optimizing for mobile search by including mobile-specific keywords.
- Using accelerated mobile pages to create faster-loading pages.

All these things help provide a better user experience, which in turn leads to high customer engagement, expanded reach, and increased conversions. The companies have also started focusing on sending mobile-friendly emails, which helps them gain more customer attention for their content. The e-commerce websites like Amazon and Flipkart are good examples to understand how the optimization is done for better access through mobile phones.

To know more about mobile optimization practices, visit this link.



EXPERIENTIAL MARKETING

Experiential marketing is a dynamic and immersive approach to promoting products or services that have gained significant traction in recent years. Unlike traditional marketing methods that rely on one-way communication, experiential marketing seeks to engage consumers on a personal and emotional level by creating memorable and interactive experiences.

It is a powerful strategy that leverages immersive experiences, personalization, and storytelling to engage consumers on a deeper level. The aim is to foster brand loyalty, create shareable moments, and provide valuable consumer insights. In today's times, when consumers seek meaningful interactions with brands, experiential marketing is a prominent and effective marketing approach in the modern landscape.

The core Philosophy of this strategy is Engagement over Exposure. Experiential marketing prioritizes meaningful engagement with consumers rather than simply exposing them to a brand. It aims to foster emotional connections and lasting impressions.

Key Principles of Experiential Marketing are:

- Creating Memorable Experiences - Experiential marketing aims to create unique and memorable moments that leave a lasting impact on consumers.
- Fostering Emotional Connections - It seeks to evoke emotions and build a strong emotional connection between the brand and the audience.
- Encouraging Active Participation - This approach encourages consumers to actively participate in the marketing campaign, making them an integral part of the experience.
- Bridging the Online and Offline Worlds - Experiential marketing often combines physical events with online interactions, creating a seamless blend of both worlds.

While designing Experiential Marketing Campaigns, we need to:

- Understand the Target Audience's Desires and Pain Points as successful campaigns start by understanding the desires, needs, and pain points of the target audience.
- Craft the Narrative and Journey to guide consumers through the brand experience.



- Select the Right Environment/Platform for the campaign to ensure it resonates with the audience.
- Utilize technology, such as AR, VR, or interactive apps that can enhance the immersive experience.
- Finally, brand consistency must be ensured, as maintaining brand consistency across all touchpoints is essential to reinforce the brand identity.

Some of the key benefits of Experiential Marketing include:

- Engaged consumers are more likely to become loyal customers who advocate for the brand.
- Memorable experiences lead to positive word-of-mouth marketing and brand advocacy.
- Interactions provide direct feedback and valuable insights for product improvement.
- Experiential marketing complements traditional channels by creating buzz and enhancing the overall marketing strategy.

Some great examples of Experiential Marketing include:

- Red Bull's "Stratos" campaign in 2012 involved live-streaming Felix Baumgartner's record-breaking freefall from the edge of space, effectively giving viewers a thrilling experience and associating Red Bull with extreme adventures.



- Starbucks' "Create Your Taste" campaign allowed customers to customize their own burgers, recognizing that personalization is a driving force in consumer behaviour.
- Coca-Cola's "Share a Coke" campaign, where bottles featured common names. By encouraging customers to share a Coke with a friend or loved one, Coca-Cola tapped into the universal desire for connection and friendship.
- Nike's "Breaking2" marathon project aimed to shave a few minutes off the current men's world record time of 2:02:57 and, by doing so, challenge expectations around what is possible in sport, all framed around in-depth athlete storytelling.

We also need to keep in mind some of the challenges in Experiential Marketing. These include:

- Measuring ROI
- Creating scalable experiences
- Adapting to changing consumer preferences and technologies.

For deep diving into this interesting topic, do check out this amazing read.



OMNICHANNEL MARKETING

Omnichannel marketing is the integration of multiple channels, online as well as offline, to give customers a holistic experience across all channels, irrespective of the medium or channel being used by them. It focuses on providing a unified experience by keeping customers engaged with the products of their interest, offers, services, etc., which also helps the brands increase their sales.

Some of the advantages of omnichannel marketing are:

- **Consistent messaging:** It helps deliver a coherent message about the brand across all channels. No matter where the customer encounters the brand, the message is always the same.
- **Data-driven insights:** It allows collecting and merging customer data from multiple channels to give insights on what kind of customers are interested in your product.
- **Personalized experience:** Understanding the customers' journey, helps provide personalized content and recommendations for those customers.

It's different from multichannel marketing in that it not only involves multiple channels but integrates all the channels to provide a seamless experience. For example - A customer buying at an online shopping mall might leave his cart half full and then quit shopping on his laptop. Later that day, he opened his app and ordered some new products. In a multichannel approach, the customer will get reminders from the firm about the cart that he left on the laptop. However, Omnichannel aims to integrate his shopping experience on the backend and integrate his app and website data into one.

Nike serves as a perfect **example** of maintaining an omnichannel presence. Its app helps find local stores, browse and reserve items for later purchases, receive product recommendations & also track their fitness levels. A customer can also save their product on Nike's website and then access it through their app or purchase that item in a retail store.

To know about how omnichannel marketing strategy is created, go here.



AI IN MARKETING

1.Analyzing Customer Facial Expressions:
Many startups and advertisement firms have started using AI to recognize certain data, such as age, gender, etc., of the advert watcher and their reaction to the advertisement on the basis of facial recognition.

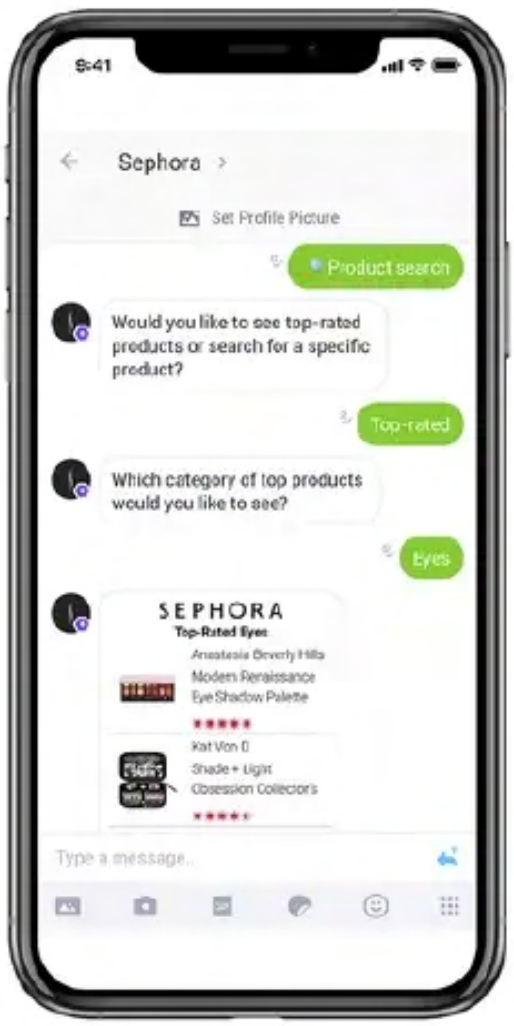
Example: Coca-Cola set up interactive vending machines that dispensed free drinks to passersby. Hidden cameras captured people's reactions, and AI analyzed their facial expressions to determine their emotional responses.

2. Chatbots Making Personalized Chats:
Chatbots work like an easy “plug-in” model that can be deployed across websites, social media platforms, apps, etc. This round-the-clock, immediate, and personalized interaction adds value to the customer experience.

Example: Sephora Virtual Artist chatbot is an AI-powered assistant that provides personalized beauty recommendations and makeup tips. Users can chat with the bot, upload a selfie, and receive customized product suggestions and makeup tutorials based on their skin tone and preferences. This enhanced the customer's shopping experience.

3. Generative AI for Creatives:
The advent of Generative AI has helped marketing professionals to generate creatives with ease and precision. They analyze, input data and generate human-like text that adheres to grammar rules and context. Marketers can save time and resources by utilizing these AI-powered tools for content creation, ensuring high-quality, error-free, and consistent messaging.

Example: ChatGPT in Content Creation. It can generate high-quality written content for marketing purposes, such as blog posts, social media captions, or product descriptions. This AI tool helps marketers save time and resources by automatically producing engaging and informative content.



4. Hyper-Relevant & Personalized Segmentation:

AI can perform advanced customer segmentation, allowing for hyper-relevant and personalized marketing campaigns. Machine learning algorithms can analyze customer data, such as purchase history, browsing behavior, and demographic information, to segment the audience into highly specific groups.

Example: Spotify employs AI to create personalized playlists, such as "Discover Weekly" and "Release Radar," by analyzing a user's listening history and behavior. This keeps users engaged with the platform and encourages them to explore new music.

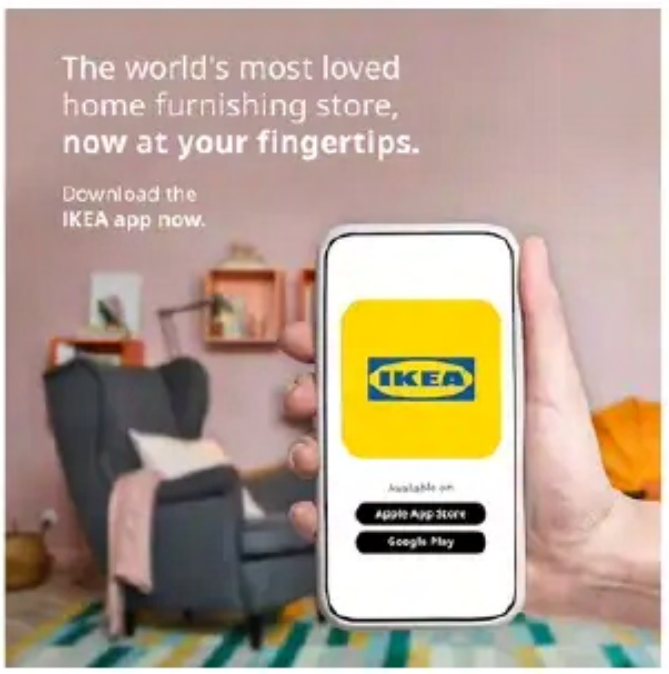




5. Integrating AI with VR, AR & Metaverse:

The integration of AI with emerging technologies like Virtual Reality (VR), Augmented Reality (AR), and the Metaverse opens up new opportunities for immersive and interactive marketing experiences. AI can enhance these technologies by providing real-time data analytics and personalization. As the Metaverse continues to evolve, AI will play a vital role in creating engaging and personalized experiences that bridge the physical and digital worlds, transforming marketing strategies and customer engagement.

Example: IKEA's "IKEA Place" app utilizes augmented reality (AR) to enable customers to visualize how furniture items would look in their own homes. AI algorithms assist in accurately placing 3D furniture models in real-world environments, considering factors like lighting and scale. This integration of AI with AR enhances the shopping experience, allowing customers to make more informed purchase decisions.





CHAPTER 11

MARKETING CASE STUDIES

NEW PRODUCT LAUNCH

There are multiple ways through which one can go about planning a Go to Market (GTM) Strategy. The method employed depends on the availability of information as well as the preference of the individual. Two such approaches have been detailed below. For your preparation, we suggest you go through both approaches.

APPROACH 1

A go-to-market (GTM) strategy is a comprehensive plan that outlines how a company will bring its products or services to market and reach its target customers. It encompasses all the activities and tactics necessary to effectively introduce, promote, sell, and distribute products or services to the intended audience. A well-defined GTM strategy is crucial for launching a new product or entering a new market and can also be used to revamp existing offerings.
A GTM strategy in an actual project or product launch has a plethora of key elements - market analysis, value proposition, STP, pricing-promotion-sales strategies, metrics, KPIs, etc.

Guidelines:

- **Do not** ask clarification questions from the interviewer as the clarity behind your assumptions and your connect to market conditions is being tested rather than your ability to break down of the problem into buckets.
- **At most** take a minute and a half (1 min recommended) to formulate a strategy, if a full strategy is not ready by then, improvise the remaining portions.
- Know the flagship brands of the company.
- Explanation/monologue of the strategy should not go over 3 minutes.



Structure

1. Context Setting - The 5Cs (Customer, Company, Collaborator, Climate, Competition) need to be covered while setting up the context. Covering all 5Cs may not be necessary in each GTM scenario, rather pick the post-relevant and impactful aspects and move on to the following stages.

2. Context Setting - The 5Cs (Customer, Company, Collaborator, Climate, Competition) need to be covered while setting up the context. Covering all 5Cs may not be necessary in each GTM scenario, rather pick the post-relevant and impactful aspects and move on to the following stages.

3. Product Mix – Lastly define the attributes of your product/service launch along the 4Ps (we use 4Ps usually due to lack of information to cover the 7Ps, however, if there is sufficient information feel free to use 7Ps as well) of marketing.

a. **Product**: Design, Packaging, SKUs, etc.
b. **Place**: Channel, Geography, Existing competencies, etc.
c. **Price**: Benchmarking, SKU price, Discounts, etc. (Avoid saying actual price points unless asked)
d. **Promotion**: Traditional-Digital, Urban-Rural, Influencer, etc. (Cover as many relevant mediums)



APPROACH 2

A GTM strategy is a plan through which businesses position new products and services for launch, identify their ideal customers, and deliver relevant messaging. A sound GTM strategy seeks to minimise the risks of product launch and includes target market profiles, a sales and distribution strategy, and an elaborate marketing plan. Steps 1 & 2 allow you to Segment and Target, and step 3 onwards focuses on Positioning. (STP). You may also use 4Ps or 5Cs to increase topics once you have established this basic GTM framework. Those are more practical, operational frameworks which define specificities, therefore they follow this structure and don't precede it.

GTM strategies are useful when launching a new product in an existing market, launching an existing product in a new market, and testing a new product's market for growth. A thorough GTM strategy can help with increasing revenue, improving brand recognition, reducing costs, and gaining consumer goodwill.

The steps involved in building a GTM strategy are:

1.Ascertain your target market segments and then define the core value proposition for each. Also, identify the frame of reference (i.e. competitors) for each target segment. Try to figure out a clear and succinct reason why your target - segments would believe you, that is, why you are better than the competition. Ascertain communication and distribution channels depending on the core value proposition for each target segment.

- Target Segment
- Point Of Difference (Value Proposition for the TG)
- Frame of Reference (What is the current competitive environment)
- Why would anyone believe me? (How are you better/ Core Value Proposition ie. CVP)

CVP is in alignment with the target segments. After this one decides whether to use a communication (pull) or distribution (push) strategy, sequentially or simultaneously.

2. The appraisal of the innovation is done through the Rogers 5 forces analysis.

3. The next step is to determine a price, involving a number of pricing strategies such as reference pricing, cost pricing and determining price elasticity for each target segment.

4. To communicate the product, the 6M framework is utilized.



APPROACH 2

- Market: Whom are you addressing? Are you speaking to the right target and are you crafting messages that are specific to them? For example, when writing an e-mail to your target audience, consider using personalization
- Mission: What is your objective? Don't let your messages stray from that end goal.
- Message: What are the specific points you want to communicate?
- Media: What communication vehicles are you using to get your message across?
- Money: How much is budgeted? And how can you perfect your combination of mediums to maximize your budget?
- Measurement: How will you assess the performance of your campaign?



5. Determine the objectives of your messaging - do you seek to create awareness or believability? Determine which of the four limbs of the AIDA model your messaging seeks to target.

6. Determine channels of distribution - e-commerce, showrooms, retail stores, etc.

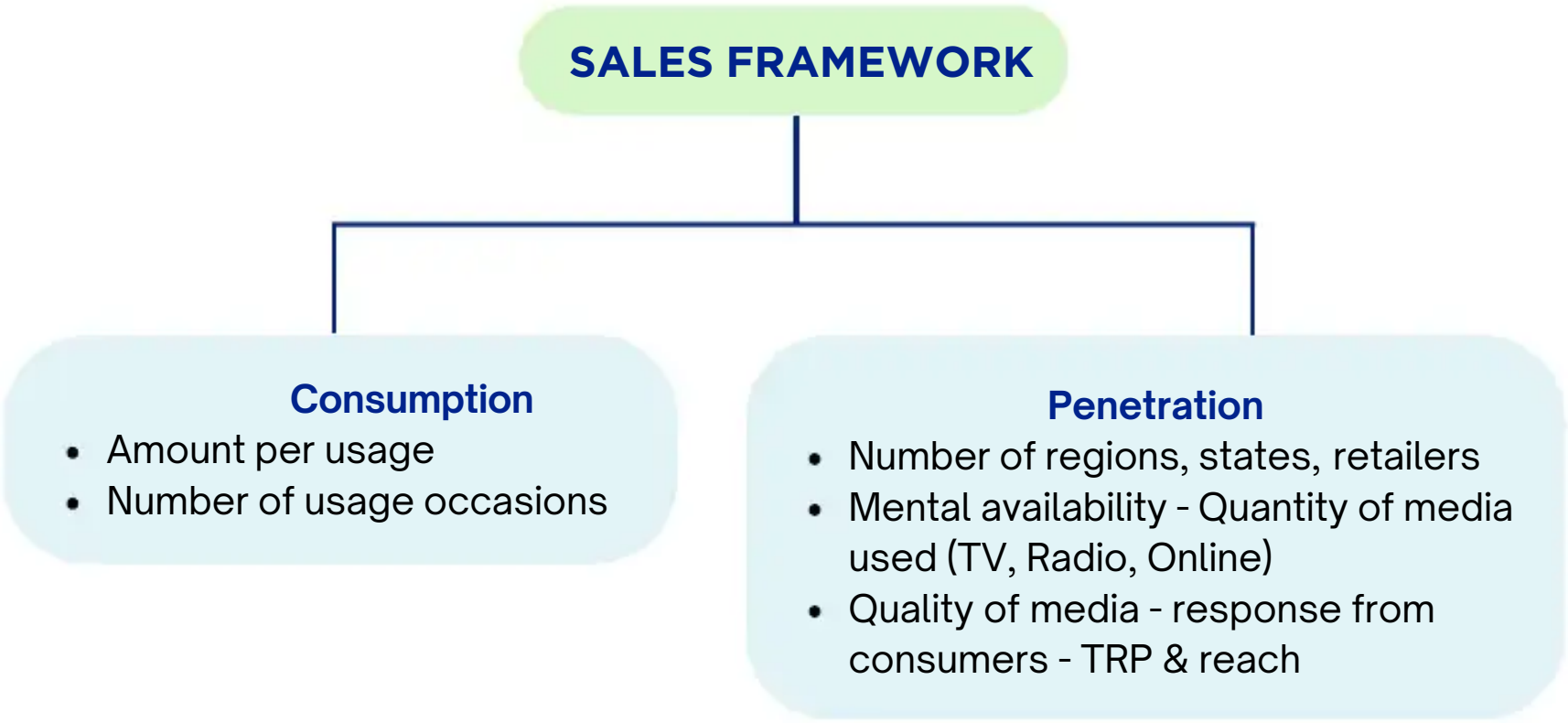
We can consider the example of Hotwheels which came up with a digital Hotwheels set having digital tracks, which recorded speeds on iPad, but with the same physical cars. They identified children (who play video games more often) as well as nostalgic older customers as their target segments. The core value proposition was different for each - for the younger customers, it was the digitised interface and for the older customers, it was the modernisation of a childhood pastime along with limited edition cars. The competitors for younger customers were other video games and for older customers was the OG Hotwheels. What set this innovation apart in the younger segment was the physical-digital experience, and in the older segment was the upgradation of a familiar experience using technology, and getting to spend time with their children and grandchildren by bonding over a common hobby. The ads targeted both segments by highlighting the core value proposition for each, and the distribution channels included both e-commerce and physical stores to reach them both.

RESOLVING AN ISSUE IN AN EXISTING BRAND

In such cases, it is essential to identify the specific changes the company intends to implement in the framework provided in Approach 2. To assess which areas require improvement, it is advisable to inquire politely with the interviewer about the challenges they are facing. For instance, if the interviewer indicates that retailers and distributors are stocking the product but sales are still declining, this suggests a lower consumer pull, meaning the focus should be on enhancing promotion efforts. Alternatively, if the feedback indicates that consumers are purchasing competitor brands due to product unavailability, this points to a distribution (place) issue that needs to be addressed.

Additionally, if consumer feedback highlights dissatisfaction with the product itself or its pricing, your analysis should concentrate on refining these aspects accordingly. Hence, try to understand if it is a demand-side or a supply-side problem and tweak the Approach 2 framework accordingly to provide solutions.

A recurring case type is one where sales of an existing brand are declining or need to be increased to gain market share. This requires knowing the basic levers of sales (this is quite similar to the profitability framework in consult).

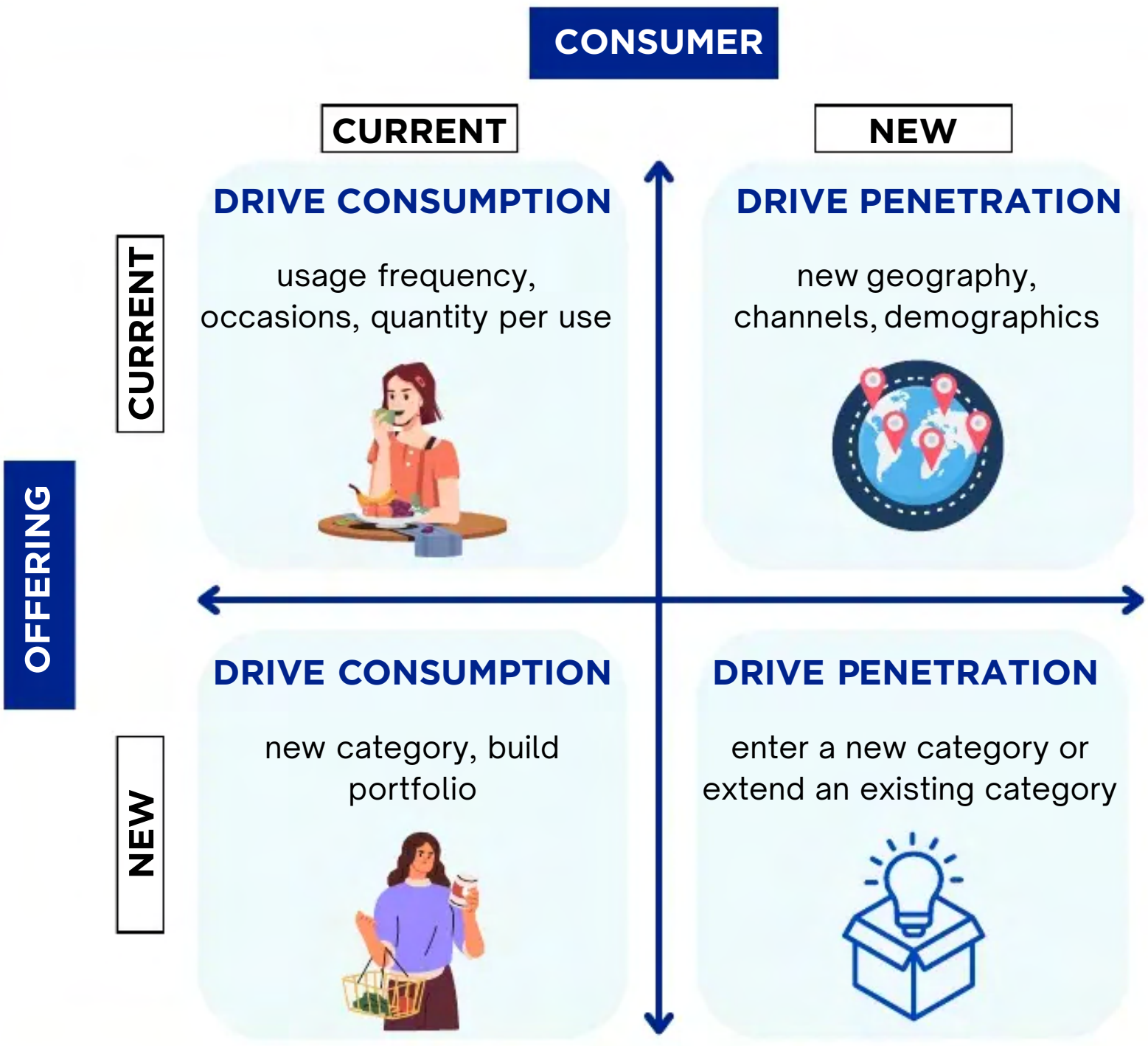


Let's use *Surf Comfort* as an example. The framework to apply involves identifying the weakest link in the brand's performance through a **SWOT analysis**, where you assess the weaknesses or opportunities in the brand's current strategy. These are the areas that need to be addressed.

For instance, if data reveals that consumers only use Comfort during every second wash because they believe frequent use isn't necessary, you, as a marketer, have two potential approaches:

- **Increase Usage Per Wash:** By increasing the size of the product's cap and printing instructions on the packaging indicating that one full cap is needed for every 10 clothes, you can subtly encourage increased consumption per wash.
- **Encourage Consistent Usage:** Communicate the importance of using the product with every wash for continuous fabric protection. Highlight that alternating usage reduces the product's effectiveness, leading to less fabric care.

To simplify this approach, a 2x2 matrix can be utilized to determine which aspects of the framework to emphasize based on the specifics of the case.



WE'RE GONNA PUSH THROUGH!

What if it's too hard?

"I'm gonna push through!"

What if it's too tough?

"I'm gonna push through!"

What if you're just too dumb?

"That ain't true!"

What if you're just too young?

"That ain't true!"

What if you just can't do it?

"That ain't true!"

Why because...?

"I can do anything I put my mind to!"

Video here

By Jasmyn Wright

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